Uganda
Securities Exchange

Transformation

“ Unlocking Potential ”



2021 | ANNUAL REPORT

Uganda
Securities Exchange

Initial Public Offerings





@USEUganda

www.use.or.ug

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INSPIRING GROWTH.

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Acronyms' List

AGM	Annual General Meeting
ALSI	All Share Index
ATS	Automated Trading System
BBO	Broker Back Office
CEO	Chief Executive Officer
CMA	Capital Markets Authority
DVP	Delivery Versus Payment
EDMS	Electronic Data Management System
ERM	Enterprise Risk Management
FISMs	Fixed Income Securities Market Segment
GEMs	Growth Enterprises Market Segment
ICT	Information and Communication Technology
IPO	Initial Public Offering
ISIN	International Securities Identification Number
IT	Information Technology
KYC	Know Your Client
LSI	Local Share Index
MIMs	Main Investment Market Segment
SCD	Securities Central Depository
SCDA	Securities Central Depository Agent
SDGs	Sustainable Development Goals
SWIFT	Society for Worldwide Interbank Financial Telecommunication
USE	Uganda Securities Exchange



About this **Report**

Uganda Securities Exchange (USE) is pleased to present its Annual Report covering the period 1 January to 31 December 2021.

This Report seeks to provide our different stakeholders with information pertaining to the core operations of the Exchange, who we are, our strategy, our performance and governance practices. It also seeks to provide insights into expectations for the future in context of the environment in which we operate, key achievements during the year and how we have utilised growth opportunities in pursuit of our long-term vision to be to be Uganda's preferred institution for investments and sourcing of capital.

Purpose and Scope

The Report entails financial and non-financial information pertaining to the performance of the Exchange and provides insights into how resources have been utilised to create value for all stakeholders. This includes information relating to the financial, operational, strategic and governance performance of the company during the year under review.

The scope of the information presented is largely short to medium term and evaluates the opportunities and risks influencing our ability to pursue our strategic goals and deliver on our mandate to create sustainable shared value.

The report also covers the activities of our operating subsidiary namely the USE Nominees Ltd which is a wholly owned subsidiary of the Exchange that operates as Securities Central Depository with a Share Registry function.

A significant part of the report contains the audited financial statements of the Company for the year under review (year ended 31st December 2021) .The financial statements were prepared in accordance with the International Financial Reporting Standards (IFRS) and audited by Independent Auditors KPMG.

About Uganda Securities EXCHANGE

Uganda Securities Exchange (USE) is Uganda's principal stock exchange, established in May 1997 and licensed to operate as an approved Stock Exchange in June 1997 by the Capital Markets Authority (CMA) of Uganda under the Capital Markets (licensing) Regulations 1996.

In 2017, USE was registered as a public limited liability company and approved by the CMA to operate as a demutualized Exchange under the laws of Uganda with a primary mandate to provide an orderly, transparent, and efficient market.

Our core service is the provision of an efficient platform that brings together seekers of capital (companies looking to raise finances) and providers of capital (investors)





Who we are

Our Vision

To be Uganda's preferred institution for investments and sourcing of capital.

Our Mission

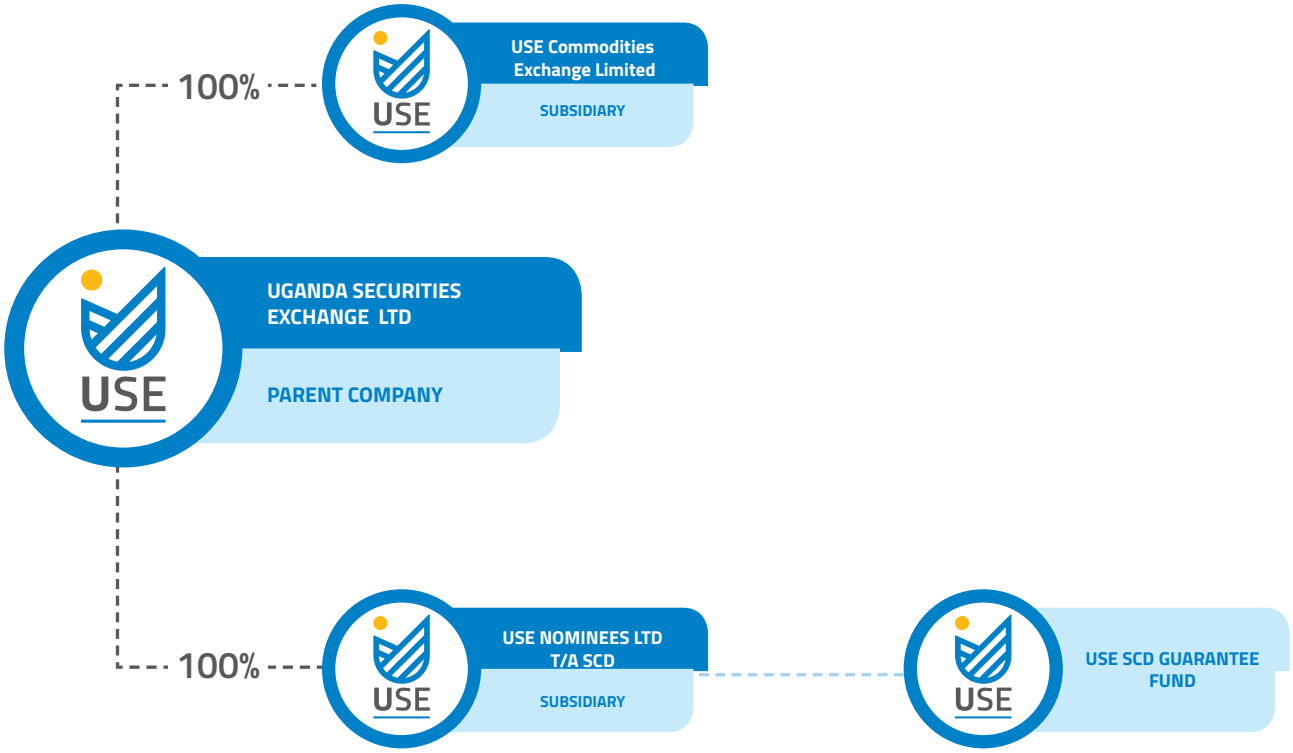
We are committed to empower our customers through service excellence and innovation in order to promote **safe, convenient,** and **sustainable** investments.

Our Core Values

- Customer Focus
- Efficiency
- Teamwork
- Innovation
- Integrity

Who we are

Organisation Structure



Subsidiaries

USE Nominees Limited (which also trades as SCD Registrars) is established as a wholly owned subsidiary of the Uganda Securities Exchange. The subsidiary's core mandate is to operate a Securities Central Depository (SCD) for purposes of providing centralized depository, clearing and settlement services for securities. It also offers share registry services.

USE Commodities Exchange is a newly established wholly owned subsidiary of the Uganda Securities Exchange. The subsidiary's core mandate is to operate a commodities exchange.

The SCD Guarantee Fund was established pursuant to the Securities Central Depository Act 2009 Laws of Uganda. The purpose of the fund is to compensate investors in the event of settlement failure arising from transactions carried out on the market . The Fund is managed independently in accordance with the USE Guarantee Fund Operating Procedures of 2020. The Exchange is the designated administrator of the Fund.

Who we are

Memberships and Affiliations

AFRICAN SECURITIES EXCHANGES ASSOCIATION (ASEA)

The African Securities Exchanges Association (ASEA), established in 1993, is an association of 27 Securities Exchanges in Africa.

The Association works closely with member exchanges to unlock the potential of the African Capital Markets and the African economies they serve. It does so through training and capacity building, and by providing an authoritative information portal on African public markets.

EAST AFRICAN SECURITIES EXCHANGES ASSOCIATION (EASEA)

EASEA is a member-based association comprising the Nairobi Securities Exchange, CDSC Kenya, Dar es Saleem Securities Exchange, Uganda Securities Exchange and Rwanda Securities Exchange .The core objective of the Association is to promote regional cooperation of the securities markets and growth.

ASSOCIATION OF NATIONAL NUMBERING AGENCIES (ANNA)

The Association of National Numbering Agencies (ANNA) is a global member association of National Numbering Agencies (NNAs) seeking to foster standardization within the financial industry through codification of financial instruments.

This is done through ongoing, collaborative work with market participants, regulators, and other standards bodies.

USE is the designated numbering agent for the Ugandan jurisdiction

SUSTAINABLE STOCK EXCHANGES (SSE)

The Sustainable Stock Exchanges (SSE) initiative is a peer-to-peer learning platform for exploring how exchanges, in collaboration with investors, regulators, and companies, can enhance corporate transparency – and ultimately performance – on ESG (environmental, social and corporate governance) issues and encourage sustainable investment.

The SSE is organized by the UN Conference on Trade and Development (UNCTAD), the UN Global Compact, the UN Environment Program Finance Initiative (UNEP FI), and the Principles for Responsible Investment (PRI).


Promoting **safe**,
Convenient and
Sustainable Investment
INSPIRING
GROWTH.



Uganda
Securities Exchange

Leadership Insights

- Ag Chairman's Statement
- Remarks from outgoing Chairman
- CEO's Statement

Ag. **Chairman's** Statement



We are committed to creating an inclusive market

Regional Performance



Nairobi All Share Index gained
9.43%



Rwanda Share Index dropped
-1.92%



Dar-es-Salaam Stock market index gained
5.26%



USE Local Share Index declined
-2.17%



Over **21,000** Ugandans participated in the IPO



Over **74,000** new SCD accounts opened

Dear Shareholders, I am excited to share highlights of the transformative growth experienced by the Exchange during the year 2021. Whereas the year under review remained challenging for businesses both locally and world over due to the protracted effects of the Covid – 19 pandemic, it still presented unique opportunities for growth which we were able take full advantage of, in keeping with our commitment to create and preserve value for all our stakeholders.

Operating Environment

During the year, we observed economic recovery from a previous sharp contraction due to the pandemic shock in prior years. The improvement however remained marginal as the spillover effects of the disruption in global demand on Ugandan exports, remittances and foreign direct investments continued to affect various sectors.

Globally, the economy did experienced recovery in 2021, with the International Monetary Fund (IMF) projecting a Gross Domestic Product (GDP) growth of 5.9%. The containment of the Covid-19 pandemic was a key factor in economic recovery in 2021. This recovery was projected to accelerate further into the year 2022; resulting into global value chains stabilization and driving consumer demand and manufacturing growth.

Sustained uncertainty as a result of the pandemic continued to play a central role in influencing investment strategies and retail investor sentiments. As seen in prior year in the financial markets industry, investors in Ugandan market and across the region continued to look to more guaranteed returns with preference for short term instruments. At a global level however, there was notable recovery for the stock market with the major indices registering gains.

The S&P 500 for instance gained 26.9% for the year. The Dow Jones Industrial Average (DJIA) gained 18.7%, while the Nasdaq Composite gained 21.4%. There was notable recovery for these markets by the end of 2020 into early 2021 as governments around the world intervened with stimulus packages and COVID-19 vaccines were rolled out which supported investor confidence.

Closer to home, regional markets continued to experience lower trading activity as was the case in the previous year though slightly less pronounced. Foreign investors still continued to shy away from equities market and move into fixed income markets and other global markets which were closer to home and less risky. As a result,share prices were a mixed bag, the Nairobi All Share Index marginally increased 9.43% in 2021 compared to a

8.6 % drop registered in 2020. On the other hand, the Rwanda Share Index was down 1.92% while the Dar-es-Salaam Stock market index (DSEI) gained by 5.26%. The USE Local Companies' Index registered a decline of 2.17% during 2021.

Performance:

Our financial performance for the year was underpinned by a historical IPO by MTN Uganda. The IPO which was primarily been executed electronically was facilitated by digital platforms jointly developed with MTN Uganda and was the first of its kind in the East African region. A total of 33,368 individuals and corporate persons participated in the IPO out of which 21,002 were Ugandan retail and institutional investors representing 64% of who of the total number of participants.

During this period over 74,000 SCD accounts were opened with the USE Securities Central Depository (USE SCD) growing the number of SCD accounts from approximately 38,000 account pre-IPO to 113,421 accounts soon thereafter.

A total of UGX 535.3 Billion was raised during the IPO, representing the largest amount of capital raised via the Exchange in an IPO or singular secondary market offer since its inception. The listing of the MTN shares doubled the local market capitalisation then at UGX 3.8 to UGX 8.2 trillion soon after the listing and increased total market capitalisation from approximately UGX 19.7 Trillion before listing to UGX 23.1 Trillion soon thereafter. This growth in itself brings the Uganda market closer to joining the frontier markets categorisation which will attract more foreign investors.

Against the backdrop of this transaction and incidental activities on the market as a result, we were able realise a revenue growth of 44% and a significant increament in profit after tax growth of 1811%. Further details of the business performance are in the Chief Executive's Statement.

Strategy and Risk:

We continue to implement our strategy which hinges on innovating around the customer and creating a customer centric market to sustain growth. These core objectives took front and centre stage in all our initiatives during the year.

In September 2021, we launched a digital Securities Central Depository (SCD) account opening platform in partnership with MTN Mobile Money in a bid to further democratize the Uganda stock market. The innovation which is a first of its kind in Uganda has simplified the process of opening an SCD account, which is a requirement for interested parties to participate in the securities market and will bolster participation of the everyday Ugandan in the country's stock market as more people will be able to open their SCD accounts remotely and consequently be able to invest in any of the companies and debt instruments listed on the Exchange. This serves as testament of our commitment to creating an inclusive market and working to continually improve investors experience as they undertake their investment journey.

We will continue to innovate boldly as part our value proposition to all our stakeholders .On that note,I commend the management team and all our partners for their contribution towards the successful implementation of this forward-looking innovation. It resonates with USE's mission statement of empowering investors through service excellence and innovation and the promotion of safe, convenient and sustainable investments.

As previously shared with shareholders, our diversification agenda is a core part of our business growth and sustainability strategy. Thus far we have achieved great success with data services introduced in 2018 and which has grown into a stable revenue stream for the business contributing over 3% of our total revenue as at end of 2021.

During the year the Board approved the operationalisation of a new market segment the commodities market segment. Following receipt of approval from the Capital Markets Authority to operate a commodities exchange in December 2021, focus has now shifted to

operationalising this new market which we intend to implement through a new subsidiary called the USE Commodities Exchange Limited. The Board is confident of the potential that this new market can unlock and its ability to positively transform the agricultural value chain in Uganda.

During the year the Board remained focus on proactively managing risk and providing sufficient oversight to ensure that implementation of all strategic initiatives was within the risk appetite set by the Board .This was achieved by placing emphasis on the individual and collective responsibilities of every individual within company when it comes to risk , supported by comprehensive reporting at all levels. The details of the risk management approach are contained in the Risk management statement on page 53

Corporate Governance

The Board continues to exercise its oversight mandate through the approved board structure and the various substantive and adhoc board committees. During the year there was a new appointment made to fill a casual vacancy created on the Board under the Trading Participant constituent. Our substantive Chair stepped down from the Board effective 14th May 2021 and to ensure continuity the Board selected an Acting Chair. The Board also constituted the 2nd adhoc Nominations Committee to obtain nominations for potential candidates for the appointment as an Independent Non-Executive Director. In order to ensure transparent and independent governance oversight over the MTN IPO transaction, the Board constituted an Adhoc Listing Committee fully comprised of Independent Non-Executive Directors and which co-opted a legal consultant to enhance its oversight capacities.

Details of the above changes and updates (including committee activities during the year) are provided in the corporate governance report

Future Outlook and Partner Recognition:

As we continue to witness recovery of various sectors within the economy, I am optimistic that we are well positioned to consolidate our progress, ultimately enabling us sustain our growth trajectory. We remain focused on innovations that allow us implement operational efficiencies but also intend to carefully testing new ideas that promise new areas through which we can unlock potential for exponential growth.

As I conclude, I would like to convey my appreciation to the various stakeholders that walked this journey of transformation with us during the year. I thank my fellow Board members whose unrelenting search for excellence continues to positively challenge management to deliver excellence. Specifically, on behalf of the entire Board, I wish to thank the Chair emeritus Mr. Charles Mbire whose leadership played a significant role in ensuring that we were well prepared to embrace the opportunities that presented themselves during the year and maximise their value for our growth.

I would like to appreciate our regulator, the Capital Markets Authority (CMA) and the Ministry of Finance Planning and Economic Development, for their cooperation and commitment to meaningfully engage with the Exchange on matters of policy that directly impact our operations. I express my gratitude to Stockbrokers, Custodians, Listed Companies and all our stakeholders for their active participation in ensuring the smooth operations of the Exchange over the past year and always working tirelessly to ensure that as a market,we deliver our mandate to investors.

In a unique way, I wish to commend and recognise the Management and staff of the Exchange for a job well done. Thank you for demonstrating commitment to deliver our common mandate to grow the business.

Finally, I would like to thank our shareholders for your continued unwavering support of our ambitious journey of transformation at the Exchange and reassure you of our commitment to deliver our shared ambition to inspire growth in all we do.



Remarks from **Chairman(Emeritus)**

Dear Shareholders, Board members, management team and the USE investor community, I share this address with both pleasure and pride as I think back at how far the Exchange has come , in particular how much it has grown over the years.

The past two years have been especially challenging with the global crisis that brought major economies and our own as well to near standstill. We experienced anxiety over personal health and tragic loss of friends and loved ones for some of us. It has been difficult, financially, physically, emotionally However I am thankful that certainly now see the path to recovery.

Ladies and gentlemen, with specific regard to business operations over the past year 2020 to early 2021, I would like to emphasise that it pays to be prepared. I would like to thank management for the preparation in advance- better than most- to ensure a high level of business continuity.

Yes, we have had challenges with respect to market turnover which ultimately impacted business performance however, it is my belief that the early activation of the continuity plan, such as the work from home model, as well as enabling brokers to access the market remotely to a great extent cushioned the Exchange against worse and in terms of recovery gives the Exchange a head start. I therefore commend management with the support of the Board for this foresight and encourage further enhancement of USE's business continuity and resilience plans.

In early 2021 I elected to step down from my role as Chair and from Board .The reason for this decision was to avoid a potential conflict of interest that would have materialised in relation to a major transaction that was implemented at the Exchange within the course of the year .One of the cultures that I have always encouraged is proper management of conflict of interest, especially at Board level, and indeed this year was an opportunity for me to demonstrate that it can be done and the benefits that come with it when it comes to strengthening the public's trust and confidence in the market.

For those of you who may not be aware, I joined the Exchange in 2010 as Chair of the Governing Council as it then was and as I exit must say it has been a real privilege and joy watching the Exchange grow and evolve into what it is today.

USE has always had ambitious plans ,In 2017 as we unveiled a new corporate strategy, we wanted to Improve our corporate image, to Improve service delivery through continuous innovation, to Increase listings, to Increase liquidity in the market through increased outreaches and innovations and enhance the USE product range ,to improve our internal control environment among others. Looking back I must say a lot has been achieved All of us should pat ourselves on the back . In particular I want to highlight these milestone that stand out for me:

USE Demutualisation

Six years ago, the task of transitioning from a mutual entity to a demutualised entity at the time seemed quite daunting and whereas it was not impossible it was indeed a huge task. However, here we are holding our fifth (5th) Annual General Meeting year post the demutualisation with a fully functional Board whose composition is based on the demutualised structure. I would like to thank the members of the transitional board at the time who steered the Exchange through that complex process to deliver the results we have today.

I would also like to thank shareholders for their cooperation and understanding. All former members of the mutual entity responded to the capital call and to-date have fully paid up for the shares they subscribed for at the point of incorporating the Exchange as a Public company. As most of you know, whereas demutualisation

was a regulatory requirement, it was also to a large extent an important strategy for the Exchange in order to meet the challenges of a more dynamic and competitive global business environment. World over, market structures were changing and we too needed to carefully review our value addition to all stakeholders; investors, issuers, custodians, brokers and all market intermediaries. Now, all these stakeholders including you the shareholders can start to reap the benefits of market transparency and investor confidence enjoy that come with it- putting the Exchange in a better position to achieve exponential growth.

There is still the final step of self-listing but Iam confident that with what has been achieved so far, this too will go smoothly when the time comes.

Market Growth

Listings, Market liquidity and market transparency and conduct

When it comes to market growth, the journey has not been an easy one. Here, I would like to highlight 03 issues: the issue of listings, the issue of liquidity in the market and the issue of market transparency and conduct.

During my term as Chair, we managed to see through 02 local listings – namely UMEME and CIPLA. UMEME was a significant milestone for the Exchange both in terms of the capital raised but also with regard to how it breathed life into the secondary market activity post listing.

Other listings included Cross listings from Equity Bank, NMG, Centum and Uchumi. Twice, African Development Bank issued Bonds.

We also saw significant secondary issuances from DFCU, Stanbic, UMEME. I wish to thank management and the Board for successfully supporting these transactions which with other milestones achieved by the Exchange since inception in 1997 remain the pride and joy of the market. However, there is more that needs to be done. We are all aware of what this activity means for the Exchange and its resultant impact on secondary market activity ,therefore as Board members and shareholders, let us not tire of working in our various capacities to support Management in ensuring that fruitful inroads are created to attract more companies to list on the Exchange.

Market liquidity

No doubt trading turnover has significantly grown over time. Ofcourse we have had some challenges case in point;the impact of the stalemate on the UMEME concession that has considerably impacted both turnover and volumes as it was one of the most active counters in the market and of course recently the pandemic which impacted markets world wide. We therefore do have a long way to go in terms of resolving some of the challenges around market supply , and strengthening the role of some market actors remains work in progress.

I am confident however that we have the right team both at management and board level to find solutions to these bottlenecks so that a healthy demand is built in the market and can be satisfied.

Market conduct and transparency

Overall the market compliance and conduct environment which I have always emphasised when I have the opportunity has greatly improved. Overtime we been able to align our rules framework to suit the market but also incorporate best market practices. The completition of the demutualisation has also allowed critical transformation in the Exchange's role in market conduct oversight and supervision. I implore you to keep this trajectory because the strength of the market lies in its inherent capacity to be trusted by potential and existing Issuers, investors and the general public as a steward of market transparency and fairness.

Technology

Another key milestone I wish to highlight is how USE has embraced use of Technology. The digital transformation journey at the Exchange has been a phenomenal– from the automation of trading in 2015 to the launch of the easy portal and most recently the partnership with MTN Mobile Money where SCD accounts can be opened using the USSD.

The 4th Industrial revolution is here with us and it

is here to stay. Therefore I can only say onwards and upwards and encourage management and the Board to keep moving this agenda forward aggressively because therein lies the key to securing USE's relevance for the long term and to building an agile market that is responsive to both capital needs and investment needs

Looking Forward

Looking ahead, there many conversations that we started with management as the Board which must not die, Diversification for instance, both in terms of products offered by the Exchange but also with respect to revenue streams for the Exchange. I am glad to see that the data vending services which we started in 2018 have grown into a noteworthy revenue stream for the business. The strategy to keep innovating around products and services so that the future of the Exchange as a business can be sustainably guaranteed,is another one such conversation that should be kept alive.

We have often had the discussion around how to support SMEs to benefit from the markets– we created a segment for them; GEMs, but none is yet to utilise it .I ask that you do not stop the search to solve this puzzle, SMEs need our support and USE has a solution. Let us continue to put your heads together to see how this solution can become a reality for the SMEs.

When I have had the opportunity, I have always emphasised to fellow Directors and Management about the opportunities that lie in the young Oil & Gas sector, Colleagues lets ensure that the Exchange is well positioned to benefit from these opportunities because they are real and a key to unlock real value for the Exchange.

And finally, the conversation of public awareness and education. Efforts to promote financial literacy and awareness about the stock market and capital markets in general are a key growth pillar and this conversation in my opinion is one that should always be carefully taken into consideration as the Exchange develops its strategic and operational plans.

Conclusion

As I conclude , I want to say this: the importance of what Exchange does including its connections with other elements of the national and global financial system and the complementary nature of its services to the conventional financial products gives it widespread relevance. The best indicator of real GDP growth is the development of the capital markets in an economy.

Accordingly, capital markets are everyone's business and capital markets cannot be divorced from economic planning. Liquid markets improve the allocation of capital and enhance prospects for long-term economic growth. In addition, stock markets encourage savings at both individual and firm levels and ultimately positively influence economic growth.

I ask the Board, management not to tire from emphasising these issues to policy makers, and regulators and to endeavour to strengthen these partnership so that we can enable the Exchange achieve its full potential and ultimately deliver on its development role in the wider economy.

I would like to thank the Board members present and past Board members in absentia for your support during my term as Chair. My experience has been that of a well-functioning Board, being supportive and collective, and not afraid to take risks. My whole-hearted appreciation for making my job as Chairman easier.

I also want to thank you shareholders who steadfastly held your trust in my leadership
I wish you all every success and thank you for your support that have made my years as Chair so fruitful.

It has been a true privilege inspiring growth together.

Thank you and God bless.

Achievements under tenure

2010
Cross Listing of Nation Media Group.
Automation of the Securities Central Depository.

2011
Stanbic bank undertook a bonus share issue
Cross Listing of Centum Kenya

2012
Cross Listing of Equity Bank Kenya
Stanbic Bank Uganda listed an additional 40,950,935,760 shares
Umeme Limited was listed

2013
African Development Bank (AfDB) lists its 2nd two-year
Cross Listing of Uchumi.

2014
NIC undertook a rights issue of 192,000,000 million shares.
NIC undertook a bonus issue listing an additional 819,661,942.
AfBD listed a 10 year bond.
DFCU Group undertook a bonus issue.
Umeme Limited undertook a secondary offer

2015
Automation of trading through ATS and CSD systems.

2017
Launch of the Easy Portal.
DFCU undertook a rights issue of 263,157,895 million shares.
Demutualization of the Exchange.

2018
The Rebrand of the Exchange.
CIPLAQCIL Lists on the Exchange.

2020
Launch of Online SCD Account Opening on USE Easy Portal.

Charles Mbire
USE BOARD CHAIRMAN **NOV 2010- MAY 2021**



Uganda Securities Exchange

INVESTING
Made Easy, Fast and Convenient

NEW INVESTOR

Step 1: Visit the USE Easy Portal at **http://scd.use.or.ug** / and click "create an account"

Step 2: Enter your details and sign up.

Step 3: Check your email for the activation token and click on the link to activate your account.

Step 4: Log in using the email address and password you used to sign up

Step 5: Click "Link/Create SCD account"

Step 6: Click on "Open a new account"

Step 7: Fill in the details and then click on open account.

Step 8: Application Submitted to broker for approval.

For any inquiries, please do not hesitate to contact us at **depository@use.or.ug.**

EXISTING INVESTOR

Step 1: Visit the USE Easy Portal at **http://scd.use.or.ug** and click "create an account"

Step 2: Enter your details and sign up

Step 3: Check your email for the activation token and click on the link to activate your account

Step 4: Log in using the email address and password you used to sign up

Step 5: Click "Link/Create SCD Account"

Step 6: Click "I have an account"

Step 7: Enter your SCD account number and email address

Step 8: Click link

Step 9: If the details match, you will receive a pop up stating **"Successfully linked! Redirecting you to your portfolio now"**

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INSPIRING GROWTH.

CEO's Statement



"One of our core strategic objectives is to create a customer centric marketplace".

Growth in profit after tax of
1811%
from the prior year.



Assets grew by
10%

Total Revenue increased by
44%



In 2020, I on behalf of management and the staff of the Exchange expressed our commitment to using the lessons learned from the tough previous year to accelerate and transform the business with a focus on ensuring continued relevance and growth for all stakeholders. This commitment guided our approach in all the initiatives and operations undertaken during the year under review.

I am therefore delighted to share with you highlights of the operational and financial performance of the Company for the year ending 31st December 2021 that reflect the spirit of the said commitment.

Indeed 2021 was a transformative year for the Exchange in many respects. As the pace of recovery of global economy proved disappointing and technology risk from the new and dynamic digitalisation practices in the wider financial services sector became more pronounced due to the pandemic, we found it worthwhile to place emphasis on identifying paths of opportunity despite a less than optimal operating environment.

While the previous year 2020 majorly tested our resilience as a business, 2021 tested our ability to recognise unique opportunities and to amplify our capacity to scale ideas that could transform those opportunities into real drivers of growth.

Business Performance Highlights

Inspite of a challenging year with marginal economic recovery and extended uncertainty over economic prospects that largely impacted investment patterns and attitudes, the Exchange attracted 01 equity listing bringing the total number of local companies listed on the Exchange to 10 and more than doubling the local market capitalisation.

The listing was significant as it anchored the overall performance outcome of the year. There was a marked improvement in revenue performance with total revenue for the year increasing by 44% compared to prior year; majorly attributed to the initial listing fees and other incidental fees related to the listing. Additionally, other revenue streams specifically our data services and support services provided through our subsidiary the SCD grew by 22.3%and119% respectively in response to the new market activity.

Due to the increased revenue, we were able to reduce the cost to income ratio by 28% compared to 2020 as expenses remained relatively stable during the period.

This growth coupled with a prudent expense management

plan translated into a growth in profit after tax of 1811% from the prior year. Assets of the Exchange also grew by 10% increase from UGX 7.3 billion in the previous year to UGX 8.5 billion in 2021 to maintain a healthy balance sheet.

Diversification and service growth

Data Services

Looking at our diversification agenda to grow non-trading revenue as a core part of our business growth and sustainability strategy, I am pleased to report significant progress with the data services introduced in 2018. Our real time data clients have grown from 01 when the services were first introduced to 02 transforming the service into a stable revenue stream for the business contributing over 3% of our total revenue as at end of 2021.

Introduction of a Commodities market

During the year the Board approved the operationalisation of a new market segment; the commodities market segment. Following receipt of approval from the Capital Markets Authority to operate a commodities exchange in December 2021, we are now focused on operationalising this new market which we intend to implement through a new subsidiary called the USE Commodities Exchange Limited. Management is confident of the potential that this new market can unlock and its ability to positively transform the agricultural value chain in Uganda.

Subsidiary Growth

In additional to achieving operational efficiencies through leveraging the advantages of shared human capital and technology resources, we have been able to commence a journey towards self-sustainability of our subsidiary through the registry services business it commenced offering in 2018. In 2021, the Capital Markets Authority activated the licensing and regulation of registrars of public companies and our SCD Registry business was granted a license to provide these services. We will seek to support the growth of this service as a key first step towards self-sustainability and in the long term profitability of the subsidiary.

Easing Market Access

A key strategic objective is to create a customer centric marketplace. This strategic intent is guided by our overall commitment to the financial inclusion agenda but also resonates with our mission to empower our customers through service excellence and innovation in order to promote safe, convenient and sustainable investments.

During the year, a partnership with MTN Mobile Money Ltd to enable USSD SCD account opening and enhancements on our own web based platform the USE easy portal enabled us make monumental strides in opening the market to the outside. We saw a significant increase in local participation from 19% to 25%.

This change represents a significant milestone for the market as it has acted as a catalyst for the general increase in local participation on the market. With this in mind, we now have a renewed focus in our approach towards public education and creating awareness regarding the market.

The second enabler of our efforts to ease access to the market was the amendment of the USE Rules. On 1st April 2021, we rolled out a new rule book, introducing amendments to the existing market rules framework. The amendments were and are a reflection of the Exchange's consideration of the ever-evolving market needs of the market, the new efficiencies we are harnessing from use of technology and the recognition of the need to promote comparability in practice with other markets so as to enhance our market's competitiveness. Key amendments include new disclosure requirements for listed companies particularly in relation to issuance of profit warnings and introduction of enhanced compliance requirements for trading participants in the course of conducting trading activities and providing accountability to their investor clientele.

The amendments also reflected the separation of trading rights of stockbrokers from their members rights in line with the demutualization of the Exchange in 2017.The Rule book consolidated the different sets of rules of the Exchange into a

single compendium which approach we hope will ease comprehension of the Rules and promote high levels of compliance that ultimately facilitate our core objective of providing a fair, transparent and efficient market

Sustainability

Our commitment to growing the business sustainably remains unwavering. We do this through our business sustainability model that is anchored on innovation, financial literacy, public education and awareness. The details of the activities undertaken under these areas during the year are included in our sustainability statement on page 59.

Furthermore, we continue to establish and strengthen partnerships with various stakeholders and sector associations in a bid to understand the diverse financing needs of the sectors and ensure that we are able to offer "fit for purpose" financing solutions through the stock market.

We shall continue to prioritise engagement with all relevant stakeholders including market participants, regulators and policy makers on matters affecting the market in order to achieve meaningful consensus for the growth and development of the market.

Looking ahead and Appreciation

With a fully re-opened economy, we are expectant as we move forward to yet another promising year. We will continue to leverage technology to deliver innovations and solutions that increase our capacity to deliver value to all our stakeholders. Our innovation strategy will continue to be informed by the needs of the market for a more efficient, more accessible, more effective platform for conducting financial transactions within the capital markets.

We intend to focus on operationalising the new commodities market segment both as a new service and also a new investment asset class Aside from this, we shall actively explore other ways through which our current products and services portfolio may be enhanced with a view of ensuring that the market is providing suitable and attractive products.

In 2020, we commenced trading of government securities under a temporary "Alternative Government Bond Trading model" that was adopted pending connectivity between the USE SCD and the Central Bank CSD. There has been progress under this model as reflected in the trading report providd under the market performance report on page 28. In partnership with key stakeholders, we shall continue to pursue completion of the linkage which will go a long way in supporting retail participation in the fixed income market.

Finally, as we pursue these dynamic endeavours, we shall proactively seek to continuously improve our risk management capabilities through enhancing capacities of all lines of defence under our risk management framework as critical foundation for sustainable growth.

I would like to extend my sincere appreciation to the management team and staff of the Exchange whose exceptional dedication enabled us to achieve the results shared in this report. I would also like to thank the Board members for their continued strategic direction and support. In a special way I would like to appreciate the Chair emeritus Mr. Charles Mbire for his invaluable contribution to the growth of the Exchange over the past 10 years.

Our journey ahead into the new year comes with our renewed promise to continue to demonstrate our commitment to our shared vision of growth.

We shall continue to prioritise engagement with all relevant stakeholders in order to achieve meaningful consensus for the growth and development of the market



Uganda
Securities Exchange

Guaranteed return with Government SECURITIES



For more information on **HOW TO INVEST**, please contact your stockbroker

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INSPIRING GROWTH.



Uganda
Securities Exchange

Market Insights

- Market Performance Insights
- Investor Participation
- Compliance and Market Conduct

Market Performance



Andrew Mwima
Manager Trading & Research

Trading turnover and volume

Trading in the year 2021 registered a slight decline with a turnover of UGX 32.31 Billion compared to UGX 33.26 Billion registered in the year 2020. However there was a significant increase in volumes traded attributed to improved appetite on the SBU and UCL counters.

The fourth quarter of 2021 accounted for approximately 50% of the recorded turnover majorly attributed to economic rebound with the reopening of key economic actives after easing several restrictions that had been put in place to curb the spread of Covid 19 as well as the impact of the new listing on the bourse MTN Uganda.

Number of days traded during the year were less by 06 days compared to prior year with the non- trading days caused by more public holidays happening on weekdays compared to the previous year.

	Y 2021	Y 2020	% Change
Volume Traded	742,376,103	514,751,540	44.22
Turnover	UGX 32,307,919,646	UGX 33,258,829,561	(2.86)
Number of Deals	3097	3175	(2.46)
Trading Days	248	254	

Counter performance

Turnover contribution during the period was majorly attributed to 10 counters and is summarized as follows; the UMEME counter had the largest contribution of UGX 15.6 Billion accounting for 47.81% of the total value traded. Stanbic Holdings Ltd counter also had a significant contribution of UGX 12.8 Billion accounting for 39.23%. The rest of the counters had combined contribution under 8%.

In terms of volumes traded, Stanbic Holdings Limited counter dominated trading activity, with the counter having 478.5 Million shares traded representing 64.45% of the total volume traded during the year. Uganda Clays Limited counter accounted for 19.75% of the volume traded with 146.6 Million shares, while UMEME, National Insurance Corporation, Bank of Baroda, and MTN Uganda counters contributed 11.42%, 0.61%, 3.04% and 0.48% of the total volume traded respectively. DFCU, New Vision Limited and KCB contributed marginally

Issuer Code	Deals	Volume	%	Turnover	%
BOBU	327	22,541,124	3.04%	2,206,860,630	6.76%
CQCIL	175	1,708,687	0.23%	157,596,509	0.48%
DFCU	57	41,599	0.01%	24,246,379	0.07%
KCB	2	296	0.00%	447,848	0.00%
MTNU	198	3,566,339	0.48%	716,591,617	2.20%
NIC	65	4,513,429	0.61%	28,978,338	0.09%
NVL	42	118,236	0.02%	36,753,559	0.11%
SBU	1,111	478,466,874	64.45%	12,803,094,264	39.23%
UCL	353	146,640,065	19.75%	1,058,027,467	3.24%
UMEM	767	84,779,454	11.42%	15,275,323,030	47.81%
TOTALS	**3,097**	**742,376,103**		**32,307,919,646**	

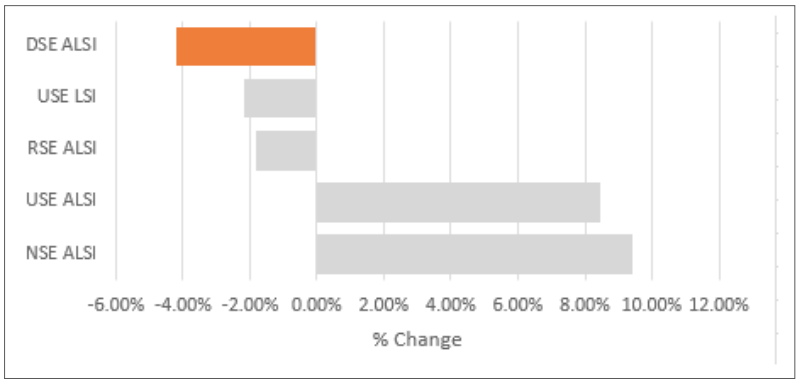
USE Index Performance

The USE All Share index opened at 1309.86 and closed at 1420.69 points representing a gain of 8.46%, however the USE LSI opened at 331.85 and closed at 324.66 points registering a decline of 2.17%. The USE ALSI performed relatively well compared to regional peers with only the NSE's ALSI registering a better return of 9.43%. The growth in the USE ALSI was supported by gains in most prices of cross listed counters in particular; Equity bank which gained 30.63%, KCB gaining 17.57% and NMG gaining 15.09%.

Market Indices	1st January	31st December	% Change
USE ALSI	1309.86	1420.69	8.46%
USE LSI	331.85	324.66	-2.17%
NSE ALSI	152.11	166.46	9.43%
DSE ALSI	1896.71	1816.88	-4.21%
RSE ALSI	148.02	145.34	-1.81%

Company	ISIN	Av number of out-standing No. of Shares	Price per share	Price% Change	Market Cap
BATU	UG0000000022	49,080,000	30,000	0.00	1,472,400,000,000
BOBU	UG0000000055	2,500,000,000	96	-20.42	238,750,000,000
CENT	KE0000000265	665,441,775	445	-25.40	296,001,810,356
CQCIL	UG0000000196	3,651,909,200	92	-3.16	335,975,646,400
DFCU	UG0000000147	497,201,822	580	-7.05	288,377,056,760
EABL	KE0009081092	790,774,356	5,176	2.50	4,093,411,822,860
EBL	KE0000000315	3,702,777,020	1,598	30.63	5,915,482,511,612
JHL	KE0000000273	59,895,000	9,922	5.78	594,289,570,050
KA	KE0009081084	5,681,423,711	120	-6.27	681,600,402,609
KCB	KE0000000315	3,025,219,832	1,414	17.57	4,278,628,912,794
MTN	UG0000001566	22,389,044,239	195	-2.50	4,365,639,736,163
NIC	UG0000000758	1,415,779,718	5	-43.33	7,220,476,562
NMG	KE0000000380	188,542,286	569	15.09	107,195,716,705
NVL	UG0000000162	76,500,000	267	-14.97	20,425,500,000
SBU	UG0000000386	51,188,669,700	26	8.33	1,330,905,412,200
UCHM	KE0000000489	265,426,614	9	0.00	2,388,839,526
UCL	UG0000000014	900,000,000	13	62.50	11,700,000,000
UMEME	UG0000001145	1,623,878,005	189	-14.09	306,912,942,945

Regional comparison



Fixed Income Market Trading

In 2021, the Exchange in partnership with primary dealer Centenary Bank rolled out fixed income trading under an alternative bonds trading Model that seeks to allow investors in our depository to participate in investments in government securities through USE stockbrokers.

Under the model UGX 9,237,100,000 worth of government securities was traded in the year under review through participating in the auctions and from trading in the secondary market.

We intend to focus on growing this activity through raising awareness and enhancing the ease with which the retail can participate through their designated brokers.

	Auction (UGX)	Secondary Market (UGX)	Total (UGX)
TBILLs	5,024,900,000	810,700,000	5,835,600,000
TBONDS	1,437,400,000	1,964,100,000	3,401,500,000
Total	6,462,300,000	2,774,800,000	9,237,100,000

Broker Ranking by trading activity (equities):

During the year,SBG Securities Limited accounted for 65.94% of the total turnover in 2021 followed by Crested Stocks and Securities with 13.92% ,Standard Bank Group Securities Ltd with 5.83% and Baroda Capital Markets with 5.10% respectively. The rest of the brokers accounted for the remaining portion. The bulk of the performance was driven by foreign participants.

Broker	Value of Transactions		Variance
	2021	2020	
UAP OLD MUTUAL FINANCIAL SERVICES LIMITED	2,402,337,269.05	5,847,465,241.60	(58.92)
BARODA CAPITAL MARKETS (U) LTD	3,296,698,164.00	762,594,266.50	332.30
DYER AND BLAIR UGANDA LIMITED	865,149,278.00	775,253,450.00	11.60
EQUITY STOCKBROKERS	2,680,810,915.70	28,678,972,574.00	(90.65)
STANDARD BANK GROUP SECURITIES LIMITED(B08)	3,767,626,483.50	10,078,626,500.00	(62.62)
CRESTED STOCKS AND SECURITIES LIMITED	8,997,521,077.65	20,374,747,090.80	(55.84)
SBG SECURITIES LIMITED(B13)	42,605,696,105.20	-	-
Total	**64,615,839,293.10**	**66,517,659,122.90**	**(2.86)**

Source: SCD



Investor Participation





Bob Musinguzi
Manager SCD

Investor growth and market participation Insights

SCD Accounts

During the year, the Depository made significant strides in easing access to market and through a partnership with MTN Mobile Money Limited to implement account opening for Ugandan citizens via the USSD. This innovation resulted in exponential growth of the number of the investors registered in the depository representing a growth of 6,521% from prior year 2020.

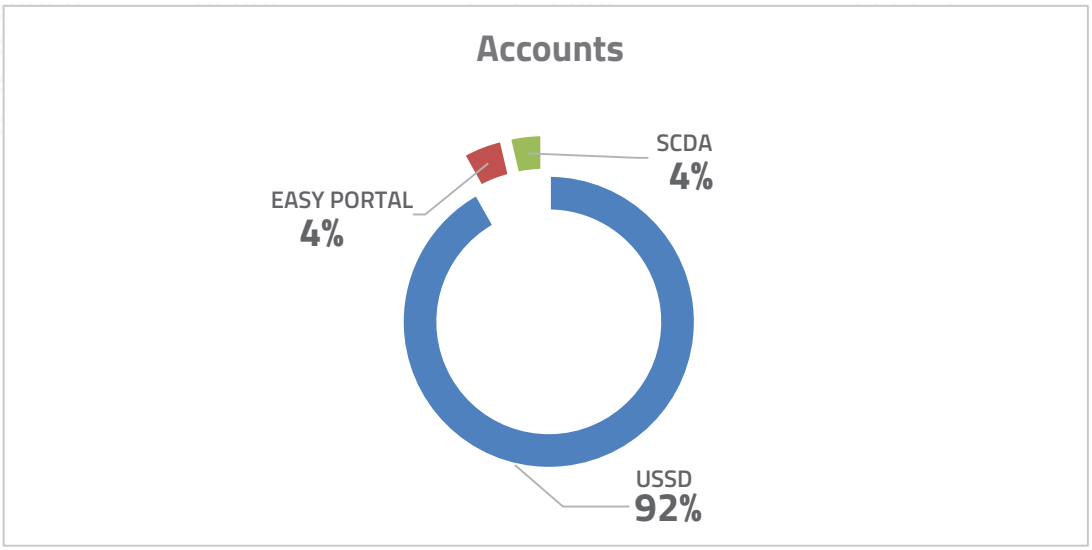
As at end of the year the depository had 115,255 total accounts opened, with a total of 77,868 opened during the year 2021 of which 92% were opened through the USSD platform.

In addition to the implementation of the USSD account opening module, the significant increase in the number of SCD accounts opened in 2021 is also attributed to the MTN IPO and the activation of the foreigners and company account opening modules on the USE easy portal. This enabled all categories of investors to access the depository and open their accounts more conveniently.

Year	2020	2021	Percentage change
Opening Balance	36,211	37,387	3.25
Closing Balance	37,387	115,255	208.28
Accounts opened for the Period	1,176	77,868	6,521.43

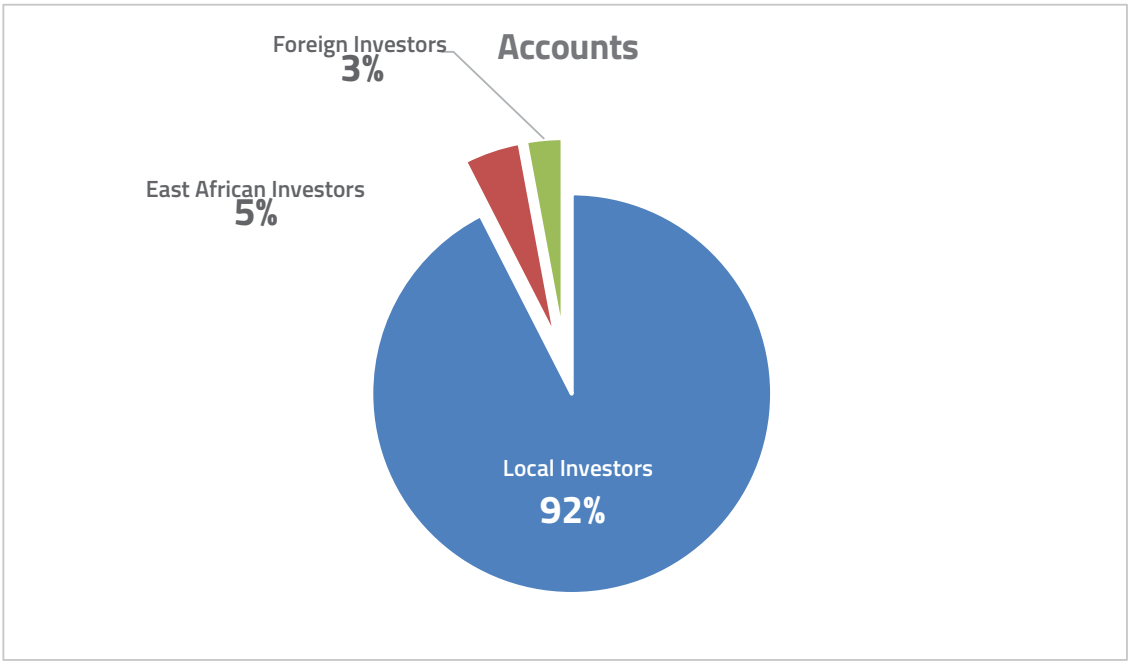
Source: SCD

Account Opening by channel:



Distribution of Accounts in the Depository

Accounts in the Depository are classified as Individual, Company and Minor. These are held under the categories of East African, Local and Foreign Investors. During the year we saw an increase of Local investors by 14% in the depository from 78% in 2020 to 92% in 2021. This was majorly attributed to MTN IPO and the automation of the account opening process through the USSD channel.



Source: SCD

Accounts opened per SCDA:

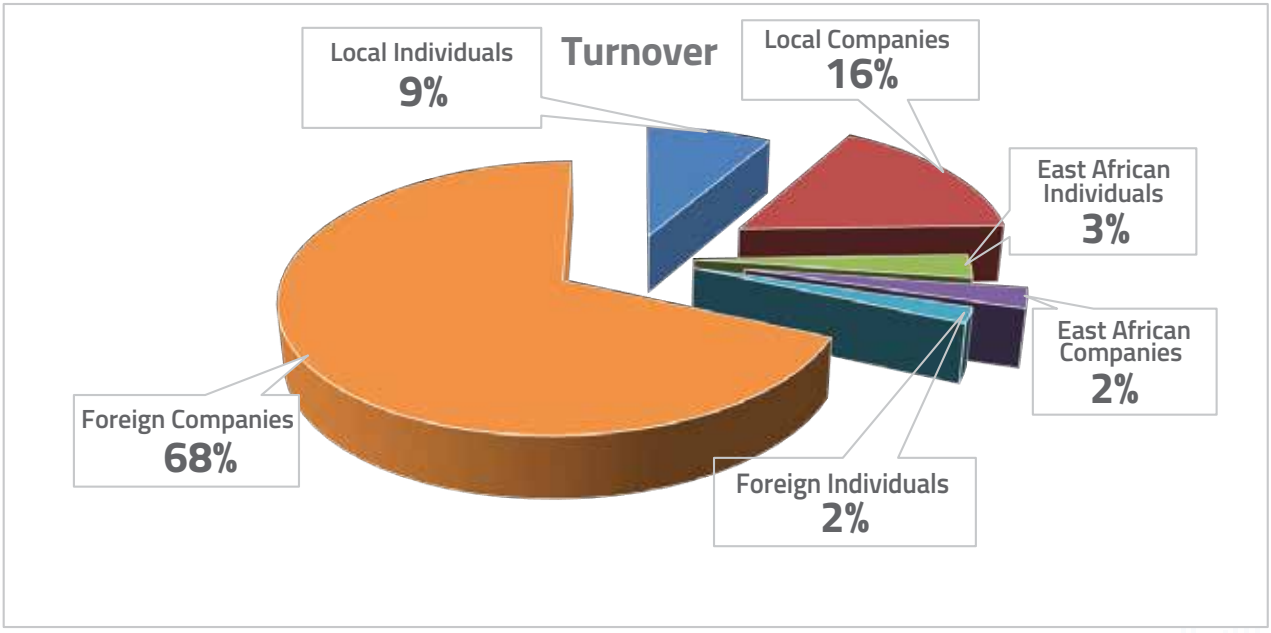
Crested Capital accounted for the majority of SCD accounts opened in 2021 with 37.87%; followed by SBG Securities Ltd accounting for 24.25% and Equity Stockbrokers 18.86% respectively. The remaining accounts were distributed among the rest of the brokers and custodians as shown in the table below:

SCDA	Accounts	% Contribution
UAP OLD MUTUAL FINANCIAL SERVICES LIMITED	6,015	7.72
BARODA CAPITAL MARKETS (U) LTD	4,232	5.43
DYER AND BLAIR UGANDA LIMITED	4,371	5.61
EQUITY STOCKBROKERS	14,688	18.86
STANDARD BANK GROUP SECURITIES LIMITED	35	0.04
CRESTED STOCKS AND SECURITIES LIMITED	29,490	37.87
SBG SECURITIES UGANDA LIMITED	18,880	24.25
HOUSING FINANCE BANK UGANDA SCDA	1	0.00
KCB BANK UGANDA LIMITED	14	0.02
STANBIC BANK UGANDA SCDA	43	0.06
STANDARD CHARTERED BANK -SCDA	99	0.13
TOTAL	**77,868**	**100.00**

Source: SCD

Trading Participation by Investor Category:

Foreign and local Institutions accounted for 84 % of the total turnover traded during the year. Their combined participation rose by 5 % to 84 % in 2021 compared to 79% in 2020. Participation from local individuals and companies improved to 9% and 16% in 2021 compared to 6% and 13% in 2020 respectively. This growth is mainly attributed to increased engagement with the local investors and the publicity before and around the public offer that took place last year.



Source: SCD

Share Immobilization:

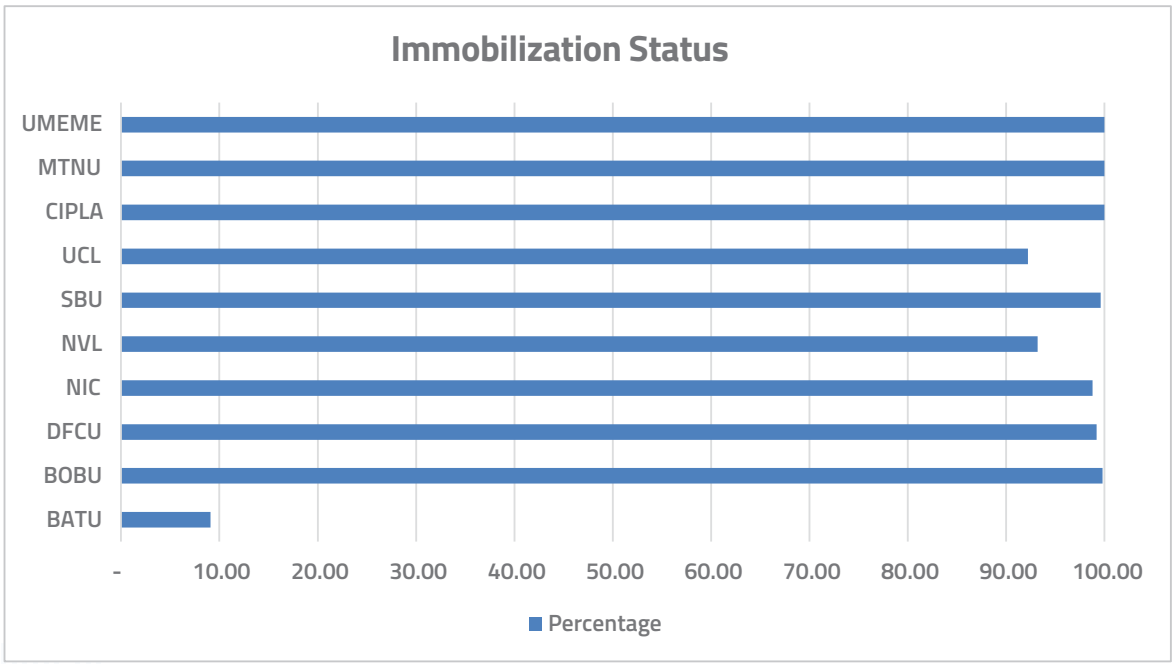
We continue to pursue full immobilisation status for all listed securities in the market. A total of 149 Certificates with shares worth 12,122,817 shares were immobilized in 2021, higher than 116 immobilized in the previous year with shares worth 3,517,055 shares.

The dematerialization process is still ongoing and currently stands at 89.19% overall for the whole market as of 31st December 2021. We expect this figure to greatly improve as several institutional investors are expected to immobilize their certificates in the coming year.

Counter	Issued Share Capital	Shares held in the SCD	% in SCD	% in Certificate
BATU	49,080,000	4,463,107	9.09	90.91
BOBU	2,500,000,000	2,494,927,040	99.80	0.20
DFCU	748,143,893	741,995,914	99.18	0.82
NIC	1,415,779,718	1,398,575,695	98.78	1.22
NVL	76,500,000	71,289,388	93.19	6.81
SBU	51,188,669,700	50,992,482,427	99.62	0.38
UCL	900,000,000	829,850,460	92.21	7.79
CIPLA	3,651,909,200	3,651,909,200	100.00	-
MTNU	22,389,044,239	22,389,044,239	100.00	-
UMEME	1,624,278,005	1,624,278,005	100.00	-
Total	**84,543,404,755**	**84,198,815,475**	**89.19**	**10.81**

Source: SCD

The graph below shows the percentage of shares deposited in the Securities Central Depository (SCD) per issuer.



Inter – Depository Transfers:

USE and the SCD under an MOU signed with the NSE and CDSC holds an Inter Depository Transfer (IDT) arrangement which facilitates and governs procedures through which cross listed securities may be moved across the two depositories.

During the year 01 transfer of 3,288,160 UMEME shares from the NSE/CDS was effected increasing the total shares of UMEME at the USE to 1,505,713,208 and the ones at the NSE to 118,564,797 as of 31st December 2021 compared to 1,502,425,048 and 121,852,957 respectively in the prior year.

Issuance of ISINS

USE SCD is the designated numbering agent for securities and financial instruments in the Ugandan jurisdiction. This not-for -profit activity is aimed at ensuring that all financial instruments are issued with codes in accordance with international standards. The SCD acts as an intermediary between the national entities and the other National Numbering Agencies and is also a resource centre for all information pertaining to all financial instruments that have been registered and issued through Association of national numbering Agents(ANNA).During the year 98 instruments were registered compared to 78 the previous year.



Compliance and Market Conduct

Market Compliance Insights

Our compliance management approach

The events of the recent past years forced us to re-evaluate our market compliance management strategies as all organisations were increasingly faced with pressure from customers, internal stakeholders, as well as the regulatory bodies to implement various resilience programmes inorder to survive novel disruptions brought about by covid 19 pandemic. Consequently, there emerged a real likelihood that this pressure could impact market participants ability to meet their compliance obligations within the meaning the USE Rules framework.

With this in mind, the Exchange purposed to evolve its compliance monitoring landscape into one that placed emphasis on proactive identification and mitigation of risks poised by the various resilience programmes proposed by market participant and setting tolerance levels for these risk as a first line regulator. This purpose was driven by the overarching goal of minimizing investor harm in all cases, despite the recognition of the challenging operating environment for market participants.

Key compliance highlights for the year include:

USE Rules Amendment

A significant development in the compliance landscape during the year was the introduction of amendments to our market rules framework under a new rule book officially released 1st April 2021.

The amendments ushered in new disclosure requirements for listed companies particularly in relation to issuance of profit warnings and introduce enhanced compliance requirements for USE stockbrokers as they conduct trading activities in a bid to strengthen accountability to their investors among others

The amendments also reflected the separation of trading rights of stockbrokers from their members rights as envisaged under the demutualization of the Exchange effected in 2017. Other amendments include; changes to various fees applicable to different market players in order to achieve an equitable fees regime, inclusion of new rules to operationalize the method of listing by introduction on the Exchange and clarification of rules relating to the application of non- monetary sanctions for errant brokers.

The new rule book which incorporated all previous amendments and consolidated the different sets of rules of the Exchange into a single compendium is expected to ease comprehension of the Rules and promote high levels of compliance.

Issuer Compliance

There were 02 non -compliance incidents registered during the period resulting from failure to comply with the mandatory financial reporting disclosure requirements. One of these incidents resulted in the suspension of the Issuer's listing while the other Issuer was sanctioned with a monetary penalty. There was 01 non- compliance incident resulting from failure to disclosure of material information within the timelines stipulated by the USE Listing Rules for which a penalty was issued.

This brought the total number of sanctions during the year to 03 compared to 01 sanction issued in the prior year.

Save for the above incidents, all other listed companies remained compliant in all respects pertaining to their continuing obligations.

Trading Participant Compliance

Trading participant conduct during the year remained above board with no sanctions issued against any of the brokers. This was an improvement from prior year where 01 sanction

(monetary penalty) had been issued for breach of the Equity Trading Rules. The Exchange continues to maintain a rigorous compliance monitoring framework for the protection of investors and preservation of market confidence which is a direct reflection of the actions of our market actors.

Annual General Meetings and Investor engagement

As was the case in the prior year, most of the AGMs held in 2021 were hybrid with exception of Stanbic Uganda Holdings Limited which held a fully virtual AGM. We witnessed a substantial increase in the attendance of shareholders which is majorly attributed to use technology that expanded retail outreach as well as enhanced levels of communicating the procedures by which shareholder could access and use the digital platforms. We continue to engage Issuers to continuously pursue improvement in the level of engagement provided by the various platfoms utilised so that all shareholders receive a meaningful opportunity to participate in the meetings.

Market Surveillance

The Exchange conducts market surveillance on a broad range of securities transactions carried out on the market on a daily basis, including unfair securities deals, such as manipulation of stock prices, creation of a false market and insider trading.

During the year we enhanced our market surveillance capabilities through a review of the functionality of the various features of our automated surveillance system with support of our technology partner. The review enabled us align our surveillance alert parameters with the current market trading execution patterns to position ourselves better to proactively monitor market transactions -in keeping with our mandate to ensure an orderly, transparent and efficient market. Overall, we recorded a clean period with all alerts received during the year investigated and retired.

2022 Outlook

Looking ahead we intend to direct our attention to management of emerging risks: one such risk we have identified is risk arising from rumours and misinformation on digital platforms. Management of this issue remains a learning curve for all markets, at both a regional and global level. We aim to build internal capacity to be able to authenticate and process such information and in collaboration with market players and the regulator incorporate leading practices on how to manage rumours and misinformation on social media in our compliance management and Rules framework.

The Exchange will also commence extension of automated compliance tools for Issuers. We intend to develop a compliance management interface to enhance efficiency and ease with which issuers are able to meet their continuing listing obligations.

Compliance Support through capacity building:- As part of our proactive compliance management approach we shall continue to develop and implement tailored trainings for both Issuers and trading participants to enable them meet their continuing listing obligations and other compliance obligations sufficiently and on a timely manner.



USE Legal and Compliance Team



Uganda
Securities Exchange

Inspiring Growth

OUR STRATEGY IN ACTION

- Summary of Our Strategy
- Progress Report

Our **Strategy**

OUR PURPOSE

To Inspire growth of businesses and individuals in Uganda and beyond

OUR STRATEGY

Our strategy emphasizes exponential customer and business growth

OUR STRATEGIC OBJECTIVES

	A customer centric marketplace	A growing business
OUR PRIORITIES	**Innovation around the Customer** Focused on Easing access to market and increasing distribution efficiency through Straight Through Processes and self-service channels	**Diversification & service excellence** Based on Competitive Customer Driven Product development
ENABLERS	Technology	Agile and purposeful people operations

Progress Report

Diversification and service Excellence

Obtained regulatory approval to operate a commodities Exchange through our subsidiary USE Commodities Exchange. This is part of our diversification agenda.
Various partnerships with key players along the value chain have since been established and will be strengthen as we move towards operationalisation of the segment in 2022

Obtained approval of the new USE Rules framework and rolled out new framework into operation April 2021. Among others, the framework updated the fees structure of the Exchange which was last reviewed in 2012

The framework capped listing fees ,reduced bonus Issuance fees previously applying an open-ended rate open by placing a maximum cap and introduced differentiating incentives for cross listed counters that maintain substantial float in the market.

Innovation around the Customer

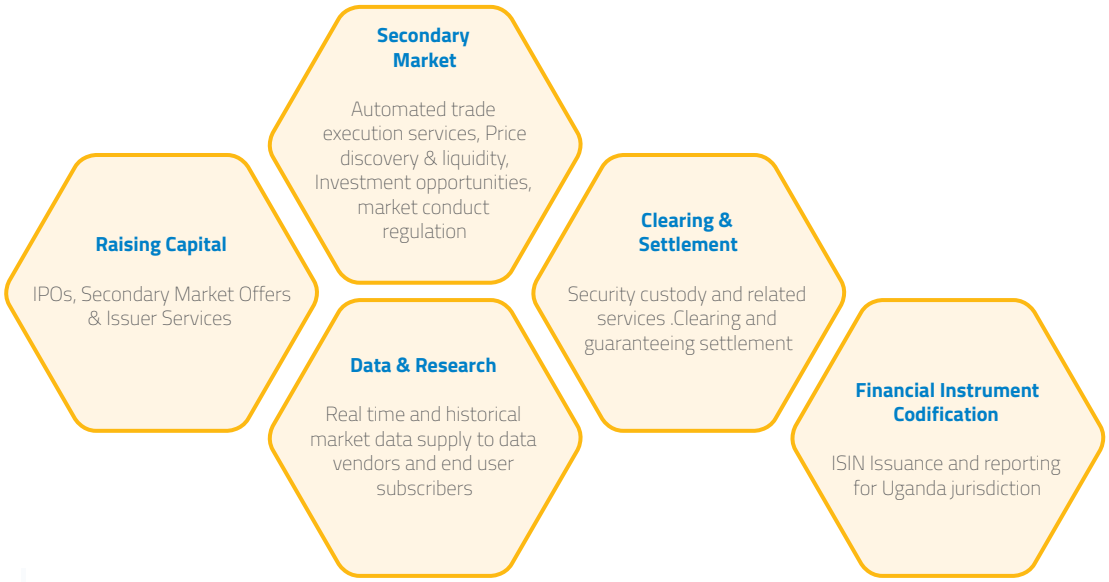
Operationalised alternative government bond trading model which facilitates trading of Government Securities

Under the model UGX 9,237,100,000 worth of government securities was traded in the year under review through participating in the auctions and from trading in the secondary market.

Implemented full automation of the SCD account opening process on the USE Easy Portal and via the MTN Momo USSD Platform. This resulted in exponential growth of the number of accounts opened with depository (over 200%) compared to the number of accounts held at the depository as at the end 2020

Facilitated the implementation of a first of a kind in East Africa E-IPO with increased local retail participation compared to previous IPOs and raising the largest amount of capital raised in an IPO on the Exchange since inception

Our Business Model




USE
EasyPortal
THERE IS
A SIMPLE WAY
TO INVEST
Make Easy, Fast, and
Convenient investments
with the USE EasyPortal
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INSPIRING GROWTH



Uganda
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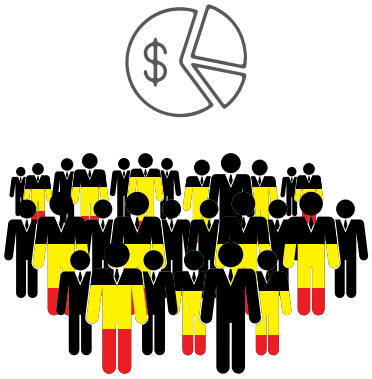
Business Review

- Markets & Products
- Technology and Innovation
- Data Vending Services
- USE Milestones

Markets & Products



MTN Team rings the Opening Bell on 6th December 2021 to mark MTN Uganda's listing on the Exchange



A total number of 21,394 individuals and corporate persons participated in the IPO out of which 20,894 were Ugandan retail and institutional investors, representing

98% of the total number of participants.

New Listing on the Main Investment Market Segment

On 6th December 2021 MTN Uganda listed on the Exchange making it the 10th local listed company (after CIPLA Quality Chemicals that listed in 2018) and the 18th company listed on the Exchange.

In one of the largest IPO's executed across the continent during the year, the IPO which was primarily executed electronically through digital platforms jointly developed by USE and enabled members of the public open new SCD accounts and apply for MTN shares seamlessly. This innovation was the first of its kind in the East African region.

A total of
UGX 535.3 bn
raised during the IPO.

As a result of this innovation the growth of the investor base was exponential.
Over 74,000 SCD accounts opened with the USE SCD during this time growing the number of SCD accounts held by the USE SCD from approximately 38,000 accounts pre-IPO to 113,421 accounts soon thereafter.

A total number of 21,394 individuals and corporate persons participated in the IPO out of which 20,894 were Ugandan retail and institutional investors, representing 98% of the total number of participants.

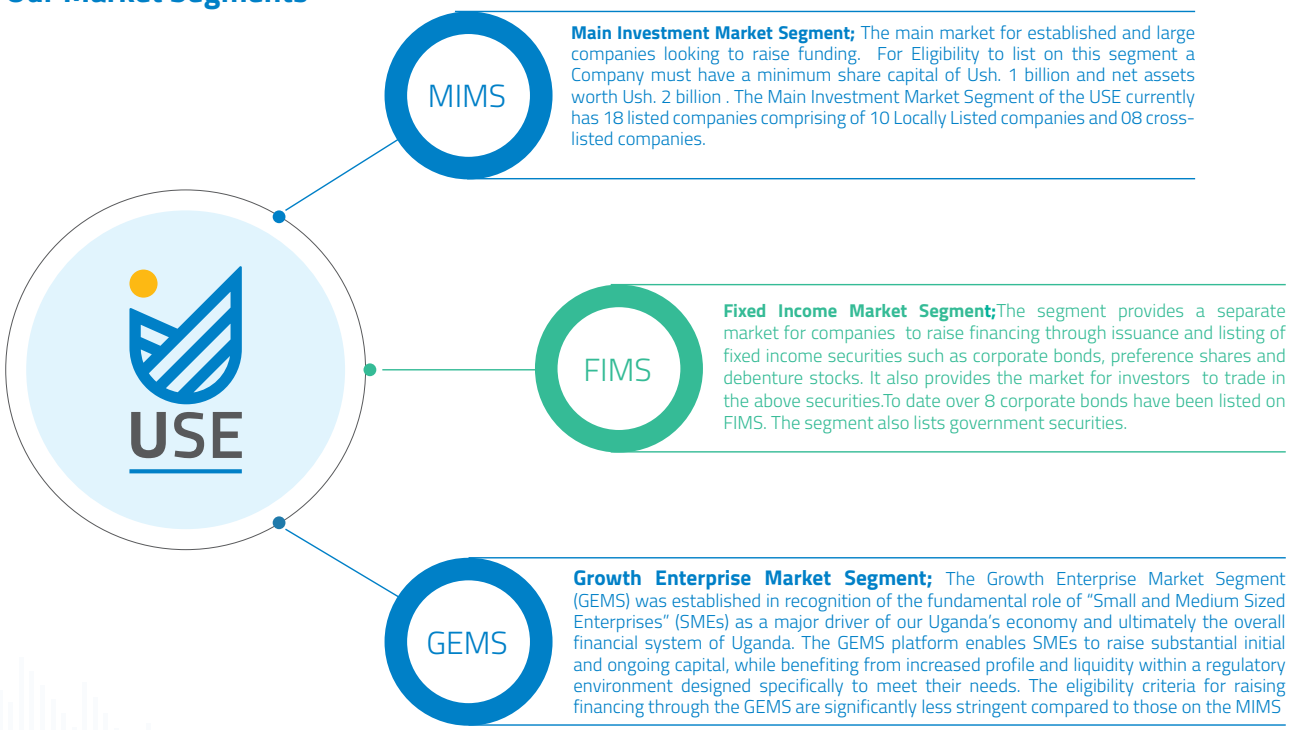
A total of UGX 535.3 billion was raised during the IPO, representing 59.78% of the targeted amount of capital. This is the largest amount of capital raised via the Exchange in an IPO or singular secondary market offer since its inception.

It is also worth noting that listing more than double the local market capitalisation at the time UGX 3.8 to UGX 8.2 trillion soon after listing and total market capitalisation increased from approximately UGX 19.7 trillion before listing to UGX 23.1 trillion soon thereafter.

In the short time after listing until the end of the year, the counter was able to contribute (UGX 716 Million) translating into 9.16% of the total trading turnover of the year.

Listings continue to be the primary business growth driver for the Exchange and for the growth of a vibrant liquid market. Management with guidance of the Business Development Board Committee continues to explore new avenues through which we can attract new listings to the different market segments.

Our Market Segments





Uganda
Securities Exchange

Make **sound judgement** and
informed investment decisions with
our Market Data

DATA
Vending Services

For more information on Trading activity, contact us at **trading@use.or.ug**

@USEUganda

www.use.or.ug

INSPIRING GROWTH.

Technology and **Innovation**





Dennis David Ongom
Information Systems Manager

Since 2015 when the Exchange transitioned to an automated trading system, we purposed to invest in information technology programs and partnerships that support seamless and efficient services in the market.

When we identified technology as a key driver of our business growth and sustainability strategy, we set out a path to achieving our goal of improving investor experience as they undertake their investment journey through the market by leveraging technology. A key step forward was witnessed in 2020 with the development of our client facing platform the Easy Portal to allow self-registration and SCD account opening for local (Ugandan) individuals. In 2021, we added the option for both foreign and company accounts to be opened on the platform.

A second step in this regard was completion of the development of the Easy portal proprietary application programming interface (API) to promote industry innovation and capitalize on its potential. These APIs made the process of integrating different systems simpler and enabled direct and seamless data sharing without requirement for major adjustments to the already installed systems. By giving other businesses a way to connect and Exchange platform, there is value add to the investing public. This was demonstrated by our partnership with MTN Mobile Money Limited in 2021 where we were able to provide the option for MTN Uganda subscribers to open SCD accounts via their app and USSD platform.

The potential for growth of similar Integrations

is limitless and we shall continue to explore all available opportunities that promise real value for investors in this dimension.

As a direct consequence of the above developments and system integrations, we were also able to deliver yet another significant achievement during the year ; the electronic IPO (E-IPO). Due to the integration of the depository system for client identification and the Mobile Money system for fund transfers, any Ugandan was able participate in this distinctive IPO with the option of independently applying for MTN Uganda shares using the MTN app and USSD platform. Non-Ugandan's were also facilitated to participate independently through the USE Exchange Easy Portal platform.

This milestone was critical to unlocking our potential for the growth as market during the year.

Our digital technology strategy is centred around the investor. Accordingly, as we continue to innovate, empowerment of investors and use of technology as a tool to promote financial inclusion remains crucial component of our vision.

Looking ahead we are already testing models that enable use of digital channels to increase the effectiveness of trading, and we are actively working to add that functionality to our existing platforms. We believe that this development will not only ease retail market access but also improve market liquidity.

As we pursue these transformative innovations we remain mindful of the ever-evolving risk around technology and will continue to strengthen our internal control mechanism and policies to ensure they match our current progress.

We remain dedicated to seizing every opportunity that technology offers by wisely and skillfully utilizing it to develop useful tools which ultimately support the delivery of the Exchange's strategy for growth.



Mr. Steven Mutana (MD of MTN Mobile Money Ltd), Mr. Paul Bwiso and Mr. Bob Musinguzi (USE SCD) at the launch of SCD account opening via the Mtn USSD platform on 14th December 2021

Data Vending Services



In 2019, the Exchange took a decision to diversify into information services leveraging our trading system capabilities to generate real time and historical market data. Data remains an essential tool for anyone participating in the market as access to the right information at the right time can give you a competitive edge when participating in the market.

USE offers Real Time Data and Historical Data aimed at meet differing information and analytical needs. Since 2019, we have expanded our consumer base for the above products which are accessible through information vendors and directly via the Exchange. Our diverse client base includes stockbrokers, fund manager and retail end users in particular researchers, students and Information vendors We continue to grow our network of Information vendors allows customers to receive our data through third party organisations.

Summary of client growth

Client Category	2020	2021
Real Time	01	02
Historical	09	11
Total	10	15

Revenue contribution

In 2021 revenue from data services accounted for 3.3% of the total revenue increasing by about 1% in terms of contribution to the total revenue compared to 2020.

Data vending revenue grew by 22% from prior year

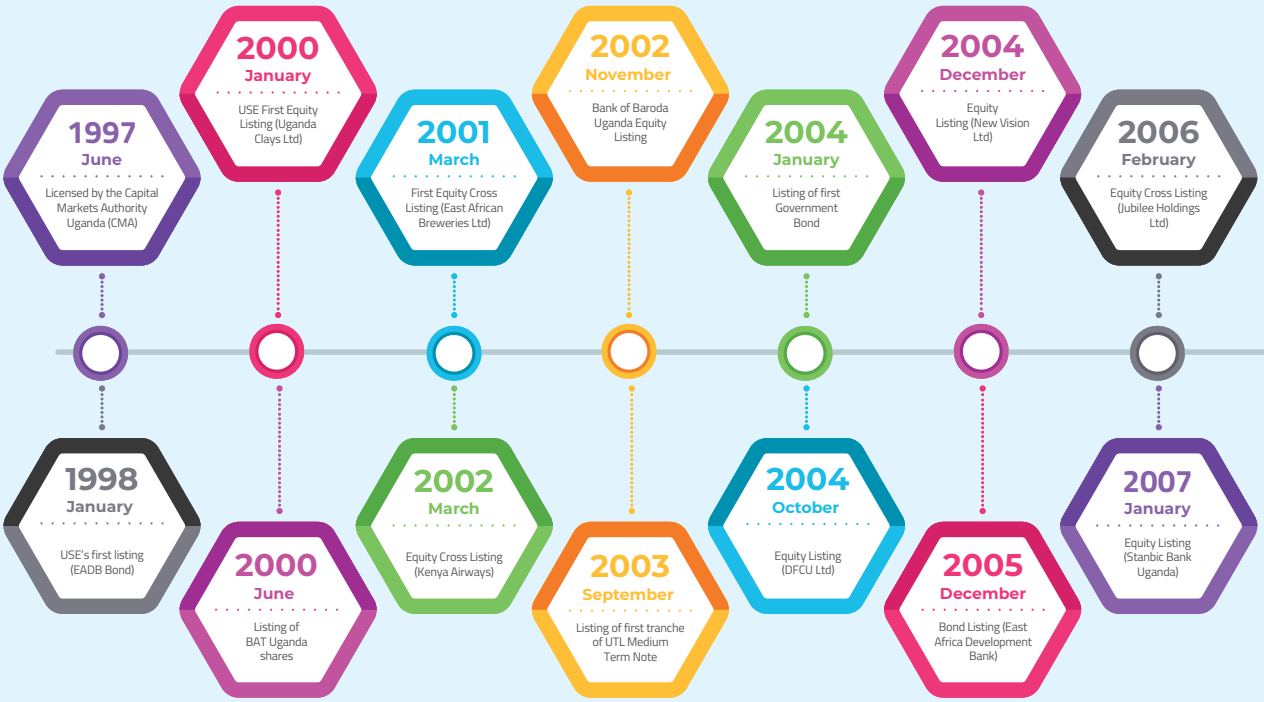
2020 ('000) ugx	2021 ('000) ugx
105,115	128,607

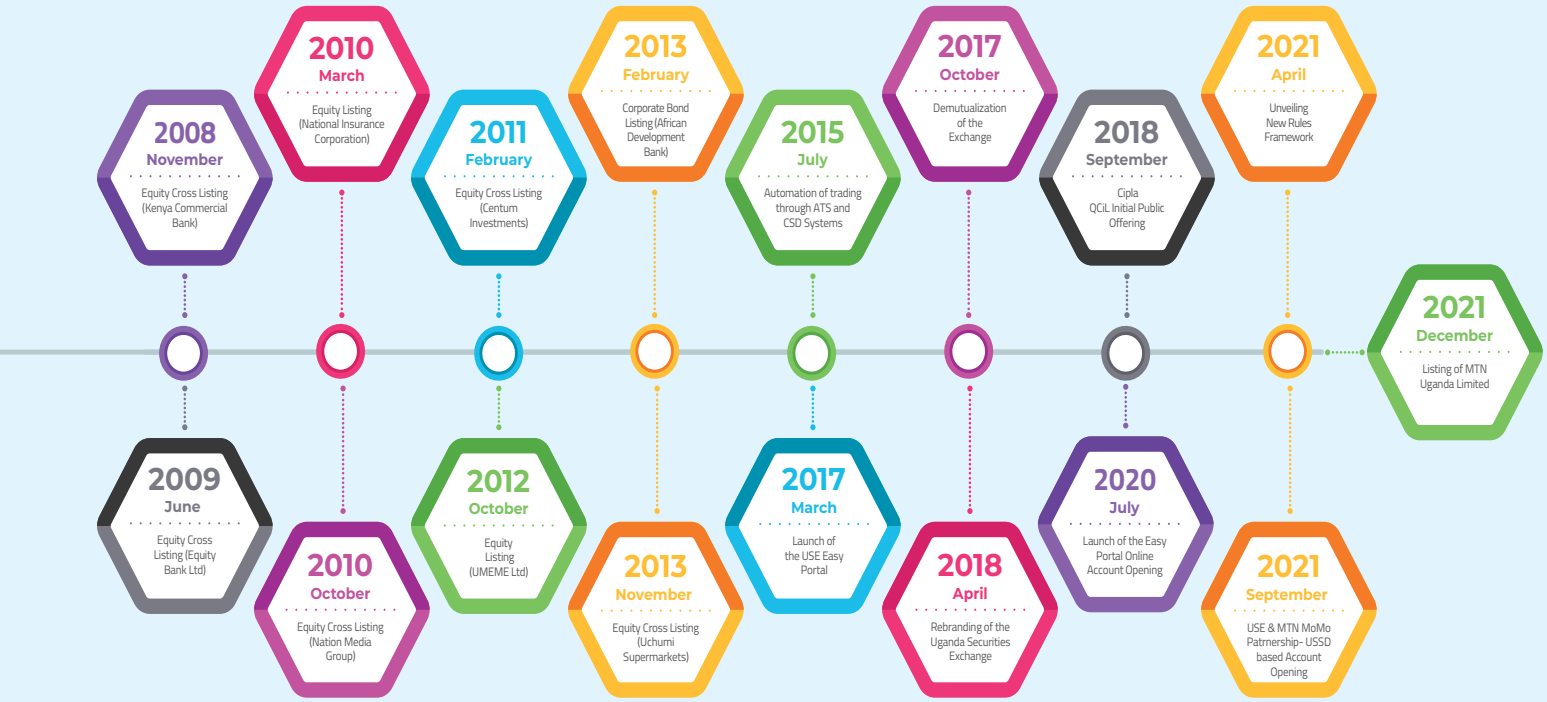
As we continue to grow the volume and velocity of trading in the market, we are confident that the data services will equally grow as a steady revenue stream in line with the diversification agenda of the business.

We shall continue to augment our capacity to provide these services through enhancing the data access points (straight through processes for end users) and refining connectivity points for our information vendor network.



USE **Milestones**





A Journey of a Thousand Miles Begins with a Single Step

- Lao Tzu



USE

How to open an SCD Account using MTN MoMo

Step 1 – Dial *165*65#

Step 2 – Select option 1 to apply for SCD Account

Step 3 – Enter your National ID number

Step 4 – Select your preferred broker

Step 5 – Enter 1 to accept the terms and conditions

Step 6 – Enter your Mobile Money pin.

You will receive a confirmation message with your SCD Account Number and you can start investing.

Terms and Conditions apply

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www.use.or.ug

INSPIRING GROWTH



Uganda
Securities Exchange

Risk Management and INTERNAL CONTROLS

- USE Risk Management Report

USE **Risk Management**

Insights on the Risk management maturity

Jim Drileba Drani
Internal Auditor BDO East Africa



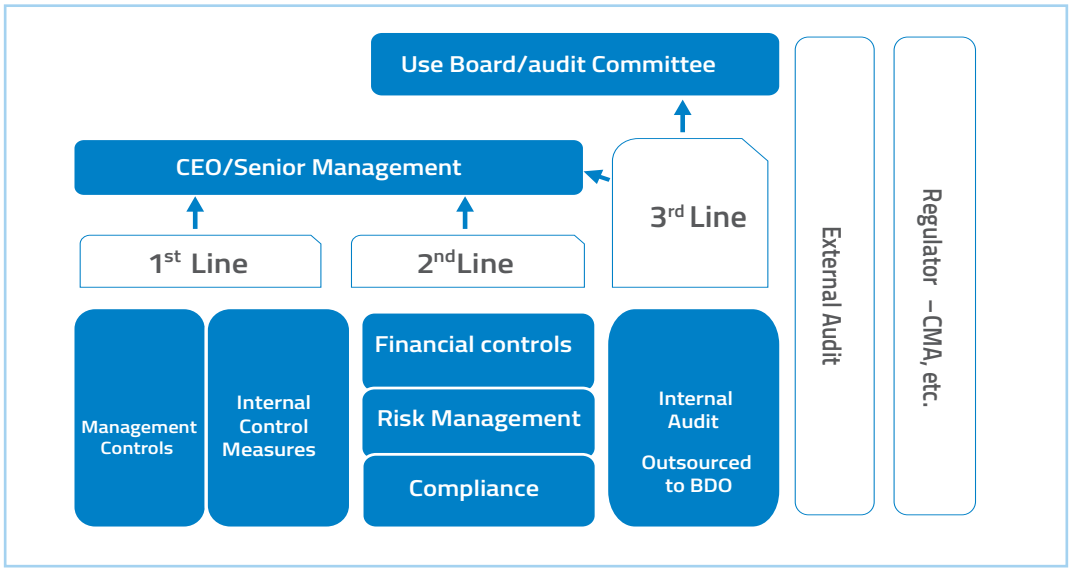


Figure Lines of Defence Model(3 LOD)

The Exchange, just like many other organisations, post Covid-19 pandemic, is facing increasingly complex and often rapidly evolving risks from a range of sources. These risks, if not managed, could present disruptions to USE activities.

Recent research has indicated that many organisations' risk management processes remain fairly immature and lack structure and formality. This can be attributed to the false belief many business proprietors and managers hold that the ad hoc risk management practices they currently employ are sufficient.

Now more than ever, the effective management of risks and resilience is fundamental to the success of any organisation. There is need to continuously review, improve, and embed all areas of risk management to inform the principles of operational program design.

Indeed, the risk management execution (by management) and oversight (by the Board) need to be aligned with certainty of the risk capabilities in place. Risk profiles, appetite, mitigation controls, and governance need to be re-evaluated in light of interconnected businesses and the fragility of economies to global risks.

Understanding risk management maturity

Risk Management Maturity (RMM) defined as the measure adopted by organizations to facilitate a certain understanding of their overall risk position including the value created from risk management initiatives. Despite lacking a clear or universal definition, RMM is a concept that is preferred by stakeholders.

Modelled on the Committee of Sponsoring Organisations (COSO) Enterprise Risk Management (ERM) 2019 framework as a self-assessment tool, the risk management maturity assessment allowed the Exchange to benchmark its risk management activities against proven RMM identifiers, extent of meeting best practices and established the Exchange's overall perception of the risks it faces and the gaps that should be addressed, to strengthen the overall risk management program.

With scores based on the combined assessment of the COSO ERM 2019 framework and Institute of Internal Auditors (IIA) 5-scale qualitative maturity ratings spectrum of Initial, defined, implemented, managed and optimised, we noted several variations even in the same COSO ERM risk components.

1. Governance and Culture: Setting the tone for the organisation and establishing oversight responsibilities for ERM while culture relates to ethical values, desired behaviours and understanding of risk.

2. Strategy and Objective-Setting: ERM, strategy and objective-setting work together in the strategic-planning process. Risk appetite is aligned with strategy and business objectives to successfully implement strategy.

3. Performance: Risks that impact achievement of strategy and business objectives are identified and assessed and risks prioritised by severity in the context of risk appetite, so that risk responses can be selected.

4. Review and Revision: By reviewing organisation performance, an organisation can consider how well the ERM components are functioning over time and following substantial change, and what revisions are necessary.

5. Information, Communication and Reporting: ERM requires a continual process of obtaining and sharing necessary information, from both internal and external sources, which flows up, down, and across the organisation.

The Exchange's Risk maturity environment

Overall, we noted that the risk management maturity of the Exchange is assessed to be established with high scores on risk governance, culture and strategy.

#	COSO ERM Principles	Adhoc	Defined	Established	Managed	Optimised
1.	Governance & Culture					
2.	Strategy & Objective-Setting					
3.	Performance					
4.	Review & Revision					
5.	Information Communication & Reporting					

In agreement with Management and approval by the Board, the maturity assessments have therefore been designed to be conducted periodically and using the Internal audit monitoring tools, continuous updates on the gaps identified will continue to be provided to both Management and the Board.

These evaluations have enabled the creation of roadmaps to improve risk management performance and the tools have facilitated the tracking of the progress of improvements of risk management policies and approaches, which have helped influence the decision-making process, identifying deficient or successful policies over time.

Conclusion

While the risk maturity models and frameworks provide the basis for appropriate benchmark of the risk management monitoring, we at BDO East Africa (BDO) are proud to provide the support and complement the management and the Board's efforts for an effective risk management practice at Uganda Securities Exchange (USE) further guided by the following high-level principles:

- Accountability: Risk management is facilitated through a clear mandate and a comprehensive approach as an integral part of all activities. The Board charter clearly establishes the mandate of the Board while BDO East Africa's risk management mandate is documented in the Internal audit charter.

- Robust governance: Risk management roles and responsibilities are well defined with clear reporting lines, providing for independence from operations and adequate "checks and balances" at all levels, including Board oversight. BDO applauds the clear separation of roles between the Board and Management of the Exchange.

- Proportionality: Risk management is enabled by a dedicated structure (framework and processes) that is tailored to an organisations' risk profile and operational environment and maturing along with other organizational processes.

- Adequate resources: The risk management function requires appropriate capabilities to fulfil its mandate, including the right mix of skills, competencies, tools and systems. BDO proud to compliment the needed skills while applauding the Exchange's consideration of other resources.

- Transparency and effective communication: Risk management maintains a systematic and timely monitoring and reporting on risk exposures and action plans at all levels. Management has established joint regular monitoring mechanisms for agreed recommendations with BDO East Africa through high level meetings.

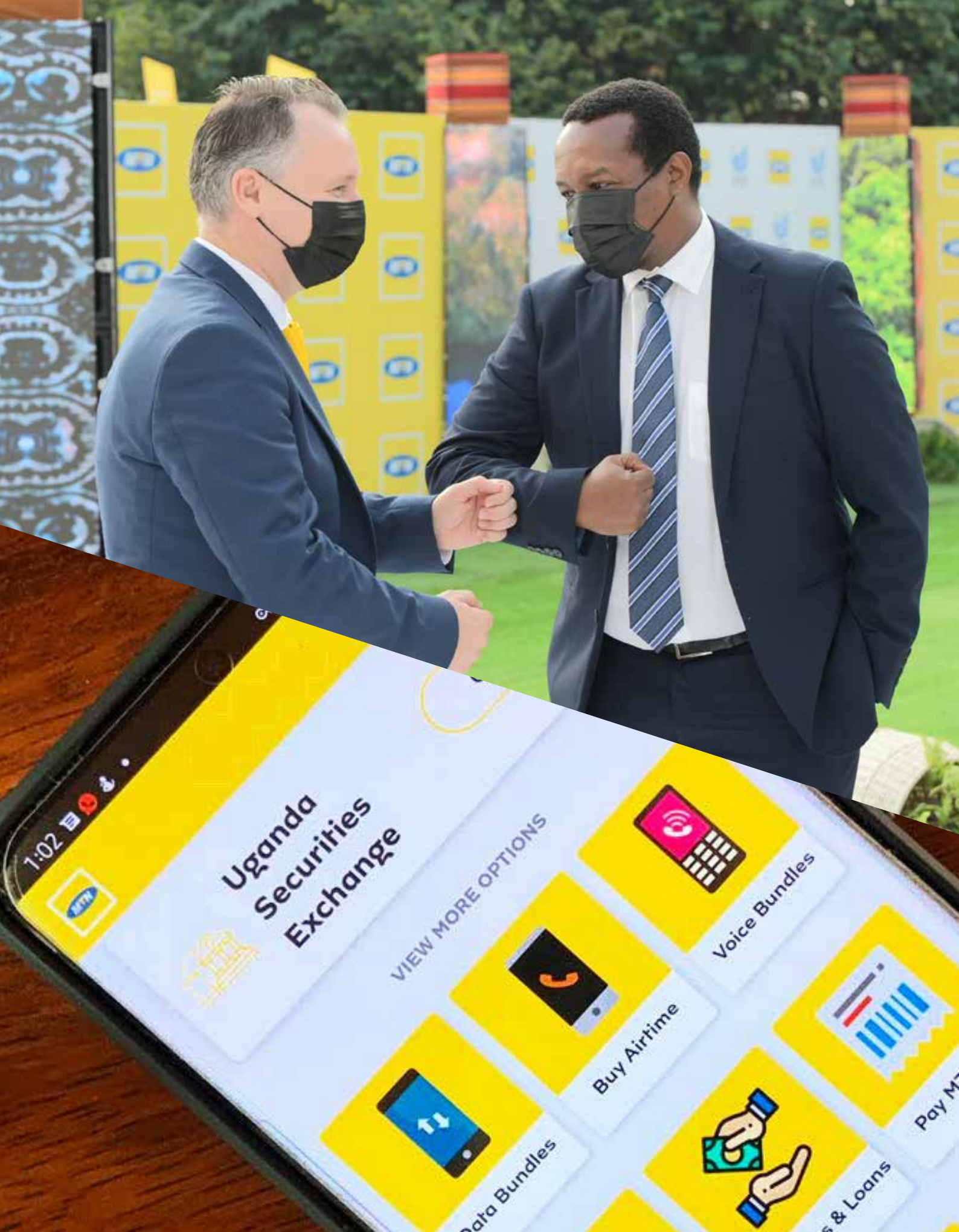
- Assurance and continuous improvement: Risk management is dynamic and continually improved with experience and periodic reviews (e.g., audits and external assessments). Besides the annually approved internal audit plans which provide for quarterly interface with the Board as the oversight body, there is periodic joint high level management meetings of the Auditors and the Exchange's management.

We are aware of the rapidly changing dynamics of business and subsequently, risk management with greater impact on integration of strategy, operations, and financial practices. We commit to support USE to improve the systems and processes of the Exchange to withstand any reasonable likelihood of the known risk occurrence for an effective business resilience.

We express our sincere appreciation to the Board, Management, and Staff of Uganda Securities Exchange for the trust, assistance and cooperation extended to the BDO as the outsourced internal auditors of USE.

Our Risk Management Process




1:02
Uganda Securities Exchange
VIEW MORE OPTIONS
Voice Bundles
Buy Airtime
Data Bundles



Uganda
Securities Exchange

Sustainability REPORT

- Our Sustainability Statement
- Our Contribution to SDG Goals
- People and Culture

Our **Sustainability Statement**



Process Innovation

Financial Literacy and;

Reinforcing Culture of Stakeholder Accountability and Reporting

Whereas under our strategic intent we have expressed our dedication to aggressively pursue opportunities with potential to unlock exponential growth, as business we remain mindful of the need to pursue these opportunities sustainably. It is against this background that we have modelled our current sustainability plan which is expressed by three broad themes: Process innovation, Financial literacy and Reinforcing culture of stakeholder accountability and reporting.

Process innovation

As a large part of our innovation agenda focuses on enhancing investor experience and easing market access, we strongly believe that the process innovation that comes with such innovation is worthwhile point of focus. From a sustainability stand-point we intend to grow an operationally efficient organization with has a better resource allocation strategy, quality resource utilization through process innovation.

This is especially relevant in this post-pandemic era, where businesses have little choice not to seek strategies that improve their operations. With this is mind, our internal process an automation strategy has adopted a target to achieve 80% paperless operation for all core business process by end of 2024.

Training, Education and public awareness

Financial literacy is at the heart of the Exchange's sustainability strategy as we aim to empower investors through education. One of our unique propositions is to leverage technology as a tool to educate the public about the stock market and the opportunities that can be found in the market. In our view advocating for financial literacy is not only desirable – but it is a responsibility and especially so in light of our position this marketplace where we provide first line oversight and in the wider community a responsibility the Exchange cannot take lightly.

The issue of financial awareness, and ensuring we have more people, more business owners, entrepreneurs exposed to financial management skills equipped with the right tools to make sound financial decisions (particularly investment decisions) remains a critical issue- .It is a door way to personal economic stability which translates into household economic stability and at the grand scale ultimately translates to economic stability- it's a win-win for everyone involved.

During the year, we utilised online platforms to educate various groups of people about the market .Various webinars were held with organised groups and associations. Leveraging our social media presence we were able engage our online audience on investor tips, stock market facts and the demystify investment terminologies. Our on site university student interactions were understated during the year due to the pandemic restrictions. We intend to resume active engagement on this front in the coming year.

We aim to demystify the operations of the markets and gain the confidence of especially the younger generation who are the future of the markets.

Stakeholder Accountability and Reporting



USE' CEO Participates in handing over an awards to winners at the 2021 Financial Reporting Awards (FiRE)

At the centre of the market's functionality is the principle stakeholder accountability. It is that principle that drives the disclosure requirements and standards reflected market rules particularly, the USE Listing Rules which prescribe continuing listing obligations for listed companies.

When market players communicate transparently and effectively, the market is able to build a solid level of trust between investors and all other stakeholders which in turn creates an enabling environment for growth for the organisation.

Annually, we partner with the Institute of Certified Public accountants (ICPAU) to execute the Annual Financial Reporting Awards (FiRE Awards) whose objectives we feel are aligned with the foundational values of the stock market; of transparency and stakeholder accountability.

During the year we were once again proud to join ICPAU in the execution of the 12th Annual FiRE Awards.

This forum provides a valuable opportunity to improve the overall stakeholder accountability approaches and the overall corporate governance landscape for institutions operating in Uganda- ultimately laying a strong foundation for theirs and the market's sustainable growth.

Our Contribution to **Sdg Goals**

In addition to our three broad business sustainability themes, the Exchange seeks to play its part in contributing sustainable development agenda through the achievement of Sustainable Development Goals (SDGs). To demonstrate this intention we have undertaken the following activities during the year.



SDG 5 – Gender Equality

SDG 5 aims to achieve gender equality by ending all forms of discrimination, violence and any harmful practices against women and girls in the public and private spheres. It also calls for the full participation of women and equal opportunities for leadership at all levels of political and economic decision-making.

Through our partnership with the UN Sustainable Stock Exchanges Initiative which earmarks Gender equality as a top priority of the international sustainability agenda we join stock exchanges to contribute to building on this position through influencing listed companies and market participants to adopt and implement the Women Empowerment Principles (WEPs) . Since joining this initiative the Exchange championed the signing of the WEPs by listed companies in Uganda. Previously, Stanbic Bank Uganda and Cipla Quality Chemicals Ltd signed the UN Women's Empowerment (WEP) as a pledge to continue promoting gender equality in the workplace.

On 11th March 2021, USE joined over 90 stock exchanges around the world, the International Finance Corporation, Sustainable Stock Exchanges initiative, United Nations Global Compact, UN Women, World Federation of Exchanges, and Women in ETFs in ringing our market closing bell to draw attention to the critical role that business and markets can and must play in tackling gender inequalities.

In a virtual event under the theme "Women in leadership: Achieving an equal future in a COVID-19 world." we held a topical discussion around "Championing business resilience in a COVID-19 world through gender equality" which focused on understanding the challenges covid 19 had brought into the workplace through a gender lens including the opportunities brought by the new remote working model for women in the workplace.

The highlight of the event was the signing of the Women Empowerment Principles (WEPs) by another listed company British American Tobacco (U) Limited. As at end of the December 2021 one-third of the locally listed companies had adopted the WEPs.

The Exchange reiterates its commitment to progressively have all market players sign the WEPs and implement them in their organizations.





SDG 9 – INDUSTRY, INNOVATION AND INFRASTRUCTURE

SDG 9 focuses on the need to build resilient infrastructure, promote inclusive and sustainable industrialization and foster innovation. One core (outcome) targets of this goal is to increase access to financial services and markets;

Our contribution to the implementation of SDGs 9 and 10 is underpinned by our financial inclusion agenda which is a cross cutting theme under both Goals. This agenda is premised on incorporating inclusive digital platforms for affordable, effective, and safe access to the market for everyone ;especially categories formerly excluded. In addition to an inclusive market access approach, we are determined to ensure that every Ugandan has access financial information regarding the markets, which they are is able to use it effectively to improve their livelihoods and businesses.

Further to the various digitalization processes undertaken during the year through our partnership with MTN Mobile Money Ltd as highlighted in this report, one key avenue of our contribution to the implementation of this goal is through our annual collaboration with the World Federation of Exchanges (WFE) and the International Organization of Securities Commissions (IOSCO) and other Exchanges around the world to execute a global campaign to that raises awareness about the importance of investor education and protection dubbed World Investor Week (WIW).

In 2020, the campaign introduced " Ring the Bell for Financial Literacy initiative" in which Stock Exchanges around the world as the main



SDG 10- REDUCING INEQUALITY

SDG 10 aims at reducing inequality within and among countries and calls for reducing inequalities in income as well as those based on age, sex, disability, race, ethnicity, origin, religion or economic or other status within a country.

activity of world investor week hold a bell ringing ceremony (opening bell) as a symbolic gesture to draw attention to the importance of financial literacy, and to raise awareness of WIW 2021.

In 2021 which was the World Investor week 5th Edition ,the Exchange in partnership issuers NIC Holdings Limited, New Vision Group and MTN Uganda run the campaign under the theme: " Leveraging technology to promote financial awareness and literacy in Uganda" One of the key activities during the week was an online investor education event where a public twitter discussion dubbed "USE twitter Chat" gave members of the public an opportunity to engage real time with brokers, regulators and investment advisors on any issuer pertaining to the financial sector.

The core activity was a ringing of the bell event where the Minister of State for Finance ,Planning and Development Hon. Henry Musasizi delivered the key note address at a hybrid event that had market players, representatives from regulatory bodies CMA and Bank of Uganda (BOU),listed companies , investors and members of the general public in attendance. We will continue to support implementation of both these goals by emphasizing investor education at all levels and continuously implementing inclusive digital solutions for market directly and through appropriate partnerships.



World Investor Week

Minister of State for Finance, Planning and Economic Development(MoFPED) joins USE and Market Players to ring the bell for Financial literacy in commemoration of World Investor Week







The Company Secretary NIC Holdings hands over a prize to the winner of the USE twiiter challenge held during the week

People and Culture

"Agile and Purposeful"



Having enjoyed the benefits of implementing a proactive people-focused business continuity plan during the prior year when the pandemic and related restrictions were at their highest, we were comfortable to implement a blended remote working model "hybrid". As had been the case previously, ensuring that we utilize the appropriate collaboration tools remained a key enabler for both productivity and effective engagement across the team and with external stakeholders.

Albeit the progressive reduction of risk posed by the pandemic during the year as vaccination was implemented, the team's safety and health remained a key business priority. With the reduction number of incidents in spread of the virus, we shifted focus to mental health and well -being of the team. This was executed by implementing an externally facilitated Employee mental health Assistance Programme. We believe this initiative ensured a well-supported and cohesive team during the year.

Workforce metrics and Diversity

Headcount, cost per employee remained relatively stable with staff costs increasing (by 16.8%) compared to prior year. This was majorly attributed to partial return to office from the full remote working model effected in early 2019. Additional temporary resources were also engaged to support execution of the MTN IPO transaction, contributing to the staff cost increment from prior year.

Our gender diversity ratios were maintained at 54% female employees to 46% male employees as at the end of the year similar to prior year. In terms of age diversity, the workforce remains balanced with considerable representation across the different generation age bands.

Employee engagement and Workplace Experience

In a blended remote working environment the role of technology in facilitating seamless and meaningful engagements and collaboration cannot be over emphasized. The challenge of the day is remaining adaptable and flexible. During the year under review, the team successfully embraced that challenge to achieve timely and full delivery of the Company's targets for the year as reflected in this annual report.

Highlights from some of the staff engagements held during the year









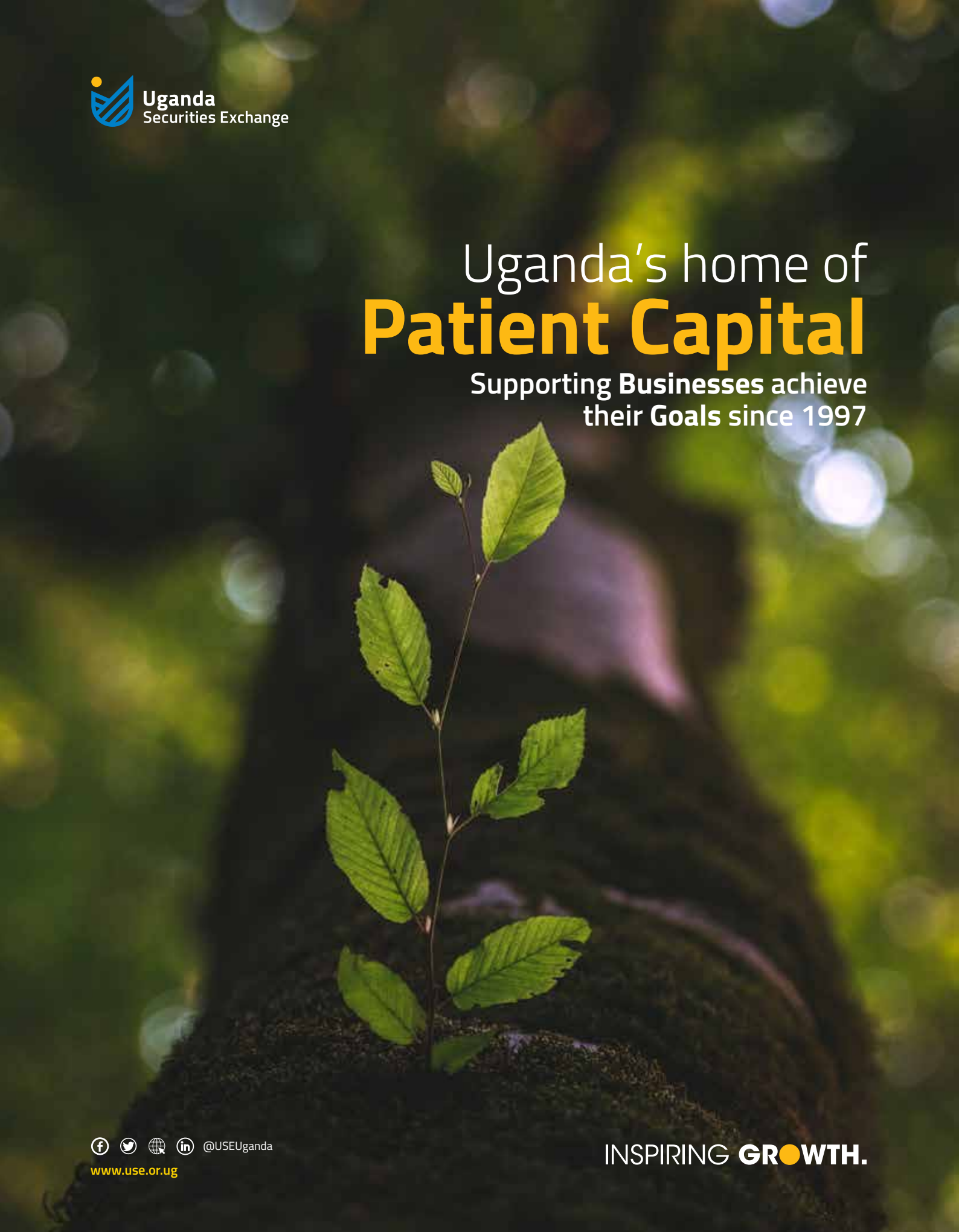











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Corporate Governance REPORT

- Board of Directors
- Corporate Governance Statement
- Directors Report
- Directors Statement of Responsibilities

Board of **Directors**



RICHARD PATRICK BYARUGABA.
Non Executive Director representing Issuers
Nationality: Ugandan
Background: Accounting, Economics and Investment advisory
Appointment: May 2017

Mr. Byarugaba is the CEO and Managing Director of the National Social Security Fund (NSSF). His areas of expertise include Strategic Planning, Board Collaboration, Risk and Change Management, Facilities Expansion, Product Development, Asset Liability Management among others.

Mr. Byarugaba has over 30 years of experience in the banking and financial institutions industry and has previously worked with Standard Chartered Bank, Barclays Bank, Afrimax (Uganda), Global Trust Bank among others. He has also holds various positions on boards of different organizations such as Uganda Clays Ltd, Nakasero Hospital, Uganda Bankers Association, East & Central Social Security Association, He is well known for leading the transformation of NSSF into an efficient and reputable institution and the largest pension fund in the East African region.

Mr. Byarugaba holds a Masters degree in Business Administration from the Edinburgh Business School, Heriot Watt University, a Post Graduate Diploma in Management from the Henley Management College, London and a Bachelors of Science degree in Statistics and Economics. He is a fellow of the Association of Certified Chartered Accountants (ACCA), UK and is a Chartered Public Accountant (Uganda).

Richard is the substantive Chair of the Audit and Risk committee and assumed the position of Ag. Chair effective 14th May 2021



DR. RACHEL MINDRA KATOROOGO
Independent: Non Executive Director
Nationality: Ugandan
Background: Finance, Academia and Education
Appointment : September 2019

Dr. Rachel Mindra Katoroogo is the Dean of the Faculty of Finance Makerere University Business School (MUBS).Prior to this she was the Head of Finance Department and the Deputy Director of the MUBS Microfinance outreach centre.

Dr. Mindra is an author and researcher in banking, development and digital finance investment, firm performance ,entrepreneurship, leadership and consumer studies within various contexts –in particular providing leadership in various projects conducted in East Africa.

Dr. Mindra is the Ambassador for Youth Financial Inclusion under the Youth Financial and Social Inclusion advocacy programe supported by citi bank and is the Managing Director and Board Chair of the Kampala East Endowment Fund.

She is a member of various disciplinary Committees including the MUBS Staff Disciplinary Committee, Architects Registration Board Disciplinary Committee, MTN Uganda and ZTE Contract Staff Disciplinary committees managed by MUBS Entrepreneurship and Innovation Centre as a recruitment Agency.

Dr. Mindra currently chairs the Business Conduct Committee and is a member of the Audit & Risk Committee.

She holds a Master of Arts in Money, Banking & Finance from Loughborough University (United Kingdom) and a Doctorate in Finance (Research Area: Financial Inclusion) from Wits Business School, University of the Witwatersrand, (South Africa.



SAMUEL FREDRICK MWOGEZA
Non Executive Director representing Issuers
Nationality: Ugandan
Background: Audit , Finance and Accounting
Appointment : September 2019

Mr. Mwogeza is certified accountant, executive coach and business leader with over 17 years experience in the Financial services industry . He currently works with one of the leading financial institutions in Uganda -Stanbic Bank Uganda Limited as the Head Consumer and High Net-Worth.

Prior to this Samuel was the Chief Financial Officer (CFO) within the same bank for 5 years. He has vast knowledge of the financial industry and economies within sub-sharan Africa having gained cross border exposure in various african markets such Zambia, Tanzania and the Democratic Republic of Congo (DRC) and having worked with some of the largest global and regional banks namely Citibank, Barclays and Stanbic/Standard bank.

In 2018 Samuel was recognised as "CFO of the Year" by Deloitte-ACCA Uganda and also received the Certified Public Accountant ("CPA") of the year Award from the Institute of Certified Public Accountants –Uganda in 2019.

In addition to professional membership with the Institute of Certified Public Accountants of Uganda (ICPAU), Samuel is a Fellow of the Association of Chartered Certified Accountants (FCCA),a member of the International Coaching Federation (ICF) and a member of the League of East African Directors (LEAD).

He also holds an MBA from Edinburgh University (UK)Samuel is a member of the Audit and Risk Committee, Business Development Committee and the Finance & HR Committees of the Board. He recently assumed role of Chair Audit and Risk Committee.

Board of **Directors**



JENNIFER MWIJUKYE KABANYANA
Independent Non Executive Director
Nationality: Ugandan
Background: Commerce, Economics and entrepreneurship
Appointment : September 2019

Mrs. Jennifer Mwijukye is the founder and CEO, Unifreight Cargo Handling Limited with a career in trade and logistics spanning over 20 years. Jennifer has been credited for her instrumental role in introducing a new training curriculum with emphasis on the issue of business integrity for the improvement of the transport and logistics industry. She has twice been recognised (2009 and 2013) as the woman entrepreneur of the year by Women Entrepreneurs Association Ltd based on the expansion of her business into the region. She has served on the Presidential Investors' Roundtable (2007 to 2009) and formerly chaired the Board of Uganda Women Entrepreneurs Association Ltd (UWEAL) in addition to serving on other Boards
Jennifer holds Masters degree in Transport Economics and Logistics Management from Eastern and Southern African Management Institute (ESAMI) and Bachelors degree in Business Administration from Makerere University.

She currently chairs the Business Development Committee and is a member of the Finance and HR Committee



SIMON MWEBAZE
Non Executive Director representing Trading participants
Nationality: Ugandan
Background: Investment advisory and Fund Management
Appointment : May 2017

Mr. Mwebaze is the General Manager of UAP Old Mutual Financial Services Limited with over 15 years experience in fund management and financial and Investment advisory

He has extensive knowledge in origination, valuation, investment portfolio construction and management, risk management, client servicing, negotiation, stakeholder management, report writing and presentation.

He is a deep Investor with 8+ years experience in managing client assets in excess of US$ 150 million focused on debt, equity and alternative assets across East Africa.
Simon holds a Bachelors Degree in Business Computing and is a Chartered Financial Analyst (CFA).

Simon is Chairperson the Board Finance and Human Resource Committee and is a member of the Business Development Committee



LEAH NYAMBURA- KAGUMBA
Non Executive Director representing Trading participants
Nationality: Kenyan
Background: Investment Banking
Appointment : September 2021

Ms. Leah Nyambura – Kagumba is an investment banker with over 16 years of experience in the industry. Currently she is an executive director (Director of Corporate Finance) at Dyer & Blair Investment Bank Ltd.
She has advised on various transactions in financial debt and equity in East Africa financial markets, where she has played both supervisory and operational roles in arranging and structuring the transactions and regulator liaison

Leah is practicing member of the Institute of Certified Investment and Financial Analysts (ICIFA), Kenya, and a Council member, the institutes governing body . She is also an Affiliate member of the Chartered Institute for Securities and Investment (CISI).

She holds a Bachelors Degree in Economics & Business Studies, Kenyatta University, Kenya and a Masters of Science (MSc) in Finance focused in Finance from Kenyatta University
Leah is a member of the Business Conduct Committee and the Business Development Committees of the Board



PAUL BWISO
Executive Director (CEO)
Nationality: Ugandan
Background: Investment Banking and Accounting
Appointment : March 2015

Mr. Bwiso is the Chief Executive of the Uganda Securities Exchange (USE). He is an accomplished investment banker with extensive experience in the financial services sector in the areas of asset management, corporate finance and securities trading.

An accountant by training, Mr. Bwiso has over 30 years experience, where he has held various senior roles with supervisory responsibility in the areas of financial planning, value- driven reporting , business analysis and strategic planning.

Prior to joining the Exchange, Mr. Bwiso was the General Manager Dyer and Blair Investment Bank Uganda.

Paul is credited for delivering USE's full transition to the automated trading system and steering the Exchange to the successful completion of the demutualisation process in 2017.

Corporate Governance Statement



This Corporate Governance statement provides an overview of USE's governance framework and how this framework supports and challenges management to operate to high governance standards. It highlights the key governance activities of the Board during the 2021 financial year, and how these activities have guided and shaped the execution of the company's strategy during the year.

1. Duties and responsibilities of the Board

In addition to any other responsibilities prescribed by the Companies Act 2012 Laws of Uganda, the Articles of Association of the company and the USE Board charter, the Board is collectively responsible for the following:

a. Ensuring good corporate governance (overall environment in which the company operates comprising a system of checks and balances to promote a healthy balance of risk and return) and the business performance of the company;

b. Ensuring that it is in full control of the affairs and business operations of the company;

c. Defining the company's vision, values, strategy, goals, risk management policy, plans and objectives;

d. Ensuring that there is appropriate oversight by senior management of the business of the company;

e. Overseeing the management and operations of the company, its major capital expenditures, acquisitions and divestitures and reviewing corporate performance and strategies including management accounts at-least on a quarterly basis.

f. Reviewing on a regular basis the adequacy and integrity of the company's internal control, accounting and financial reporting and management of information systems including compliance with applicable laws, regulations, rules and guidelines;

g. Effectively utilizing the work conducted by the internal and external auditors of

the company and ensuring a robust and functional risk management framework

h. Developing appropriate staffing and remuneration policy including the appointment of the Chief Executive Officer and the senior staff as may be applicable.

i. Establishing ad hoc committees of directors for better utilization of its resources and attaining more in-depth review of issues or areas pertaining to the operations of the company;

j. Taking into consideration the interest of the company's stakeholders in its decision-making process.

Additional duties are set out in the statement of Directors responsibilities on page 82

2. Board Composition and Diversity

There were a number of changes in the Board composition during the year for various reasons. In September 2021 Ms. Leah Nyambura Kagumba joined the Board as a Non-Executive Director representing the trading participants and replacing Mr. Mohan Prashantam who stepped down in May 2021.

Ms. Leah joined the Business Conduct and Business Development Board Committees where she brings a wealth of experience and expertise in market conduct and development insights from other jurisdictions within the East African region.

The Chairman Board and independent non-executive director also stepped down from the Board in May 2021. Consequently, Mr. Richard Byarugaba was elected Ag. Chair to ensure seamless continuity of the Board activities.

The Nominations Committee was constituted to consider potential nominees to fill the vacancies created by these exits.
Ms. Christine Nkundizana who was a trading participant representative also exited the Board effective 25th November 2021.

Other noteworthy appointments during the period include the re-appointments of Mr. Samuel Mwogeza, Ms. Jennifer Mwijukye Kabanyana and Dr. Rachel Mindra Katoroogo who pursuant to Articles 110 and 111 offered themselves for retirement by rotation and being eligible were re-elected to the Board at the Annual General Meeting held on 22nd September 2021.

The Membership of the Board during the year is as shown below:

No	DIRECTOR	COMMITTEES
1.	Mr. Charles Mbire - Exited 14th May 2021	N/A
2.	Mr. Richard Byarugaba	ARC,BCC
3.	Mrs. Jennifer Mwijukye	BDC, LC,FHR
4.	Dr. Rachel Mindra Katoroogo	ARC, BCC, LC, NomCom
5.	Ms. Leah Nyambura-Kagumba - Joined 22nd Sept 2022	BCC, BDC
6.	Mr. Samuel Mwogeza	ARC, BDC, FHR, NomCom
7.	Mr. Simon Mwebaze	FHR, NomCom, BDC
8.	Mr. Prashantam Mohan - Exited 14th May 2021	BCC, BDC
9.	Mrs. Christine Nkundizana -Exited 25th Nov 2021)	ARC
10.	Mr. Paul Bwiso	Invitee
11.	Mr. Robert Apenya c/o Engoru Mutebi Advocates	LC - Co-opted to the committee to enhance legal expertise necessary for the committee's functions

ARC - Audit and Risk Committee; **BCC**- Business Conduct Committee ; **BDC** – Business Development ; **FHR** – Finance HR Committee; **NomCom** – Nominations Committee ; **LC** – Listings Committee

Skills mix and diversity

Despite the above changes, the Board still retains a diverse range of technical expertise and experiences .The Board continues to recognize the importance of various backgrounds including age, gender, ethnicity, religion, education and skills in ensuring well-rounded perspectives during its decision-making processes. The skills and professional experience mix of the board members includes; business administration and management, global finance and investment law, accounting and investment advisory, marketing, transport economics and logistics management, pension fund management, business management and entrepreneurship, financial reporting and auditing and securities trading. The Board skills matrix is up to update and additional necessary skills required to enrich the existent mix are under consideration by the Nominations Committee

Gender and Age diversity

As at the end of the reporting period the 43% of Board members are female. Board is comprised of members representing diverse age groups.

3. Board Effectiveness

Board performance review

The USE Board charter requires evaluation of the Board's performance at least every two years. The last evaluation exercise was undertaken in 2019, externally facilitated by the Institute of Corporate Governance Uganda (ICGU). This next review which was scheduled for 2021 was adjourned to early 2022 in view of the various changes that took place during the year. A summary of the results and agreed areas of focus for the Board will be provided in the annual report for the period.

Independence of the Board

During the period, the ratio of Independent Non- Executive Directors of Board changed from one-third with only two of the seven directors being independent as at the end of the period under review. This was majorly attributed to the changes in Board composition during the year. A critical out-put from the Nominations committee as the consider suitable nominees to fill the current vacancies on the Board is the restoration of this balance in keeping with our commitment to embrace independent judgment, expertise and useful constructive challenge to its decision-making processes.

The Independent Non-Executive Directors are indicated under the Directors profiles shown at the beginning of this corporate governance report.

Conflict of interest management

In keeping with their fiduciary responsibility, Directors have a duty to avoid conflict of interest. USE Directors are required in every meeting to declare any interest in relation to any item on the agenda that is or could result in a conflict of interest. All declarations are documented and where an interest is declared, the declaring Director is required to exclude themselves from participating in making any decision in respect of a matter in which they are conflicted.

3. Delegated responsibilities of the Board Committees

The Board has delegated to its Committees the responsibility for maintaining effective governance in relation to: Audit and Risk management (Audit and Risk Committee), Director appointments (Nominations Committee), Finance, Human resources and technology (Finance and HR Committee), Market Conduct (Business Conduct Committee) and Strategy implementation monitoring (Business Development Committee).

During the year the Board in addition to the above 04 standing Board committees, constituted two adhoc committees: Listing Committee comprising Independent Non Executive Directors to review an application by a company to list of the Main Investment Market Segment. The Committee's tenure lapsed on 06th December 2021 upon completion of this specific delegated function.

The Board also constituted the Nominations Committee to consider and recommend

suitable nominees to fill the casual vacancies created by the departure of the 03 Board members and shown above. The tenure of the Nominations committee still survives as at the date of this report. The membership of the various committees is indicated in the summary of the Board composition above.

Board Meetings

A total of none (10) Board and Committee meetings were held during the year and 05 matters were considered via round bin. All Board and Board committee meetings during the year were held online due to restrictions on travel and in person meetings as a result of Covid-19. Comprehensive Board and Committee papers, comprising an agenda and formal reports and briefing papers are sent to Directors in advance of each meeting. Directors were also continually updated with written and verbal reports, from management.

Emphasis on leveraging the use of technology to facilitate quick and effective decision making remained a critical focus area for the Board carried forward from 2020. Management was encouraged to seek decisions for urgent matters via circular after provision of the relevant supporting documents giving the necessary information in a clear and concise manner to facilitate the decision-making process.

Below is summary of the Board and Board committee meeting held during the reporting period and Directors' attendance.

A - Absent √- Present n/a - Not Applicable

No.	DIRECTOR	Board			ARC	BCC		BDC	FHR		LC	Nom Com
		May	July	Dec.	July	Feb	March	July	July	Dec	Sept	Sept
1.	Mr. Charles Mbire Exited 14th May 2021	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
2.	Mr. Richard Byarugaba	√	√	√	√	√	√	n/a	n/a	n/a	n/a	n/a
4.	Mrs. Jennifer Mwijukye	A	√	A	n/a	n/a	n/a	√	√	A	√	n/a
5.	Dr. Rachel Mindra Katoroogo	√	√	√	√	√	√	n/a	n/a	n/a	√	√
6.	Ms.Leah Nyambura-Kagumba Joined 22nd Sept 2022	n/a	n/a	√	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
8.	Mr. Samuel Mwogeza	√	√	√	√	n/a	n/a	√	√	√	n/a	√
9.	Mr. Simon Mwebaze	A	√	√	n/a	n/a	n/a	√	√	√	n/a	√
10	Mr. Prashantam Mohan Exited 14. May 2021	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
11	Mrs. Christine Nkundizana (Exited 25th Nov. 2021)	√	√	n/a	√	n/a	n/a	n/a	n/a	n/a	n/a	√
12.	Mr. Paul Bwiso	√	√	√	√	√	√	√	√	√	√	√

4. Directors dealing in Securities

All Directors are required to notify the Exchange prior to trading and are prohibited from trading in securities during the respective closed periods of listed companies and other periods where the Board is in possession of price sensitive information, in which case closed periods are imposed on the concerned Directors.

The Board continues to ensure Directors keep their personal and relations information regarding their Securities Central Depository (SCD) Accounts updated as part of the company's efforts to ensure market transparency and compliance with insider trading rules applicable in the market.03 Notifications were received during the period.

5. Relationship with Shareholders.

The AGM is a core shareholder engagement activity through which we maintain shareholder transparency and accountability. During the period, the AGM for the year ended 2020 was held virtually on 22nd September 2021. Voting which is usually by show of hands was this time indicated by individual confirmation on the electronic platform designated for polls and as per usual practice every item was presented and voted on separately.

Whereas the Board maintained the virtual meeting model which was deemed most prudent in light of the Covid-19 pandemic and related restrictions on public gatherings issued by Government of at the time; with the reduced risk the Board intends to adopt hybrid meeting model to accommodate both physical and virtual options.

6. Board remuneration

There were no changes implemented in the Board remuneration structure or rates during the period. The remuneration structure provides for sitting allowances per meeting. The Board remuneration is approved by shareholders on an annual basis and further



details on Board remuneration are included in the audited financial statements (Note 16)

7. Inclusive stakeholder approach and Governance in the "New normal"

In line with evolving corporate governance best practices, the Board embraced broad focus on all stakeholders as an anchor for sustainable growth. As we continue to adapt to the new normal and align various aspects of the business to ensure resilience and preparedness to tackle new and emerging risks, the Board continues to intentionally review and monitor the various stakeholder support approaches that it adopted to ensure that each key stakeholder's unique challenges were meaningfully addressed. During the year the Board ensured management's implementation of the stakeholder specific approaches as below:

Workforce.

The overarching priority when it came to work force engagement was and continues to be prioritization of employee health and safety.

In the early development of the pandemic, the Board approved a remote working policy aimed at enabling staff work from home and with the necessary resources to support them effectively do the same. During the year, the Board through the Finance and HR Committee maintained close oversight over this model particularly ensuring that the right tools were being employed to ensure overall well-being of staff, to maintain productivity and to promote meaningful internal collaboration and engagement.

Issuers

The Board through oversight of Business Conduct Committee ensured that Issuers were regularly engaged by management who escalated key matters for the Committee via round robin for timely resolution and decision .At the height of the pandemic in 2020, the Board sanctioned moratoriums with respect to the financial reporting timelines for Issuers whose reporting preparations had been interrupted and also approved guidelines to support holding of virtual Annual General Meetings .The Board kept track of these two issues to ensure that the moratoriums were not abused and that the manner in which the virtual AGMs were being held complied with the guidelines.

Investors

During the pandemic the Board's priority for both current and potential investors on the exchange was to support management deliver uninterrupted access to the market. As restrictions were lifted, the Boards priority shifted to ensuring that management was empowered to deploy tools through which ease of access to market could be scaled particularly for the retail investors. Details of the specific activities implemented by management to achieve this are reported in detail in the CEOs report. Going forward, the Board will continue to place emphasis on the financial inclusion agenda, in particular leveraging technology to promote access to and participation in the market.

Trading participants

Recognizing trading participants as key business partners, the Board is keen on ensuring that trading participants remain maximally supported to access the market remotely and with stand-by IT support to resolve any individual system access challenges experienced during trading hours as a matter of top priority. Through the Finance and HR Committee which is also the Committee in charge of Information Systems, the Board considered the various recommendations from management with respect to resources necessary to enhance capacity of the existing systems and to enable innovative integrations that would support trading participants not only scale their operations but also enhance operational efficiencies within their individual organisations.

Our Governance approach in the "new Normal"

At the height of the pandemic, the main theme of our governance strategy was market preservation and resilience. During this time, the Board focused on examining its vulnerabilities in efficient communication with all stakeholders as part of its strategy to entrench an agile leadership and governance methodology. Through adoption of this methodology , the Board was able to set the tone of agility and flexibility from the top so that management would in turn incorporate agile approaches in the Company's systems, processes and work methods. This focus has borne fruit and has been a critical anchor for the transformational growth delivered in the year 2021 as shared in this report. Beyond oversight, the Board will continue to challenge and support management recognize opportunities and optimally utilize them as part of its commitment to promote the long-term sustainable success, generate value for shareholders and contribute to the wider society in which the Exchange operates.




Securities Exchange
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Directors **Report**

The Directors present their annual report together with the audited financial statements of Uganda Securities Exchange (USE/the "Company"/the "Exchange for the year ended 31 December 2021, which show the state of affairs of the Company.

Principal Activities

Following enactment of the Capital Markets Authority (Amendment) Act 2016 on 20th May 2016 demutualisation became a regulatory requirement to be fulfilled within two years from the date of enactment thus requiring USE t comply with the law by 20th May 2018.

In accordance with the above requirement, Uganda Securities Exchange Limited was incorporated on 18th May 2017 as a public company limited by shares with authorised share capital of Uganda shillings 1 Billion (UGX 1 ,000,000,000) divided into 100 million shares of a nominal value of UGX 10 Shillings each.

Current issued and paid up share capital of the Company is Uganda Shillings four hundred and twenty Million (UGX 420,000,000)

Uganda Securities Exchange is a company limited by shares and incorporated in Uganda under the Companies Act 2012,Laws of Uganda. The Company is Uganda's principal stock exchange licensed by the Capital Markets Authority to promote, develop, support and carry on the business of a securities exchange and to discharge all the functions of a securities exchange in Uganda.

The principle activity of the entity is to provide and maintain suitable premises and facilities for conducting all the business of a securities exchange, to regulate trading participants and ensure day to day management of trading ,settlement ,delivery and other activities related to dealing in securities are carried out in accordance with the Rules and procedures of the USE.

The Company also operates USE Nominees Limited which is wholly owned subsidiary whose principal objective of is to carry on the business of a clearing house and as such, to provide clearing and settlement services for transactions in securities traded in the market and to provide safe custody of all listed securities.

USE was licensed to operate as an approved stock Exchange in June 1997 by the Capital Markets Authority of Uganda under the Capital Markets (Licensing) Regulations 1996 and is regulated by the Capital Markets Authority.

Financial Results

Despite a challenging year on account of protracted economic effects of the COVID-19 pandemic, the Directors are pleased to report a Profit before Tax of UGX 1,194,590 Billion from UGX 84,040 Million in 2020 .Profit after Tax stood at UGX 786,654 Million from UGX. 41 Million in 2020 a increase of 1811%.

The Directors recommend the approval of a dividend of UGX 6.55 per share for the year 2021 amounting to UGX 275,329,000 (2020: UGX 0.34 per share amounting to 14,406,000).

Directors

During the year Mr. Charles Mbire, Mr Mohan Pranshantan and Ms Christine Nkundizana resigned as Directors. Mr. Mohan Pranshantam was replaced by Ms. Leah Nyambura. Following the resignation of Mr Charles Mbire , who was also the Board Chair, Mr. Richard Byarugaba was appointed as Acting Chairman of the Board.

The current members of the Board of Directors are as shown on page 70-71 of this report.

Auditors

KPMG were appointed during the year under review having expressed their willingness, continue in office in accordance provisions of

section 167(2) of the Companies Act 2021 Laws of Uganda.

The Directors monitor the effectiveness, objectivity and independence of the auditor. This responsibility includes the approval of the audit engagement contract and the associated fees on behalf of the shareholders.

BY ORDER OF THE BOARD

.....

Alison Kwikiriza- Serucaca
Company Secretary



Statement of **Director's Responsibilities**

The Company's directors are responsible for the preparation of financial statements set out on pages 87 to 136 that give a true and fair view of Uganda Securities Exchange Limited comprising the statement of financial position as at 31 December 2021, and the statement of comprehensive income, the statement of changes in equity and statement of cash flows for the year then ended, and the notes to the financial statements, which include a summary of significant accounting policies and other explanatory notes, in accordance with International Financial Reporting Standards and in the manner required by the Companies Act, 2012 Laws of Uganda.

The directors are also responsible for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and for maintaining adequate accounting records and an effective system of risk management.

The directors have made an assessment of the ability of the Company to continue as going concern and have no reason to believe that the business will not be a going concern for at least the next twelve months from the date of this statement.

The auditor is responsible for reporting on whether the financial statements give a true and fair view in accordance with the International Financial Reporting Standards (IFRSs) and in the manner required by the Companies Act, 2012 Laws of Uganda.

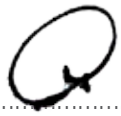
Approval of the financial statements

The financial statements of the Company, as indicated above, were approved and authorised for issue by the Board of Directors on 22nd June 2022.



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Chief Executive Officer
22nd June 2022



.....

Ag. Chairman of the Board
22nd June 2022



Uganda Securities Exchange

Financial Statements

FOR THE YEAR ENDED 31 DECEMBER 2021

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REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of Uganda Securities Exchange Limited ("the Company") set out on pages 87 to 136, which comprise the statement of financial position as at 31 December 2021, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of Uganda Securities Exchange Limited as at 31 December 2021, and its financial performance and its cash flows for the year ended in accordance with the International Financial Reporting Standards (IFRSs), and in the manner required by the Companies Act,2012 Laws of Uganda.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the financial statements section of our report. We are independent of the Company in accordance with the "International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards)" (IESBA Code), together with the ethical requirements that are relevant to our audit of the financial statements in Uganda, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. We have determined that there are no key audit matters to communicate in our report.

Other information

The directors are responsible for the other information. The other information comprises the information included in the Uganda Securities Exchange Limited Annual Report and financial statements for the year ended 31st December 2021 but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Directors' responsibilities for the financial statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with the IFRSs and in the manner required by, the Companies Act, 2012 Laws of Uganda, and for such internal control as the directors determine is necessary to enable the preparation of the financial statements that are free from material misstatements, whether due to fraud or error. In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with International Standards on Auditing, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

— Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

— Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

— Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

— Conclude on the appropriateness of the director's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

— Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by the Companies Act, 2012 Laws of Uganda, we report to you based on our audit, that:

i) We have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purpose of our audit;
ii) In our opinion, proper books of account have been kept by the Company, so far as appears from our examination of those books; and
iii) The statements of financial position and comprehensive income are in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Asad Lukwago - P0365.

KPMG
Certified Public Accountants
3rd Floor, Rwenzori Courts
Plot 2 & 4A, Nakasero Road
P. O. Box 3509
Kampala, Uganda

CPA Asad Lukwago

Date: 12th July 2022

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2021

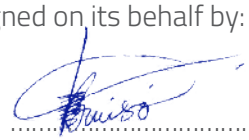
	Notes	2021 Ushs'000	2020 Ushs'000
Fees and commissions	5	**2,514,256**	1,505,782
Revenue grant	6	**-**	25,000
Other income	7(a)	**650,209**	437,974
Interest income	7(b)	**725,273**	728,647
Gross income		**3,889,738**	**2,697,403**
Operating expenses	8	**(155,994)**	(148,444)
Administration expenses	9	**(1,018,856)**	(1,131,646)
Impairment of financial assets	24(a)	**(45,037)**	(41,391)
Staff costs	10	**(1,373,702)**	(1,175,813)
Finance costs	15(b)	**(95,558)**	(115,274)
Foreign exchange loss		**(6,001)**	(795)
Profit before taxation	11	**1,194,590**	**84,040**
Tax charge	12(a)	**(407,936)**	(42,880)
Profit for the year		**786,654**	**41,160**
Other comprehensive income		**-**	-
Total comprehensive income for the year		**786,654**	**41,160**

The notes on pages 92 to 136 are an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2021

	Notes	2021 Ushs'000	2020 Ushs'000
ASSETS			
Current Assets			
Bank and Cash Balances	22	-	41,321
Fixed Deposit	20	7,039,654	5,910,860
Trade and other receivables	19	314,237	247,711
Due from Related Parties	16(b)	24,960	18,618
Tax recoverable	12(d)	-	149,628
		7,378,851	6,368,138
Non-current assets			
Intangible assets	13	171,949	146,598
Equipment	14	194,022	290,508
Right of Use	15(a)	561,883	749,179
Unquoted investments	17	65,176	65,176
Deferred tax asset	12(c)	140,385	117,156
		1,133,415	1,368,617
Total assets		8,512,266	7,736,755
EQUITY AND LIABILITIES			
Equity			
Share capital	18 (a)	420,000	420,000
Proposed dividend	18 (b)	281,503	14,406
Retained earnings	23	6,491,614	5,980,289
Total equity		7,193,117	6,414,695
Non-current liabilities		-	-
Current liabilities			
Bank overdraft	22	30,707	-
Amounts due to related parties	16(c)	1,741	1,741
Lease liability	15(b)	656,829	893,633
Trade and other payables	21	435,531	426,686
Tax payable	12(d)	194,341	-
		1,319,149	1,322,060
Total equity and liabilities		8,512,266	7,736,755

The financial statements on pages 87 to 136 were approved by the Board of Directors on ..22nd June..... 2022 and signed on its behalf by:



.....
Chief Executive Officer



.....
Chairman of the Board of Directors

The notes set out on pages 92 to 136 form an integral part of these financial statements.

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2021

	Share capital Ushs'000	Retained earnings Ushs'000	Proposed dividend Ushs'000	Total Ushs'000
1 January 2020	**420,000**	**5,953,535**	**-**	**6,373,535**
Proposed dividend		(14,406)	14,406	-
Total comprehensive income for the year	-	41,160	-	41,160
At 31 December 2020	**420,000**	**5,980,289**	**14,406**	**6,414,695**
Balance at 1 January 2021	**420,000**	**5,980,289**	**14,406**	**6,414,695**
Total comprehensive income for the year	-	786,654	-	786,654
Dividends paid	-	-	(8,232)	(8,232)
Proposed dividend		(275,329)	275,329	-
At 31 December 2021	**420,000**	**6,491,614**	**281,503**	**7,193,117**

The notes set out on pages 92 to 136 from an integral part of these financial statements.

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2021

	Notes	2021 Ushs'000	2020 Ushs'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before taxation		**1,194,590**	**84,040**
Adjusted for:			
Depreciation	14&15(a)	**290,765**	302,662
Amortisation	13	**5,798**	102,701
Interest on lease liabilities	15(c)	**95,558**	115,274
ECL on fixed deposits		**884**	942
		1,587,595	605,619
Changes in working capita			
Trade and other receivables		**(66,526)**	321,213
Due from related parties		**(6,342)**	273,512
Trade and other payables		**8,845**	(754)
Cash generated from operating activities		**1,523,572**	**1,199,590**
Tax paid	12(d)	**(87,196)**	(381,047)
Interest paid on Lease liability	15(c)	**(95,558)**	(115,274)
Net cash generated from operating activities		**1,340,818**	**703,269**
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of property and equipment	14	**(6,983)**	(10,895)
Purchase of Intangible assets		**(31,149)**	(173,673)
Investments in fixed deposits		**(1,129,678)**	(474,518)
Net cash used in investing activities		**(1,167,810)**	**(659,086)**
CASH FLOWS FROM FINANCING ACTIVITIES			
Payments of principal portion of lease liability		**(236,804)**	(84,143)
Dividend payments to shareholders		**(8,232)**	-
Net cash used in financing activities		**(245,036)**	**(84,143)**
Decrease in cash and cash equivalents		**(72,028)**	(39,960)
Cash and cash equivalents at beginning of year		**41,321**	81,281

Cash and cash equivalents at end of year		**(30,707)**	41,321
Represented by:			
Bank and cash balances	22	**-**	41,321
Bank overdraft	22	**(30,707)**	-

The notes set out on pages 92 to 136 from an integral part of these financial statements

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2021

1. REPORTING ENTITY

Uganda Securities Exchange Limited is a Company limited by shares and incorporated in Uganda under the Companies Act, 2012 Laws of Uganda.

For purposes of Companies Act, 2012 Laws of Uganda, the balance sheet is represented by the statement of financial position in these financial statements, and the profit and loss account is represented by the statement of comprehensive Income.

2. BASIS OF PREPARATION

(a) Basis of accounting

The financial statements of Uganda Securities Exchange Limited have been prepared in accordance with International Financial Reporting Standards (IFRSs) and in the manner required by the Companies Act, 2012 Laws of Uganda.

(b) Basis of measurement

The financial statements have been prepared on the historical cost basis, except where otherwise stated in the accounting policies below.

(c) Functional and presentation currency

The financial statements are presented in Uganda Shillings (Ushs '000), which is the Company's functional and presentation currency.

3. SIGNIFICANT ACCOUNTING POLICIES

A) RECENTLY ISSUED ACCOUNTING STANDARDS/ NEW ACCOUNTING PRONOUNCEMENTS

New and amended standards and interpretations in issued and are effective for the year ended 31 December 2021

The International Accounting Standards Board (IASB) issued new IFRSs and amendments to the existing standards which came into effect in the current year. Of these, the following new standards which are effective from 1 January 2021 led to changes in the Company's significant accounting policies.

New amendments or interpretation effective for annual periods beginning on or after 1 January 2021 are summarised below;

New amendments or interpretation	Effective date
▪ COVID-19 Related Rent Concessions beyond 30 June 2021 (Amendment to IFRS 16)	1 April 2021
▪ Interest Rate Benchmark Reform – Phase 2 (Amendments to IFRS 9, IAS 39, IFRS 7 and IFRS 16)	1 April 2021

Interest Rate Benchmark Reform (Amendments to IFRS 9, IAS 39 and IFRS 7)

Amendments to IFRS 9, IAS 39 and IFRS 7 have now been issued to address uncertainties related to the ongoing reform of interbank offered rates (IBOR). The amendments provide targeted relief for financial instruments qualifying for hedge accounting in the lead up to IBOR reform.

The amendments address issues affecting financial reporting in the period leading up to IBOR reform, are mandatory and apply to all hedging relationships directly affected by uncertainties related to IBOR reform.

The adoption of these amendments did not have a significant impact on the financial statements of the Company.

COVID-19-Related Rent Concessions (Amendments to IFRS 16)

The amendments introduce an optional practical expedient that simplifies how a lessee accounts for rent concessions that are a direct consequence of COVID-19. A lessee that applies the practical expedient is not required to assess whether eligible rent concessions are lease modifications, and accounts for them in accordance with other applicable guidance. The resulting accounting will depend on the details of the rent concession.

The practical expedient will only apply if:

- The revised consideration is substantially the same or less than the original consideration;
- The reduction in lease payments relates to payments due on or before 30 June 2021; and
- No other substantive changes have been made to the terms of the lease.

Lessees applying the practical expedient are required to disclose:

- That fact, if they have applied the practical expedient to all eligible rent concessions and, if not, The nature of the contracts to which they have applied the practical expedient; and
- The amount recognised in profit or loss for the reporting period arising from application of the practical expedient.

The adoption of these amendments did not have a significant impact on the financial statements of the Company

ii) New and amended standards and interpretations in issue but not yet effective for the year ended 31 December 2021

At the date of authorization of the financial statements of Uganda Securities Exchange Limited for the year ended 31 December 2021, the following Standards and Interpretations were in issue but not yet effective:

New amendments or interpretation	Effective for annual periods beginning on or after
▪ Onerous Contracts – Cost of Fulfilling a contract (Amendments to IAS 37)	1 January 2022
▪ Property, Plant and Equipment: Proceeds before Intended Use (Amendments to IAS 16)	1 January 2022
▪ Annual improvements to IFRS Standards 2018-2020	1 January 2022
▪ Reference to the Conceptual Framework (Amendments to IFRS 3)	1 January 2022
▪ Classification of Liabilities as Current and Non-Current (Amendments to IAS 1)	1 January 2023
▪ IFRS17 Insurance Contracts and amendments to IFRS17 Insurance Contracts	1 January 2023
▪ Disclosure of accounting polices (Amendments to IAS 1 and IFRS Practice Statement 2)	1 January 2023
▪ Definition of accounting estimates (Amendments to IAS 8)	1 January 2023
▪ Deferred Tax related to Asset and Liabilities arising from a Single Transaction (Amendments to IAS 12)	1 January 2023
▪ Sale or contribution of assets between an investor and its associate or joint venture (Amendments to IFRS 10 and IAS 28)	Indefinitely deferred

All standards and Interpretations will be adopted at their effective date (except for those standards and Interpretations that are not applicable to the entity).

Onerous Contracts: Cost of Fulfilling a Contract (Amendments to IAS 37)

Amendments to IAS 37 Provisions, Contingent Liabilities and Contingent Assets, issued by the International Accounting Standards Board, clarify that the 'costs of fulfilling a contract' when assessing whether a contract is onerous comprise both:

- The incremental costs – e.g. direct labour and materials; and
- An allocation of other direct costs – e.g. an allocation of the depreciation charge for an item of property, plant and equipment used in fulfilling the contract.

The amendments apply for annual reporting periods beginning on or after 1 January 2022 to contracts existing at the date when the amendments are first applied. At the date of initial application, the cumulative effect of applying the amendments will be recognized as an opening balance adjustment to retained earnings or other component of equity, as appropriate. The comparatives will not be restated. Earlier application is permitted.

The amendments are not expected to have a material impact on the Company.

Property, Plant and Equipment: Proceeds before Intended Use (Amendments to IAS 16)

The amendment prohibits deducting from the cost of an item of property, plant and equipment any proceeds from selling items produced while bringing that asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Instead, an entity recognises the proceeds from selling such items, and the cost of producing those items, in profit or loss.

Proceeds from selling items before the related item of property, plant and equipment is available for use should be recognised in profit or loss, together with the costs of producing those items. IAS 2 Inventories should be applied in identifying and measuring these production costs.

Companies will therefore need to distinguish between:

- Costs associated with producing and selling items before the item of property, plant and equipment is available for use; and
- Costs associated with making the item of property, plant and equipment available for its intended use.

The amendments apply for annual reporting periods beginning on or after 1 January 2022, with earlier application permitted. The amendments apply retrospectively, but only to items of property, plant and equipment made available for use on or after the beginning of the earliest period presented in the financial statements in which the Company first applies the amendments. The amendments are not expected to have a material impact on the Company.

Reference to the Conceptual Framework (Amendments to IFRS 3)

The amendment has:

- Updated IFRS 3 so that it refers to the 2018 Conceptual Framework instead of the 1989 Framework;
- Added to IFRS 3 a requirement that, for transactions and other events within the scope of IAS 37 or IFRIC 21, an acquirer applies IAS 37 or IFRIC 21 (instead of the Conceptual Framework) to identify the liabilities it has assumed in a business combination; and
- Added to IFRS 3 an explicit statement that an acquirer does not recognise contingent assets acquired in a business combination.

The amendment is effective for annual periods beginning on or after 1 January 2022. Early application is permitted if an entity also applies all other updated references (published together with the updated Conceptual Framework) at the same time or earlier.

The amendments are not expected to have a material impact on the Company.

IFRS 17 Insurance Contracts (and its related amendments)

IFRS 17 supersedes IFRS 4 Insurance Contracts and aims to increase comparability and transparency about profitability. The new standard introduces a new comprehensive model ("general model") for the recognition and measurement of liabilities arising from insurance contracts. In addition, it includes a simplified approach and modifications to the general measurement model that can be applied in certain circumstances and to specific contracts, such as:

- Reinsurance contracts held;
- Direct participating contracts; and
- Investment contracts with discretionary participation features.

Under the new standard, investment components are excluded from insurance revenue and service expenses. Entities can also choose to present the effect of changes in discount rates and other financial risks in profit or loss or OCI. The new standard includes various new disclosures and requires additional granularity in disclosures to assist users to assess the effects of insurance contracts on the entity's financial statements.

The standard is effective for annual periods beginning on or after 1 January 2023. Early adoption is permitted only if the entity applied IFRS 9.

The amendments are not expected to have a material impact on the Company.

Classification of liabilities as current or non-current (Amendments to IAS 1)

Under existing IAS 1 requirements, companies classify a liability as current when they do not have an unconditional right to defer settlement of the liability for at least twelve months after the end of the reporting period. As part of its amendments, the Board has removed the requirement for a right to be unconditional and instead, now requires that a right to defer settlement must have substance and exist at the end of the reporting period.

There is limited guidance on how to determine whether a right has substance and the assessment may require management to exercise interpretive judgement.

The existing requirement to ignore management's intentions or expectations for settling a liability when determining its classification is unchanged.

The amendments are to be applied retrospectively from the effective date.

The amendments are not expected to have a material impact on the Company.

Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (Amendments to IFRS 10 and IAS 28)

The amendments require the full gain to be recognised when assets transferred between an investor and its associate or joint venture meet the definition of a 'business' under IFRS 3 Business Combinations. Where the assets transferred do not meet the definition of a business, a partial gain to the extent of unrelated investors' interests in the associate or joint venture is recognised. The definition of a business is key to determining the extent of the gain to be recognised.

The IASB has decided to defer the effective date for these amendments indefinitely. Adoption is still permitted. When a parent loses control of a subsidiary in a transaction with an associate or joint venture (JV), there is a conflict between the existing guidance on consolidation and equity accounting. Under the consolidation standard, the parent recognises the full gain on the loss of control. But under the standard on associates and JVs, the parent recognises the gain only to the extent of unrelated investors' interests in the associate or JV.

In either case, the loss is recognised in full if the underlying assets are impaired.
In response to this conflict and the resulting diversity in practice, on 11 September 2014 the IASB issued Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (Amendments to IFRS 10 and IAS 28).

The amendments are not expected to have a material impact on the Company.

Interest Rate Benchmark Reform Phase 2 (Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16)

The amendments address issues that might affect financial reporting as a result of the reform of an interest rate benchmark, including the effects of changes to contractual cash flows or hedging relationships arising from the replacement of an interest rate benchmark with an alternative benchmark rate. The amendments provide practical relief from certain requirements in IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16 relating to:

Change in basis for determining cash flows
The amendments will require an entity to account for a change in the basis for determining the contractual cash flows of a financial asset or financial liability that is required by interest rate benchmark reform by updating the effective interest rate of the financial asset or financial liability.

Hedge accounting
The amendments provide exceptions to the hedge accounting requirements in the following areas:

- Allow amendment of the designation of a hedging relationship to reflect changes that are required by the reform.
- When a hedged item in a cash flow hedge is amended to reflect the changes that are required by the reform, the amount accumulated in the cash flow hedge reserve will be deemed to be based on the alternative benchmark rate on which the hedged future cash flows are determined.
- When a group of items is designated as a hedged item and an item in the group is amended to reflect the changes that are required by the reform, the hedged items are allocated to sub groups based on the benchmark rates being hedged.

- If an entity reasonably expects that an alternative benchmark rate will be separately identifiable within a period of 24 months, it is not prohibited from designating the rate as a non contractually specified risk component if it is not separately identifiable at the designation date.

Disclosure
The amendments will require the Company to disclose additional information about the entity's exposure to risks arising from interest rate benchmark reform and related risk management activities.

b) REVENUE RECOGNITION

The core principle of IFRS 15 is that an entity recognizes revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services.

Information about the Company's accounting policies relating to contracts with customers is provided in Note 5(b).

c) PROPERTY PLANT AND EQUIPMENT

Equipment are stated at the cost of bringing the assets to their present location and condition less accumulated depreciation and any accumulated impairment losses.

DEPRECIATION

Depreciation is calculated to write off the cost of property, plant and equipment on a straight-line basis using the following annual rates: -

Motor vehicles	25.00%
Furniture and fittings	12.50%
Office partitions	33.33%
Computer equipment	33.33%

Depreciation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate. Gains and losses on disposal of equipment is determined by reference to their carrying amount and are taken into account in determining operating profit.

d) INTANGIBLE ASSETS

Software
Software acquired by the Company is measured at cost less accumulated amortisation and any accumulated impairment losses. Expenditure on internally developed software is recognised as an asset when the Company is able to demonstrate its intention and ability to complete the development and use the software in a manner that will generate future economic benefits, and can reliably measure the costs to complete the development.

The capitalised costs of internally developed software include all costs directly attributable to developing the software and capitalised borrowing costs and are amortised over its useful life.

Internally developed software is stated at capitalised cost less accumulated amortisation and impairment. Subsequent expenditure on software assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Software is amortised on a straight-line basis over its estimated useful life, from the date that it is available for use. The estimated useful life of software for the current and comparative periods is five years.

Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

e) CAPITAL GRANTS

Grants related to the acquisition of assets are recognised in profit or loss on a systematic basis over the useful lives of the assets acquired.

f) JOINT ARRANGEMENTS

The Company classifies joint arrangements as joint operations if it has joint control over the assets and have rights to the assets and obligations for the liabilities relating to the arrangement. The Company recognizes its share of assets at cost less impairment and amortization in accordance with IAS 38 and recognizes its share of income and expenses on accruals basis.

g) IMPAIRMENT OF TANGIBLE AND INTANGIBLE ASSETS

At each end of reporting period, the Company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs. Where a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment annually, and whenever there is an indication that the asset may be impaired.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Where an impairment loss subsequently reverses, the carrying amount of the asset (cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

h) FINANCIAL INSTRUMENTS

I. Recognition and initial measurement

Trade receivables are initially recognized when they are originated. All other financial assets and financial liabilities are initially recognized when the Company becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

II. Classification and subsequent measurement

Financial assets

On initial recognition, a financial asset is classified as measured at: amortized cost; FVOCI – debt investment; FVOCI – equity investment; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Company changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortized cost if it meets both of the following conditions and is not designated as at FVTPL:

- It is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- Its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:

Financial assets

- It is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- Its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Company may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by-investment basis.

All financial assets not classified as measured at amortized cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortized cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial assets – Business model assessment

The Company makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

- The stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realizing cash flows through the sale of the assets;
- How the performance of the portfolio is evaluated and reported to the Company's management;
- The risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- How managers of the business are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- The frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for de-recognition are not considered sales for this purpose, consistent with the Company's continuing recognition of the assets.

Financial assets that are held for trading or are managed and whose performance is evaluated on fair value basis are measured at FVTPL.

Financial assets – Assessment whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Company considers:

- Contingent events that would change the amount or timing of cash flows;
- Terms that may adjust the contractual coupon rate, including variable-rate features;
- Prepayment and extension features; and
- Terms that limit the Company's claim to cash flows from specified assets (e.g. non-recourse features).

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual per amount, a feature that permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

Financial assets - Subsequent measurement and gains and losses

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognized in profit or loss.
Financial assets at amortized cost	These assets are subsequently measured at amortized cost using the effective interest method. The amortized cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on de-recognition is recognized in profit or loss.
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognized in profit or loss. Other net gains and losses are recognized in OCI. On de-recognition, gains and losses accumulated in OCI are reclassified to profit or loss.

Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognized as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

Financial liabilities – Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortized cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative, or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognized in profit or loss. Other financial liabilities are subsequently measured at amortized cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognized in profit or loss. Any gain or loss on de-recognition is also recognized in profit or loss.

III. De-recognition

Financial assets

The Company derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Company enters into transactions whereby it transfers assets recognized in its statement of financial position but retains either all or substantially all of the risks and rewards of the transferred assets. In these cases, the transferred assets are not de-recognized.

Financial liabilities

The Company derecognises a financial liability when its contractual obligations are discharged or cancelled or expire. The Company also derecognizes a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognized at fair value.

On de-recognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognized in profit or loss.

IV. Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Company currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realize the asset and settle the liability simultaneously.

V. Amortised cost measurement

The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount recognised and the maturity amount minus any reduction for impairment.

VI. Fair value measurement

'Fair value' is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Company has access at that date. The fair value of a liability reflects its non-performance risk.

When available, the Company measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Company uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received. If the Company determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique that uses only data from observable markets, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognised in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is wholly supported by observable market data or the transaction is closed out.

VII. Identification and measurement of impairment

At each reporting date the Company assesses whether there is objective evidence that financial assets not carried at fair value through profit or loss are impaired. A financial asset or a group of financial assets is impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset(s) and that the loss event has an impact on the future cash flows of the asset(s) that can be estimated reliably.

Impairment losses on assets measured at amortised cost are calculated as the difference between the carrying amount and the present value of estimated future cash flows discounted at the asset's original effective interest rate.

Specific provision is made for all known bad debts. Bad debts are written off when all reasonable steps to recover them have been taken without success.

j) PROVISIONS

Provisions are recognised when the Company has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount can be made.

k) LEASES

i. As a lessee

At commencement or on modification of a contract that contains a lease component, the Company allocates the consideration in the contract to the lease component.

The Company recognizes a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Company by the end of the lease term or the cost of the right-of-use asset reflects that the Company will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain re-measurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Generally, the Company uses its incremental borrowing rate as the discount rate.

The Company determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- Fixed payments, including in-substance fixed payments;
- Variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- Amounts expected to be payable under a residual value guarantee; and
- The exercise price under a purchase option that the Company is reasonably certain to exercise, lease payments in an optional renewal period if the Company is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Company is reasonably certain not to terminate early.

The lease liability is measured at amortized cost using the effective interest method. It is re-measured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Company's estimate of the amount expected to be payable under a residual value guarantee, if the Company changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is re-measured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

(ii) As a lessor

At inception or on modification of a contract that contains a lease component, the Company allocates the consideration in the contract to each lease component on the basis of their relative stand-alone selling prices. When the Company acts as a lessor, it determines at lease inception whether the lease is a finance lease or an operating lease.

To classify each lease, the Company makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Company considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

l) RETIREMENT BENEFIT OBLIGATIONS

National Social Security Fund

The Company makes contributions to the National Social Security Fund (NSSF), which is a statutory retirement benefit scheme established under the NSSF Act. This is a defined contribution scheme into which the Company contributes 10% of the employees' gross cash emoluments. The Company's contribution is charged to profit or loss as it falls due.

m) CASH AND CASH EQUIVALENTS

For the purposes of the statement of cash flows, cash and cash equivalents comprise cash on hand, deposits held at call with banks, other short-term highly liquid investments and bank overdrafts.

n) TRANSLATION OF FOREIGN CURRENCIES

Assets and liabilities at the end of the reporting period that are expressed in foreign currencies are translated into Uganda Shillings at the rate of exchange ruling at the reporting date. Foreign currency transactions during the year are translated into Uganda Shillings at the rates ruling at the transaction dates. The resulting differences are dealt with in profit or loss in the year in which they arise.

o) TAXATION

Tax expense comprises current and deferred tax. Current tax and deferred tax are recognized in profit or loss except to the extent that it relates to items recognized directly in equity or in other comprehensive income.

(i) Current tax

Current tax is the expected tax payable or receivable on the taxable income for the year using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

(ii) Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax is not recognised for:

- Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;
- Temporary differences arising on the initial recognition of goodwill.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to taxes levied by the same tax authority on the same taxable entity or on different tax entities, but they intend to settle current tax assets and liabilities on a net basis, or their tax assets and liabilities will be realized simultaneously.

p) DIVIDENDS

Dividends on ordinary shares are recognised as a liability in the Company's financial statements in the period in which they are declared by the Company. In the case of interim dividends, these are considered to be declared when they are paid. The Company evaluates the financial position to determine ability to pay dividends to its shareholders in any particular year.

3. CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the process of applying the Company's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

(i) Critical judgments in applying accounting policies

Measurement of ECL allowance for trade receivables:

The Company uses the provisional matrix to measure the ECL of trade receivables from individual customers. Loss rates are calculated using a 'roll rate' method based on the probability of a receivable progressing through successive stages of delinquency to write-off.

Deferred tax:

Management makes assumptions with regards to availability of future taxable profits against which deductible temporary differences and tax losses carried forward can be utilised;

Right of Use Asset:

IFRS 16 states that one has the right to direct how and for what purpose the asset is used throughout its period of use or the relevant decisions about use are pre-determined and one has the right to operate the asset throughout the period of use without having the right to change these operating instructions. The Right of use asset involves estimating the lease term and the discount rate.

The lease term is the non-cancellable period and any optional renewal periods if the Company reasonably with certainty exercises it and periods after the termination date if lessee is reasonably certain not to terminate.

(ii) Key sources of estimation uncertainty

Impairment

At the end of each reporting period, the Company reviews the carrying amounts of its tangible and other assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss.

Equipment

Critical estimates are made by the Company in determining depreciation rates and useful lives for equipment at the end of each reporting period.

(iii) Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year.

(iv) Share Capital

Shares are classified as equity when there is no obligation to transfer cash or other assets. Incremental costs directly attributable to the issue of equity instruments are shown in equity as a deduction from the proceeds, net of tax.

5. FEES AND COMMISSIONS

a) Revenue Streams

The company has several revenue streams which stem primarily from fees charged by the exchange to listed entities, brokers and custodians, traded equity instruments such as government treasury bonds and corporate bonds. The company recognizes revenue at the point the fees are charged. These are detailed below:

	2021 Ushs'000	2020 Ushs'000
Equity listing fees	**1,761,980**	763,580
Bonds listing fees	**12,825**	12,747
Application and Entrance fees	**112,000**	-
Brokerage commission	**77,151**	79,155
Membership fees	**15,000**	15,000
Government treasury bonds	**500,000**	600,000
SCD Swift Fees	**35,300**	35,300
	2,514,256	**1,505,782**

b) Performance obligations and revenue recognition policies

Revenue is measured based on the consideration specified in a contract with a customer. The following table provides information about the nature and timing of the satisfaction of performance obligations in contracts with customers, including payment terms, and the related revenue recognition policies.

Type of Product	Nature and timing of satisfaction of performance obligations, including significant payment terms	Revenue recognition under IFRS 15
Equity listing	These are fees charged to clients who list their shares on the exchange. This is charged at the beginning of the year.	Revenue from this service is recognised over time as the services are provided.
Bonds Listing	These are fees charged on the listing of government treasury bonds. This fee is charged at the point of listing of the bonds.	Revenue related to transactions is recognised overtime as the services are provided.
Brokerage	The exchange offers trading services to brokers and custodians. Brokerage fees are charged on a monthly basis based on fixed rates.	Revenue from this product is recognised at a point in time as and when brokers and custodians make trades.

Membership	The exchange charges annual membership fees to members	Revenue from this service is recognised over time as the services are provided.
Government Treasury bonds	These are fees charged on the listing of government treasury bonds on an annual basis. This fee is charged at the point of listing of the bonds.	The company recognizes this revenue over time as the service is provided.
Access to SCD Platform	These are servicing fees that are charged for access to the SCD platform in order to carry out trades.	The company recognizes the revenue when the members pay for use of the SCD Platform

The company generates its revenue from six major forms of income as stated above. These are charged according to USE rules, charges and penalties rules 2021. The Company recognises 85% of the revenue (brokerage commission) generated from the use of the Automated Trading System (ATS) as disclosed under Note 13.

6. REVENUE GRANT

	2021 Ushs '000	2020 Ushs '000
Revenue grant	-	25,000

This relates to grant received on an annual basis from Bank of Uganda to assist the Company in carrying out its operations. No new grant was received for the year ended 31 December 2021

7. OTHER OPERATING INCOME

		2021 Ushs'000	2020 Ushs'000
(a)	**Other income**		
	Securities Central Depository (SCD) income	**246,331**	188,773
	Miscellaneous income	**105,116**	23,912
	Registry services	**136,664**	62,123
	Data vending services	**128,607**	105,115
	Penalties	**14,000**	20,000
	Virtual AGM Fees	**19,491**	38,051
		650,209	**437,974**

		2021 Ushs'000	2020 Ushs'000
(b)	Interest income		
	Interest earned on investments	**724,363**	716,169
	Interest earned on bank account	**910**	12,478
		725,273	728,647

8 OPERATING EXPENSES

	2021 Ushs'000	2020 Ushs'000
SCD Operational expenses	**3,010**	3,020
SCD Operational Expenses- Swift fees	**29,682**	31,167
Motor vehicle and equipment costs	**1,403**	1,109
Withholding tax	**1,331**	1,397
African Securities Exchange Association expenses	**7,540**	6,709
Hardware maintenance and repairs	**13,252**	9,512
Software licenses	**38,128**	40,659
Board meetings and Board of Directors expenses	**22,700**	23,600
Board meetings and Retreats	**6,840**	-
Annual Subscription	**21,006**	8,196
Virtual AGM Expenses	**11,102**	23,075
	155,994	148,444

9. ADMINISTRATIVE EXPENSES

	2021 Ushs'000	2020 Ushs'000
Telephone	**22,518**	21,935
Post	**1,075**	1,365
Internet - admin costs	**68,081**	56,839
Medical insurance	**39,189**	33,983
Group personal accident	**16,050**	17,750
Motor vehicle insurance	**11,034**	17,184
Office equipment and furniture insurance	**6,740**	4,222

	2021 Ushs'000	2020 Ushs'000
Professional indemnity and fidelity insurance	**7,873**	7,873
Depreciation	**103,469**	115,368
Amortisation of intangible assets	**5,798**	102,701
Advertising and publicity	**113,058**	45,735
Electricity	**16,120**	18,757
Fuel and lubricants	**15,017**	8,292
Auditor's remuneration	**25,000**	25,000
Internal audit services	**32,000**	32,000
General office expense	**5,971**	7,022
Hire/Lease of Laptops	**11,151**	-
External legal services	**4,142**	12,652
Stationery and photocopying	**3,992**	3,252
Cleaning and fumigation	**9,000**	6,000
Newspapers and magazines	**1,304**	2,967
Security	**3,115**	3,348
Bank charges	**7,847**	6,021
Membership and subscription	**22,687**	31,178
Entertainment/marketing	**-**	1,597
Consultancy fees	**69,122**	64,032
Data Center Costs	**210,207**	297,279
Depreciation – Right of use	**187,296**	187,294
	1,018,856	**1,131,646**

10. STAFF COSTS

	2021 Ushs'000	2020 Ushs'000
Salaries and wages	**1,003,162**	975,155
Staff annual bonus	**171,983**	-
Staff welfare	**42,587**	42,193
Staff training	**7,380**	13,922
NSSF contribution	**99,332**	97,446
5% Staff Provident Fund	**49,258**	47,097
	1,373,702	**1,175,813**

The average number of staff during the year was 15 (2020:16).

11. PROFIT BEFORE TAXATION

	2021 Ushs '000	2020 Ushs '000
The profit before taxation is arrived at after charging:		
Auditor's remuneration	**25,000**	25,000
Staff costs	**1,373,702**	1,175,813
Depreciation of Equipment and Right of Use Asset	**290,765**	302,662
Amortization of intangible assets	**5,798**	102,701

12. TAXATION

		2021 Ushs '000	2020 Ushs '000
(a)	**Taxation charge**		
	Current taxation	**431,165**	114,544
	Deferred tax credit	**(23,229)**	(74,724)
	Penalty for under estimation	**-**	3,060
		407,936	**42,880**

The corporation tax rate is set at 30% of the profits for the year as adjusted for tax purposes in accordance with the Income Tax Act Cap 340. The tax on the Company profit for the year differs from the theoretical amount that would arise using the basic tax rate as follows:

		Effective Tax rate	2021 Ushs '000	Effective Tax rate	2020 Ushs '000
(b)	**Reconciliation of taxation charge**				
	Accounting profit before taxation		**1,194,590**		**84,040**
	Tax applicable rate of 30%	30%	**358,377**	30%	25,212
	Tax effect of non-deductible expenses	4%	**49,559**	17%	14,014
	Prior year under provision on deferred tax	-	**-**	4%	3,654
		34%	**407,936**	**51%**	**42,880**

12. TAXATION (CONTINUED)

(c) Deferred income tax asset

	2021 Ushs '000	2020 Ushs '000
The movement in the deferred income tax asset is as follows:		
1 January	**(117,156)**	(42,432)
Income statement credit	**(23,229)**	(74,724)
Balance at 31 December	**(140,385)**	**(117,156)**

Deferred tax assets as at 31 December 2021 and 31 December 2020 are attributable to the movement in temporary differences between calculations of certain items for accounting and for taxation purposes as detailed below: -

31 December 2021

	31-Dec-20 Ushs '000	Movement Ushs '000	31-Dec-21 Ushs '000
Accelerated capital allowances	(228,194)	78,414	(149,780)
Unrealized foreign exchange losses	(795)	795	-
Provisions	(161,532)	(156,638)	(318,170)
Total temporary differences	**(390,521)**	**(77,429)**	**(467,950)**
Deferred tax asset	**(117,156)**	**(23,229)**	**(140,385)**

31 December 2020

	31-Dec-19 Ushs '000	Movement Ushs '000	31-Dec-20 Ushs '000
Accelerated capital allowances	(28,217)	(199,977)	(228,194)
Unrealized foreign exchange losses	(4,937)	4,142	(795)
Provisions	(108,287)	(53,245)	(161,532)
Total temporary differences	**(141,441)**	**(249,080)**	**(390,521)**
Deferred tax asset	**(42,432)**	**(74,724)**	**(117,156)**

		2021 Ushs'000	2020 Ushs'000
(d)	**Tax payable / (recoverable)**		
	1 January	**(149,628)**	**113,815**
	Tax charge for the year	431,165	114,544
	Utilization of WHT	(87,196)	(381,047)
	Penalty for under estimation	-	3,060
	31 December	**194,341**	**(149,628)**

13. INTANGIBLE ASSETS

	ATS Software Ushs'000	SCD Soft-ware Ushs'000	Other Software Ushs'000	Work in progress Ushs '000	Total Ushs'000
COST					
At 1 January 2020	675,111	529,051	116,535	-	1,320,697
Additions	-	-	32,542	141,130	173,672
At 31 December 2020	**675,111**	**529,051**	**149,077**	**141,130**	**1,494,369**
At 1 January 2021	675,111	529,051	149,077	141,130	1,494,369
Additions	-	-	15,600	15,549	31,149
Transfers from WIP	-	-	10,400	(10,400)	-
At 31 December 2021	**675,111**	**529,051**	**175,077**	**146,279**	**1,525,518**
AMORTISATION					
At 1 January 2020	599,497	529,038	116,535	-	1,245,070
Charge for the year	74,939	-	27,762	-	102,701
At 31 December 2020	**674,436**	**529,038**	**144,297**	**-**	**1,347,771**

At 1 January 2021	674,436	529,038	144,297	-	1,347,771
Charge for the year	-	-	5,798	-	5,798
At 31 December 2021	**674,436**	**529,038**	**150,095**	**-**	**1,353,569**

NET BOOK VALUE

At 31 December 2021	**675**	**13**	**24,982**	**146,279**	**171,949**
At 31 December 2020	**675**	**13**	**4,780**	**141,130**	**146,598**

JOINT ARRANGEMENT

The Company entered into a joint arrangement with Trading Systems Technology International (a software development Company registered in South Africa) for the development of the Automated Trading System (ATS). The ATS was capitalized under Intangible Assets under ATS software in the financial statements in accordance with IAS 38. Under the agreement, the Company is required to pay Trading Systems Technology International (TSTI) 15% of annual fees generated by the Company through the use of ATS as license, support and maintenance fees. This arrangement qualifies as a joint operation under IFRS 11.

The arrangement is governed by a contract between Uganda Securities Exchange Limited and TSTI indicating the annual fees payable to TSTI from the use of the ATS and the agreement specifies the ratios to be used in the arrangement. The corresponding annual license, support and maintenance fees due to TSTI for the year is Ushs 13 million (2020: 14m) as shown below. The revenue sharing was effective on 17 July 2016.

Details	2021 Ushs'000	2020 Ushs'000
Brokerage commission (USE)-See note 5	77,151	79,155
Brokerage commission (TSTI)	13,311	13,969
Total brokerage commission	**90,462**	**93,124**

14. EQUIPMENT

	Motor Vehicles Ushs'000	Furniture and Fittings Ushs'000	Office Partitions Ushs'000	Computer Equipment Ushs'000	Total Ushs'000
COST					
At 1 January 2020	359,243	352,919	49,462	460,979	1,222,603
Additions	-	-	-	10,895	10,895
At 31 December 2020	**359,243**	**352,919**	**49,462**	**471,874**	**1,233,498**
At 1 January 2021	359,243	352,919	49,462	471,874	1,233,498
Additions	-	-	-	6,983	6,983
At 31 December 2021	**359,243**	**352,919**	**49,462**	**478,857**	**1,240,481**
DEPRECIATION					
At 1 January 2020	86,118	249,039	49,462	443,003	827,622
Charge for the year	69,734	32,842	-	12,792	115,368
At 31 December 2020	**155,852**	**281,881**	**49,462**	**455,795**	**942,990**
At 1 January 2021	155,852	281,881	49,462	455,795	942,990
Charge for the year	69,734	26,722	-	7,013	103,469
At 31 December 2021	**225,586**	**308,603**	**49,462**	**462,808**	**1,046,459**
NET BOOK VALUE					
At 31 December 2021	**133,657**	**44,316**	**-**	**16,049**	**194,022**
At 31 December 2020	**203,391**	**71,038**	**-**	**16,079**	**290,508**

15. LEASES

The Company leases a building apartment where its offices are located. The lease runs for a period of 5 years, with an option to renew the lease after that date. Lease payments are renegotiated every five years to reflect market rentals.

The building apartment lease was entered into in 2014.

Information about the lease for which the Company is a lessee is presented below;

a) Right of use asset

	2021 Ushs '000	2020 Ushs '000
As at 1 January	**1,123,768**	1,123,768
Additions	**-**	-
As at 31 December	**1,123,768**	**1,123,768**
Depreciation		
As at 1 January	**374,589**	187,295
Charge for the year	**187,296**	187,294
As at 31 December	**561,885**	374,589
Net Book Value		
As at 31 December 2021	**561,883**	**749,179**

b) Lease Liability

	2021 Ushs '000	2020 Ushs '000
Balance at 1 January	**893,633**	977,776
Payments made during the year	**(332,362)**	(199,417)
Interest for the year	**95,558**	115,274
Balance as at 31 December	**656,829**	893,633

c) Amounts recognised in the statement of comprehensive income

	2021 Ushs '000	2020 Ushs '000
Leases under IFRS 16		
Interest on lease liabilities	**95,558**	115,274
Depreciation	**187,296**	187,294

d) Amounts recognised in the statement of cash flows

	2021 Ushs '000	2020 Ushs '000
Interest expense payment	**95,558**	115,274
Principal payment	**236,804**	84,143
Total cash outflow for leases	**332,362**	**199,417**

16. RELATED PARTY BALANCES AND TRANSACTIONS

(a) Related parties include:

Shareholders

- Baroda Capital Markets Limited
- Crested Stocks and Securities Limited
- UAP Financial Services Limited
- Equity Stockbrokers (U) Limited
- Dyer and Blair Uganda Limited

Other related parties

- Securities Industry Training Institute
- SBG Securities Limited

The Company is limited by shares. The Company has authorised share capital of Ushs 1 billion comprising of 100,000,000 shares of Ushs 10 each. 6 million shares were issued to each of the above shareholders implying that 42 million shares were issued out of the 100 million shares. Of the total issued share capital, only 60,000,000 is paid up and the balance is included under note 16 (b) as amounts due from related parties.

The related parties stated above are also brokers through which the public is able to buy shares from the listed entities.

(b) Amounts due from related parties

	2021 Ushs'000	2020 Ushs'000
African Alliance Uganda Limited	**880**	880
Baroda Capital Markets Limited	**1,069**	1,237
Dyer and Blair Uganda Limited	**1,379**	2,647
Equity Stock Brokers (U) Limited	**1,498**	1,195
Crested Stocks and Securities	**1,619**	6,180
SBG Securities Limited	**22,965**	10,073
UAP Financial Services Limited	**2,936**	2,657
Expected Credit Losses	**(7,386)**	(6,251)
	24,960	18,618

Movement in Expected Credit Losses

	2021 Ushs '000	2020 Ushs '000
At start of the year	**6,251**	(1,604)
Charge to profit and loss account	**1,135**	7,855
At end of the year	**7,386**	**6,251**

Outstanding balances at the year-end are unsecured, interest free and have no fixed repayment date. There have been no guarantees provided or received for any related party receivables or payables. For the year ended 31 December 2021, the Company has not recorded any impairment of receivables relating to amounts owed by related parties (2020: Nil). This assessment is undertaken each financial year through examining the financial position of the related party and the market in which the related party operates. The above receivables relate to the unpaid share capital and brokerage fees not settled at year end.

(c) Amounts due to related parties

	2021 Ushs '000	2020 Ushs '000
Crane Financial Services Limited	**1**	1
Securities Industries Training institute	**1,740**	1,740
	1,741	1,741

(d) Related party transactions comprise

Brokerage commission	**13,311**	13,969
	13,311	13,969

Brokerage commission is paid to Uganda Securities Exchange Limited by brokers. This is computed basing on the total trade considerations for the year.

(e) Key management compensation

	2021 Ushs'000	2020 Ushs'000
Salaries and benefits	750,000	300,000

(f) Directors' emoluments

Board allowances	22,700	27,100

17. UNQUOTED INVESTMENTS

	2021 Ushs'000	2020 Ushs'000
CDSC Kenya	65,176	65,176
As 31 December	**65,176**	**65,176**

The unquoted investment relates to an equity investment in the CDSC Kenya classified as available for sale. This investment does not have a quoted market price in an active market and therefore its fair value cannot be measured reliably. It is therefore carried at cost less accumulated impairment.

In 2014, USE bought 25,000 ordinary shares at a total cost of Ushs 65,176,000. Within the same year, the CDSC issued bonus shares (75 shares for every 100 shares owned) bringing our total number of shares to 43,750. The bonus shares are carrying zero cost.

18. SHARE CAPITAL

Following the enactment of the Capital Markets Authority (Amendment) Act 2016 on 20th May 2016, demutualization became a regulatory requirement to be fulfilled within 2 years from that date and hence USE was required to comply with the law by 20th May 2018.

In accordance with the above requirement, Uganda Securities Exchange (USE) Limited was incorporated on 18th May 2017 as a public Company limited by shares with authorized share capital of Uganda shillings 1 billion (Ushs 1,000,000,000) of 100 million shares of a nominal value of Ushs 10 shillings each.

Issued share capital is Uganda Shillings four hundred twenty million (Ushs 420,000,000) of 42 million shares. Each shareholder has 6,000,000 shares at a nominal value of Ushs 10 shillings each and each shareholder at incorporation currently holds 14.29% of the Company. All shared capital is paid up. The initial shareholders are African Alliance Uganda Ltd, Baroda Capital Ltd, Crane Financial Services Ltd, Crested Stocks and Securities, Dyer and Blair Uganda Ltd, Equity Stock Brokers Ltd and UAP Financial Services Ltd. There is no ultimate controlling party. Each trading participant is required to reduce their shareholding to not more than 10% within 3 years of incorporating the demutualized exchange. All trading participants will not hold more than 40% collectively after 3 years from incorporation.

	2021 Ushs'000	2020 Ushs'000
(a) Authorised and not Issued:		
At 01 January		
58,000,000 Ordinary shares of Ushs 10 each	580,000	580,000
At 31 December	**580,000**	**580,000**

	2021 Ushs'000	2020 Ushs'000
Authorised and Issued:		
Issued and fully paid		
At 01 January		
42,000,000 Ordinary shares of Ushs 10 each	**420,000**	420,000
At 31 December	**420,000**	**420,000**

The total authorised and fully paid up number of ordinary shares is 42,000,000 with a par value of Ushs 10 per share. Each ordinary share is entitled to one vote per share at annual and other general meetings of the Company. Holders of ordinary shares are entitled to dividends when declared.

(b) Distribution proposed

	2021 Ushs'000	2020 Ushs'000
At 01 January	**14,406**	**-**
Dividends paid*	**(8,232)**	-
Dividends proposed	**275,329**	14,406
At 31 December	**281,503**	**14,406**

19. TRADE AND OTHER RECEIVABLES

	2021 Ushs'000	2020 Ushs'000
Trade receivables	**354,086**	334,839
SITI	**6,476**	-
Staff advances	**3,183**	482
Other receivables	**10,920**	16,583
WHT Receivable	**59,263**	21,653
Guarantee fund	**-**	10,827
Expected Credit Losses	**(119,691)**	(136,673)
Net trade receivables	**314,237**	247,711

During the year, the receivables were impaired in accordance to IFRS 9. The carrying amounts of the trade and other receivables approximate their fair value.

Movement in Expected Credit Losses

	2021 Ushs'000	2020 Ushs'000
At start of the year	**136,673**	89,140
(Credit)/charge to profit and loss account	**(16,982)**	47,533
At end of the year	**119,691**	**136,673**

20. FIXED DEPOSITS

	2021 Ushs'000	2020 Ushs'000
Fixed deposits	**7,058,764**	5,929,086
Expected Credit Losses	**(19,110)**	(18,226)
	7,039,654	**5,910,860**

USE has one fixed deposit. The fixed deposit held with Orient Bank has an interest rate of 13% per annum. This deposit will mature on 06 April 2022.

Movement in Expected Credit Losses

At start of the year	**18,226**	17,284
Charge to profit and loss account	**884**	942
At end of the year	**19,110**	**18,226**

21. TRADE AND OTHER PAYABLES

	2021 Ushs '000	2020 Ushs '000
Trade payables	**116,904**	291,855
Accrued expenses	**59,990**	50,615
Other payables	**76,665**	76,667
Bonuses payable	**171,983**	-
PAYE payable	**45**	-
WHT payable	**9,944**	7,549
	435,531	**426,686**

The carrying amounts of the above trade and other payables approximate their fair values.

22. (a) BANK AND CASH BALANCES

	2021 Ushs '000	2020 Ushs '000
Cash balance	-	41,704
Expected Credit Losses	-	(383)
Net bank and cash balances	**-**	**41,321**
Movement in Expected Credit Losses		
At start of the year	**(383)**	388
Credit /(Charge) to profit and loss account	**383**	(771)
At end of the year	**-**	**(383)**
b) Bank over-draft	**(30,707)**	-
	(30,707)	**-**

23. RETAINED EARNINGS

	2021 Ushs '000	2020 Ushs '000
At 1 January	**5,980,289**	5,953,535
Total comprehensive income for the year	**786,654**	41,160
Proposed Dividends	**(275,329)**	(14,406)
At 31 December	**6,491,614**	**5,980,289**

24. FINANCIAL RISK MANAGEMENT

The Company has exposure to the following risks from its use of financial instruments

a) Credit Risk
b) Market Risk
c) Capital management
d) Liquidity Risk

The Company's principal business activity is to provide, maintain and regulate suitable premises and facilities for conducting all the business of the securities exchange.

The Company is exposed to various risks, including credit risk, market risk, capital management and liquidity risk. The Company's board of directors has overall responsibility for the establishment and oversight of the Company's risk management framework. The Company's risk management policies are established to identify and analyse the risks faced by the Company, to set appropriate risk limits and controls and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Company's activities.

The Company, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations. The Company's risk management strategy is based on a clear understanding of the various risks, disciplined risks assessment and measurement procedures and continuous monitoring. The policies and procedures established for this purpose are continuously benchmarked with the financial services industry best practices. The management is responsible for the assessment, management and mitigation of risk in the Company.

(a) Credit risk

Credit risk is the risk of financial loss to the Company if a counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Company extension of credit to its customers. For risk management reporting purposes, the Company considers all elements of credit risk exposure such as individual obligator default risk, nature of customer and sector risk. The financial management objectives and policies are as outlined below:

The Company's credit risk is primarily attributable to trade and other receivables, estimated by the Company's management based on prior experience, existing financial and economic factors faced by the debtor and the exit options available.

The credit risk on liquid funds and fixed deposits with financial institutions is also low, because the institutions are banks with high credit ratings.

The carrying amount of financial assets represents the maximum credit exposure.

Impairment losses on financial assets recognised in profit or loss were as follows:

	2021 Ushs'000	2020 Ushs'000
Impairment		
Impairment charge on trade receivables -note 19	**43,018**	47,533
Impairment credit on due from related parties -note 16(b)	**1,135**	(7,855)
Impairment charge on fixed deposits -note 20	**884**	942
Impairment charge/(credit) on bank balance-note 22	**-**	771
	45,037	**41,391**

Trade receivables

The Company's exposure to credit risk is influenced mainly by the characteristics of each customer. The risk management committee has established a credit policy under which each new customer is analysed individually for credit worthiness before the Company's standard payment and delivery terms and conditions are offered.

The Company limits its exposure to credit risk from trade receivables by establishing a maximum payment period of one and three months for individual and corporate customers respectively.

More than 85% of the Company's customers have been transacting with the entity for over four years, and none of these customers' balances have been written off or are credit-impaired at the reporting date.

The Company does not require collateral in respect of trade and other receivables. The entity does not have trade receivable for which no loss allowance is recognised because of collateral.

At 31 December 2021, the exposure to credit risk for trade receivables was as follows:

	2021 Ushs'000	2020 Ushs'000
Impairment		
Trade and other receivables	**433,928**	384,384
Expected credit losses	**(119,691)**	(136,673)
	314,237	**247,711**

At 31 December 2021, the exposure to credit risk for due from related parties was as follows:

	2021 Ushs'000	2020 Ushs'000
Impairment		
Due from related parties	**32,346**	24,868
Expected credit losses	**(7,386)**	(6,251)
	24,960	**18,617**

An analysis of the credit quality of trade receivables and due from related parties that were neither past due nor impaired and the ageing of trade receivables that were past due and impaired as at 31 December 2021 is as follows:

As at 31 December 2021	Not credit impaired Ushs'000	Credit Impaired Ushs'000	Total Ushs'000
Trade and other receivables	409,536	24,392	433,928
Due from related parties	30,055	2,291	32,346
Total	**439,591**	**26,683**	**466,274**

An analysis of the credit quality of trade receivables and due from related parties that were neither past due nor impaired and the ageing of trade receivables that were past due and impaired as at 31 December 2020 is as follows:

As at 31 December 2020	Not credit impaired Ushs'000	Credit Impaired Ushs'000	Total Ushs'000
Trade and other receivables	213,479	170,905	384,384
Due from related parties	19,796	5,072	24,868
Total	**233,275**	**175,977**	**409,252**

Expected credit loss assessment for individual customers as at 31 December 2021

The Company uses a provisional allowance matrix to measure the ECLs of trade receivables from individual customers, which comprise a very large number of small balances.

Loss rates are calculated using a 'roll rate' method based on the probability of a receivable progressing through successive stages of delinquency to write-off.

The following table provides information about the exposure to credit risk and ECLs for trade receivables from individual customers and due from related parties.

As at 31 December 2021	Weighted Average loss rates	Gross Carrying Amount	Subsequent Payments	Net amount	Loss Allowance
Receivables	**Ushs'000**	**Ushs'000**	**Ushs'000**	**Ushs'000**	**Ushs'000**
Financial assets					
1-31 days	16%	170,724	(71,759)	98,965	16,356
32-61 days	29%	198,206	-	198,206	56,817
62-92 days	48%	31,039	-	31,039	15,049
93-122 days	67%	6,226	-	6,226	4,152
123-153 days	84%	1,800	-	1,800	1,516
154-184 days	91%	1,541	-	1,541	1,409
>184 days	100%	24,392	-	24,392	24,392
		433,928	**(71,759)**	**362,169**	**119,691**

As at 31 December 2020	Weighted Average loss rates	Gross Carrying amount	Subsequent Payments	Net Amounts	Loss allowance
Receivables	Ushs'000	Ushs'000	Ushs'000	Ushs '000	Ushs'000
Financial assets					
1-31 days	10%	175,136	145,969	29,167	2,973
32-62 days	29%	29,112	22,657	6,455	1,853
63- 92 days	62%	9,231	-	9,230	5,679
93- 123 days	100%	11,014	2,500	8,514	8,514
>123 days	100%	159,891	42,238	117,654	117,654
		384,384	**213,364**	**171,020**	**136,673**

As at 31 December 2021	Weighted Average loss rates	Gross carrying amount	Subsequent Payments	Net Amounts	Loss allowance
Due from related parties	Ushs'000	Ushs'000	Ushs'000	Ushs'000	Ushs'000
Financial assets					
1-31 days	16%	28,608	(940)	27,668	4,338
32-61 days	29%	523		523	150
62-92 days	48%	51		51	25
93-122 days	67%	872		872	581
123-153 days	84%	-		-	-
154-184 days	91%	-		-	-
>184 days	100%	2,292		2,292	2,292
		32,346	**(940)**	**31,406**	**7,386**

As at 31 December 2020	Weighted Average loss rates	Gross carrying amount	Subsequent Payments	Net Amounts	Loss allowance
Due from related parties	Ushs'000	Ushs '000	Ushs '000	Ushs'000	Ushs'000
Financial assets					
1-31 days	10%	16,250	13,350	2,900	296
32-62 days	29%	1,350	1,350	-	-
63- 92 days	62%	2,196	460	1,736	883
93- 123 days	100%	2,536	-	2,536	2,536
>123 days	100%	2,536	-	2,536	2,536
		24,868	**15,160**	**9,708**	**6,251**

Cash and cash equivalents

The Company held cash and cash equivalents of Ushs (30,475) thousand as at 31 December 2021 (2020: Ushs 41,704 thousand). The cash and cash equivalents are held with the bank (Citibank), which is rated AA- to AA+, based on [Rating Agency Y] ratings.

Impairment on cash and cash equivalents has been measured on a 12-month expected loss basis and reflects the short maturities of the exposures. The Company considers that its cash and cash equivalents have low credit risk based on the external credit ratings of the counterparties.

The amount of impairment allowance as at 31 December 2021 is Ushs 0 (2020: Ushs (383,275)

b) Market risk

Market risk is the risk that changes in market prices, such as interest rate and foreign exchange rates will affect the Company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within the acceptable parameters, while optimising the return on risk.

(i) Interest rate risk

The interest rate risk exposure arises mainly from interest rate movements on the Company's investments in cash and fixed deposits. However, this exposure is not deemed significant as the interest rates are fixed, and the deposits mature in 12 months.

The table below summarizes the exposure to interest rate risk. Included in the table are the Company's assets and liabilities at carrying amounts, categorized by the earlier of contractual dates and the maturity dates. All balances are in Ushs.

31 Dec 2021	Matured Ushs '000	< 3 months Ushs '000	3 to 12 months Ushs '000	>1year Ushs '000	Non-interest bearing Ushs '000	Total Ushs '000
Assets						
Trade and other receivables	-	-		-	314,237	314,237
Fixed deposits	-	-	7,039,654	-	-	7,039,654
Amount due from related parties	-	-	-	-	24,960	24,960
Bank and cash balances	-	-	-	-	-	-
Total assets	**-**	**-**	**7,039,654**	**-**	**339,197**	**7,378,851**
Liabilities						
Trade and other payables	-	-	-	-	435,531	435,531
Lease liability	-	-	-	656,829	-	656,829

Amount due to related parties	-	-	-	-	1,741	1,741
Bank Over-draft					30,707	30,707
Total liabilities	**-**	**-**	**-**	**656,829**	**467,979**	**1,124,808**
Gap:						
As at 31 December 2021	**-**	**-**	**7,039,654**	**(656,829)**	**(128,782)**	**6,254,043**

31 Dec 2020	Matured Ushs '000	< 3 months Ushs '000	3 to 12 months Ushs '000	>1 year Ushs '000	Non-interest bearing Ushs '000	Total Ushs '000
Assets						
Trade and other receivables	-	-	-	-	247,711	247,711
Fixed deposits	-	-	5,910,860	-	-	5,910,860
Amount due from related parties	-	-		-	18,618	18,618
Bank and cash balances	-	-		-	41,321	41,321
Total assets	**-**	**-**	**5,910,860**	**-**	**307,650**	**6,218,510**
Liabilities						
Trade and other payables	-	-	-	-	426,686	426,686
Lease Liability	-	-	-	893,633	-	893,633
Amount due to related parties	-	-	-	-	1,741	1,741
Total liabilities						
Gap:	**-**	**-**	**-**	**893,633**	**428,427**	**1,322,060**
As at 31 December 2020						
	-	**-**	**5,910,860**	**(893,633)**	**(120,777)**	**4,896,450**

(ii) Foreign exchange risk

The Company's operations are predominantly in Uganda where the currency has not been relatively stable against the major convertible currencies. Some of the expenses and income are denominated in foreign currency and therefore an exposure exists but not considered material.

Key currency exposures

31-Dec-21	Ushs '000	US dollar USD	TOTAL Ushs '000
Assets			
Trade and other receivables	296,781	17,456	314,237
Total assets	**296,781**	**17,456**	**314,237**
Liabilities			
Trade and other payables	420,442	15,089	435,531
Bank Over-Draft	26,332	4,375	30,707
Total liabilities	**446,774**	**19,464**	**466,238**
Net exposure:			
As at 31 December 2021	**(149,993)**	**(2,008)**	**(152,001)**

31-Dec-20	Ushs '000	US dollar USD	TOTAL Ushs '000
Assets			
Trade receivables and prepayments	231,973	15,738	247,711
Bank and cash balances	40,675	646	41,321
Total assets	**272,648**	**16,384**	**289,032**
Liabilities			
Trade and other payables	403,685	23,001	426,686
Total liabilities	**403,685**	**23,001**	**426,686**
Net exposure:			
As at 31 December 2020	**(131,037)**	**(6,617)**	**(137,654)**

Foreign currency risk sensitivity analysis

Foreign exchange risk – appreciation/depreciation of Ushs against other currencies by 5%. The following sensitivity analysis shows how surplus/ (deficit) would be affected if the market risk variables had been different at reporting date with all other variables held constant.

31-Dec-21	US dollar Ushs '000	Total Ushs '000
-5% Ushs Movement	(775)	(775)
+5% Ushs Movement	775	775

31-Dec-20		
-5% Ushs Movement	(121)	(121)
+5% Ushs Movement	121	121

(c) Capital Management

The Company is limited by shares and has a share capital of Ushs 420,000,000 which is fully paid up.

The Company manages its capital to ensure that it will be able to continue as a going concern while maximizing the return to stakeholders through the optimisation of the debt and equity balance. The Company's overall strategy remains at maximising stakeholders' value.

The Company's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The Company is not subject to any externally imposed capital requirements.

Capital risk management table

The Company's net debt to equity ratio as at 31 December 2021 was as follows:

Details	2021 Ushs '000	2020 Ushs '000
Total liabilities	1,319,149	1,322,060
Less; Cash and cash equivalents	-	(41,321)
Net debt	**1,319,149**	**1,280,739**
Equity	7,193,117	6,414,695
Net debt to equity ratio	**0.18**	**0.20**

(d) Liquidity risk management

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations on its financial liabilities. Ultimate responsibility for liquidity risk management rests with the Board of Directors, which has built an appropriate liquidity risk management framework for the management of the Company's short, medium and long-term funding and liquidity management requirements. The Company manages liquidity risk through continuous monitoring of forecast and actual cash flows.

The Company aims to maintain the level of its cash and cash equivalents at an amount in excess of expected cash outflows on financial liabilities (other than trade payables) over the next 12 months. The table below analyses financial assets and liabilities

-	3 to 12 months Ushs'000	>1 year Ushs'000	Total Ushs'000
Assets			
Trade and other receivables	314,237	-	314,237
Amounts due from related parties	24,960	-	24,960
Fixed deposits	7,039,654	-	7,039,654
Bank and cash balances	-	-	-
Total assets	**7,378,851**	**-**	**7,378,851**
Liabilities			
Trade and other payables	435,531	-	435,531
Lease liability	265,889	797,668	1,063,557
Bank Overdraft	30,707	-	30,707
Amount due to related parties	-	1,741	1,741
Total liabilities	**732,127**	**799,409**	**1,531,536**
Liquidity gap:			
As at 31 December 2021	**6,646,724**	**(799,409)**	**5,847,315**

31 December 2020	3 to 12 months Ushs'000	>1year Ushs'000	Total Ushs'000
Assets			
Trade receivables and other receivables	247,711	-	247,711
Amounts due from related parties	18,618	-	18,618
Fixed deposits	5,910,860	-	5,910,860
Bank and cash balances	41,321	-	41,321
Total assets	**6,218,510**	**-**	**6,218,510**
Liabilities			
Trade and other payables	426,686	-	426,686
Lease Liability	199,418	1,063,558	1,262,976
Amount due to related parties	-	1,741	1,741
Total liabilities	**626,104**	**1,063,559**	**1,691,403**
Liquidity gap:			
As at 31 December 2020	**5,592,406**	**(1,063,559)**	**4,527,107**

25 FAIR VALUE MEASUREMENT

The fair values of financial assets and financial liabilities that are traded in active markets are based on quoted market prices or dealer price quotations. For all other financial instruments, the Company determines fair values using other valuation techniques.

(a) Valuation models

The Company measures fair values using the following fair value hierarchy, which reflects the significance of the inputs used in making the measurements.

Level 1: inputs that are quoted market prices (unadjusted) in active markets for identical instruments e.g. quoted equity securities. These items are exchange traded positions.

Level 2: inputs other than quoted prices included within Level 1 that are observable either directly (i.e. as prices) or indirectly (i.e. derived from prices). This category includes instruments valued using; quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques in which all significant inputs are directly or indirectly observable from market data.

Level 3: inputs that are unobservable. This category includes all instruments for which the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation. This category includes instruments that are valued based on quoted prices for similar instruments for which significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

Valuation techniques include net present value and discounted cash flow models, comparison with similar instruments for which market observable prices exist. Assumptions and inputs used in valuation techniques include risk-free and benchmark interest rates, credit spreads and other premia used in estimating discount rates, bond and equity prices, foreign currency exchange rates, equity and equity index prices and expected price volatilities and correlations.

The objective of valuation techniques is to arrive at a fair value measurement that reflects the price that would be received to sell the asset or paid to transfer the liability in an orderly transaction between market participants at the measurement date. As at 31 December 2021 and 31 December 2020 the Company did not have financial instruments measured at fair value.

The following table sets out the fair values of financial instruments not measured at fair value and analyses them by the level in the fair value hierarchy into which each fair value measurement is categorised.

31 December 2021

	Level 1 Ushs '000	Level 2 Ushs'000	Level 3 Ushs'000	Total Fair Value Ushs'000	Carrying amount Ushs'000
Assets					
Trade and other receivables	-	-	-	-	314,237
Amounts due from related parties	-	-	-	-	24,960
Fixed deposits	-	-	-	-	7,039,654
Total	**-**	**-**	**-**	**-**	**7,378,851**
Liabilities					
Trade and other payables	-	-	-	-	435,531
Lease liability	-	-	-	-	656,829
Bank Overdraft					30,707
Amounts due to related parties	-	-	-	-	1,741
Total	**-**	**-**	**-**	**-**	**1,124,808**

31 December 2020

	Level 1 Ushs'000	Level 2 Ushs'000	Level 3 Ushs'000	Total Fair Value Ushs'000	Carrying amount Ushs'000
Assets					
Trade and other receivables	-	-	-	-	247,711
Amounts due from related parties	-	-	-	-	18,618
Fixed deposits	-	-	-	-	5,910,860
Cash and cash equivalents	-	-	-	-	41,321
Total	**-**	**-**	**-**	**-**	**6,218,510**
Liabilities		**-**	**-**	**-**	
Trade and other payables	-	-	-	-	426,686
Lease Liability	-	-	-	-	893,633
Amounts due to related parties		-	-	-	1,741
Total	**-**	**-**	**-**	**-**	**1,322,060**

26. COMMITMENTS

The Company had no commitments in 2021 (2020: Nil).

27. ULTIMATE CONTROLLING PARTY

The Company is limited by shares and does not have any immediate or ultimate controlling party.

28. CONTINGENT LIABILITIES

The Company had no contingent liabilities in 2021 (2020: Nil).

29. COUNTRY OF INCORPORATION

Uganda Securities Exchange Limited is incorporated in Uganda under the Companies Act, 2012 Laws of Uganda as a Company limited by shares and domiciled in Uganda.

30. EVENTS AFTER THE REPORTING PERIOD

At the date of finalisation of the annual financial statements, there were no material events that occurred subsequent to the statement of financial position date that require adjustment in the financial AGM Notice



Uganda
Securities Exchange

Supplemental Information

- AGM Notice
- Proxy Form
- Shareholders
- Our Trading Participants
- Our Issuers
- Custodian Banks
- Corporate Information
- List of Tables and Figures

AGM **Notice**

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NOTICE OF ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the 5th Annual General Meeting ("AGM") of **UGANDA SECURITIES EXCHANGE LIMITED** ("the Company") for the year ended December 2021 will be held on **Friday 5th August 2022 at 02:30pm at Kampala Serena Hotel (physical location)** and electronically to conduct the following business:

PRELIMINARIES

1. To table the proxies and to note the presence of quorum.
2. To read the notice convening the meeting and confirm Any other Business for which notice has been received by the Secretary at least 48 hours before the meeting.
3. To receive communication from the Chairman.
4. To confirm the minutes of the 4th Annual General Meeting for the year ended 2020.

ORDINARY RESOLUTIONS

5. To consider and if deemed fit, approve the audited financial statements for the year ended 31st December 2021 together with the reports of the Chairman, the Directors and the external auditors.
6. Appointment of New Directors and Re-election of Directors. To consider and if deemed fit confirm the appointment and re-election of Directors in accordance with the provisions of the Company's Articles of Association as follows:

   (i) To approve the appointment of a new Directors to fill the casual vacancy created by the resignation during the current period 2021.

   Rotation of Directors under Articles 110 & 111

   (ii) Mr. Richard Byarugaba who was appointed to the Board in September 2019 retires by rotation and being eligible offers himself for re-election.

   (iii) Mr. Simon Mwebaze who was appointed to the Board in September 2019 retires by rotation and being eligible offers himself for re-election

7. To receive and approve the remuneration for Non-Executive Directors as provided for in the financial statements.
8. To consider and if deemed fit, approve the appointment of External Auditors for the year ending 31st December 2022 and authorise the Directors to fix their remuneration.

Dated 14th July 2022

BY ORDER OF THE BOARD

Alison Kwikiriza Serucaca
Company Secretary

Uganda Securities Exchange

NOTICE OF ANNUAL GENERAL MEETING

Notes:

(1) Audited financial statements: The audited financial statements, annual report and minutes of the previous meeting will be circulated to shareholders via e-mail ahead of the meeting.

(2) Proxies: A shareholder who is unable to attend the AGM may appoint a proxy to attend the meeting on his or her behalf.

a. A copy of the proxy form accompanies this notice

b. Duly completed proxy forms must be emailed to the company secretary at address **board@use.or.ug** to be received at least 48 hours before the meeting.

c. **DOWNLOAD PROXY FORM HERE: https://bit.ly/3Pfhc1W**

(3) Shareholders who wish to attend the meeting virtually shall confirm with the company secretary via email: **board@use.or.ug.**

Scheduling of the AGM: Article 95 of the Articles of Association of the company, an annual general meeting may be held by audit or audio-visual means. The Board in a meeting held on 22nd June 2022 approved convening and conduct of a hybrid AGM for the year ended 2021 with an option to attend the meeting virtually.

(4) In order to access the meeting, shareholders or their proxies should login through the Zoom meeting platform via the link and/ or the login details below:

https://us02web.zoom.us/j/88472090933?pwd=cFl0YzN4R01xZ2liZzloK3Z1TjdKZz09

Meeting ID: **884 7209 0933**
Passcode: **882191**

Proxy **Form**

Uganda
Securities Exchange

Proxy Form

For the Attention of:

The Company Secretary
Uganda Securities Exchange Limited
4th Floor Block A Nakawa Business Park
P. O. Box 23552 Kampala
Email: board@use.or.ug

I/We the under signed, being a shareholder theabove company hereby appoint _____

_____

of address_____ as my/our proxy to attend and vote on my behalf at the 5th Annual General meeting of the Company to be held at Kampala Serena Hotel (physically) and via electronic means on **Friday 5th August 2022,** at **2:30 p.m** or to any adjournments thereof.

Signed: _____

Name: _____

Date: _____

Notes:

1. This proxy should be delivered to the Company Secretary not later than 48 hours before the time appointed for the meeting, and in default, the instrument of proxy shall be treated as invalid. Please note that delivery by electronic mail copy will be deemed delivery of the Proxy Form. The original hard copy shall however be required to be submitted by the appointed proxy.
2. In case of a corporation, the proxy must be signed by an authorized official of the shareholder company.
3. The completion and lodging of this form does not preclude the ordinary representative of the shareholder from attending the AGM instead of the proxy.



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USE Shareholders

1. African Alliance (U) Limited
2. Baroda Capital Markets (U) Limited
3. Dyer and Blair (U) Limited
4. Equity Stock Brokers (U) Limited
5. Crested Stocks and Securities Limited
6. Crane Financial Services (U) Limited
7. UAP Old Mutual Financial Services Ltd

Our **Trading Participants**

Baroda Capital Markets (Uganda) Ltd.

Plot 18 Kampala Road
P. O. Box 7197, Kampala, Uganda
Tel: 0414- 237898 Fax: 0414 258 263
Email: bcm.ug@bankofbatoda.com

CRESTEDCAPITAL
a trade name of Crested Stocks & Securities Ltd. | MEMBERS OF THE UGANDA SECURITIES EXCHANGE

Crested Capital First Floor, Impala House
Plot 13/15 Kimathi Avenue
P. O. Box 31736, Kampala, Uganda
Tel: 0312-230900/0758-230900 **Fax:** 0414-230900
Email: info@crestedcapital.com

DYER & BLAIR
INVESTMENT BANK
WE KNOW. YOU KNOW.

Ground Floor, Rwenzori House
Plot 1 Lumumba Avenue
P. O. Box 36620, Kampala, Uganda
Tel: 0414 233 050 or 0312 265 469
Email: uganda@dyerandblair.com

EQUITY STOCK BROKERS
service • tradition • trust

Orient Plaza, Plot 6/6A, Kampala Road
P. O. Box 7539, Kampala, Uganda
Tel: 0417-719144/0417-719133
Email: equity@orient-bank.com

sbg securities
A member of Standard Bank Group

4th Floor, Crested Towers (Short)
17 Hannington Road
P. O. Box 7131, Kampala, Uganda
Tel: 0312 224 972 or 0312 224 965
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UAP OLDMUTUAL

2nd Floor UAP Nakawa Business Park
Block A Second Floor
Plot 3-5 New Port Bell Road
P. O. Box 20079 Kampala-Uganda
Tel: 0414332824. **Fax:** 0414-346449
Email: brokerageufs@uap-group.com

Custodian **Banks**



BANK OF AFRICA
BMCE GROUP

Housing Finance Bank

KCB

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standard chartered

Our **Issuers**


eabl
Celebrating Life


nic
Holdings Ltd


KAKIRA
SUGAR


KCB


BAT
UGANDA


UMEME
Powering Uganda




CENTUM

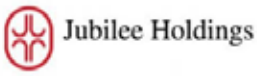

EQUITY
Equity Group Holdings Plc


Uganda Clays Ltd


UCHUMI
EXPRESS
home of value!


dfcu
...with pleasure


Nation Media Group
Media of Africa for Africa


Jubilee Holdings




VISION GROUP
NATIONAL PRIDE • GLOBAL EXCELLENCE


Kenya Airways
The Pride of Africa


CiplaQCi


MTN


Bank of Baroda (Uganda) Limited
banking with passion

Corporate **Information**

Mr. Charles Mbire (Outgoing Chairman)*(14/05/2021)	**Independent Non-Executive**
Mr. Richard Byarugaba	**Non-Executive (Issuer Representative)**
Mr. Mohan Pranshantam (outgoing)* (14/05/2021)	**Non-Executive (Trading Participant Representative)**
Mr. Simon Mwebaze	**Non-Executive (Trading Participant Representative)**
Mr. Samuel F. Mwogeza	**Non-Executive (Issuer Representative)**
Dr, Racheal Mindra Katoroogo	**Independent Non-Executive**
Ms. Jennifer K. Mwijukye	**Independent Non-Executive**
Ms. Christine Nkundizana (outgoing)* (25/11/2021)	**Non-Executive (Trading Participant Representative)**
Ms. Leah Nyambura - Kagumba (App)* (22/09/2021)	**Non-Executive (Trading Participant Representative)**
Mr. Paul Bwiso (CEO)	**Executive Director**





COMPANY SECRETARY

Ms. Alison Kwikiriza
Serucaca
Uganda Securities Exchange Ltd
4th Floor, Block A Nakawa Business Park
Plot 3-5 Port Bell Road
Nakawa, Kampala

REGISTERED ADDRESS OF COMPANY

Uganda Securities Exchange Limited
4th Floor, Block A Nakawa Business Park
Plot 3-5 Port Bell Road
Nakawa, Kampala

AUDITORS

KPMG Uganda
Certified Public Accountants (Uganda)
3rd Floor Rwenzori Courts Building
P. O. Box 3509, Kampala

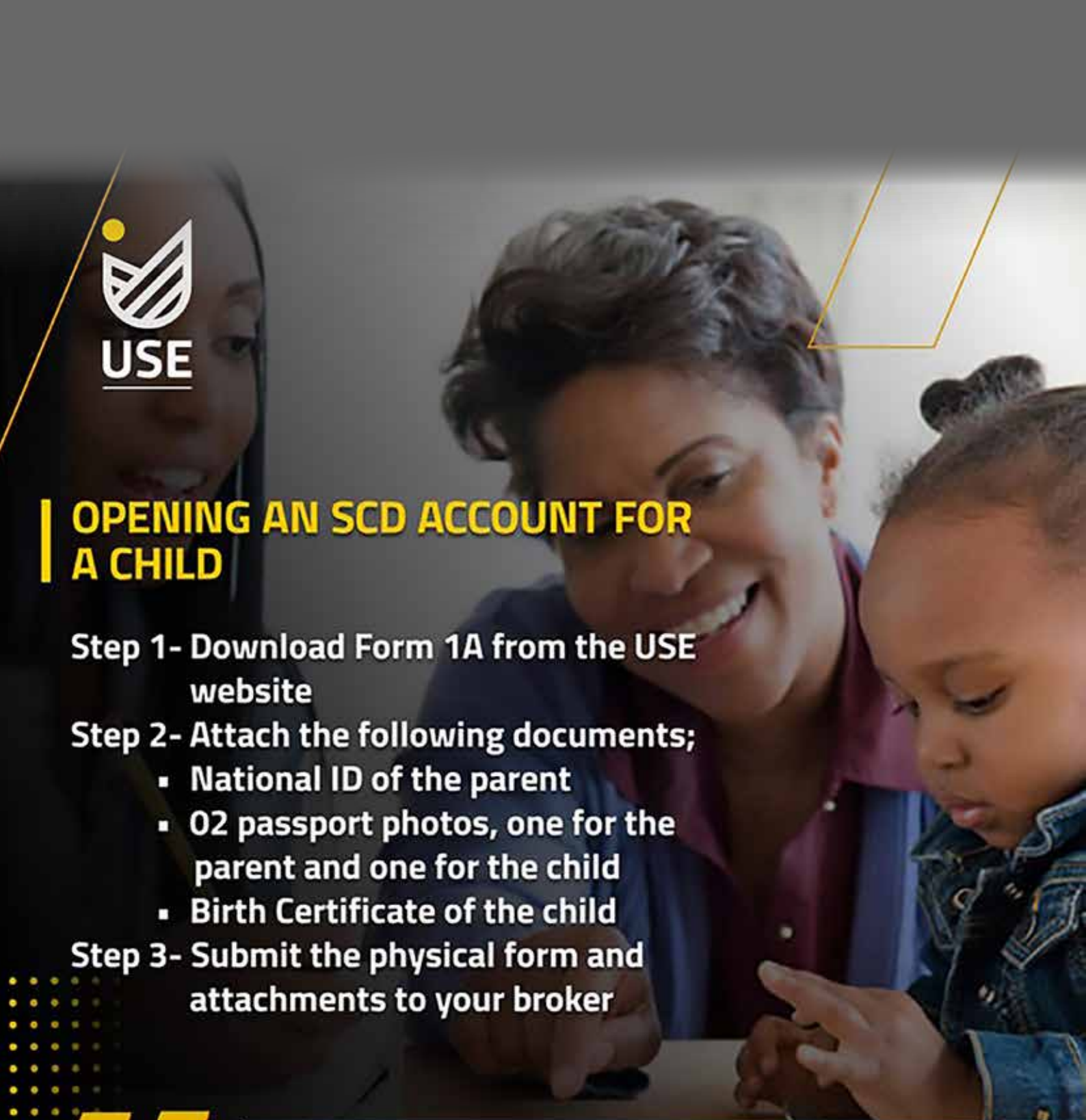
BANKERS

CitiBank Uganda Ltd
Plot 4 Ternan Avenue
P. O. Box 7505, Kampala

LAWYERS

Engoru Mutebi Advocates
Ground Floor
Rwenzori House
Plot 1 Lumumba Avenue
P. O. Box 22510, Kampala

S&L Advocates
S&L Chambers,
Plot 14, MacKinnon Road, Kampala
P. O. Box 2255 Kampala



USE

OPENING AN SCD ACCOUNT FOR A CHILD

Step 1- Download Form 1A from the USE website

Step 2- Attach the following documents;

- National ID of the parent
- 02 passport photos, one for the parent and one for the child
- Birth Certificate of the child

Step 3- Submit the physical form and attachments to your broker

SCD REGISTRARS



OUR SERVICES

- Shareholder services(Call Centre & Customer service)
- Corporate Actions
- Virtual AGM Services
- Administration of AGMs/EGM & Annual Report Dispatch
- IPO Processing & Register Creation
- Register Maintenance
- Processing of dividends & other entitlements
- Unclaimed Dividends Management
- Registration of Share Transfers and Transmission
- Regulatory Reporting

For more information on SCD Registrars,
Contact us at **registry@use.or.ug**

Uganda Securities Exchange

T-BILLS AND T- BONDS AUCTION

			T-BILLS		
	Auction Date (Wednesday)	Settlement Date (Thursday)	91,182, 364days	2YR	3YR
	06-Jul-22	07-Jul-22	x		
	13-Jul-22	14-Jul-22			UG12G2905259 14.000% 29-May-2025
	20-Jul-22	21-Jul-22	x		
	27-Jul-22				
	03-Aug-22	04-Aug-22	x		
	10-Aug-22	11-Aug-22		New 2-Year Bond	
Q1	17-Aug-22	18-Aug-22	x		
	24-Aug-22				
	31-Aug-22	01-Sep-22	x		
	07-Sep-22	08-Sep-22			
	14-Sep-22	15-Sep-22	x		
	21-Sep-22				
	28-Sep-22	29-Sep-22	x		
	05-Oct-22	06-Oct-22			UG12G2905259 14.000% 29-May-2025
	12-Oct-22	13-Oct-22	x		
	19-Oct-22				
	26-Oct-22	27-Oct-22	x		
	02-Nov-22	03-Nov-22		Re-open the New 2-Year Bond	
	09-Nov-22	10-Nov-22	x		
Q2	16-Nov-22				
	23-Nov-22	24-Nov-22	x		
	30-Nov-22	01-Dec-22			
	07-Dec-22	08-Dec-22	x		
	14-Dec-22				
	21-Dec-22	22-Dec-22	x		
	28-Dec-22	29-Dec-22			UG12G2905259 14.000% 29-May-2025
	04-Jan-23	05-Jan-23	x		
	11-Jan-23				
	18-Jan-23	19-Jan-23	x		
	27-Jan-23	28-Jan-23		Re-open the New 2-Year Bond	
	01-Feb-23	02-Feb-23	x		
	08-Feb-23				
Q3	17-Feb-23	18-Feb-23	x		
	22-Feb-23	23-Feb-23			
	01-Mar-23	02-Mar-23	x		
	08-Mar-23				
	15-Mar-23	16-Mar-23	x		
	22-Mar-23	23-Mar-23			UG12G2905259 14.000% 29-May-2025
	29-Mar-23	30-Mar-23	x		
	05-Apr-23				
	12-Apr-23	13-Apr-23	x		
	19-Apr-23	20-Apr-23		Re-open the New 2-Year Bond	
	26-Apr-23	27-Apr-23	x		
	03-May-23				
	10-May-23	11-May-23	x		
Q4	17-May-23	18-May-23			
	24-May-23	25-May-23	x		
	31-May-23				
	07-Jun-23	09-Jun-23	x		
	14-Jun-23	15-Jun-23			UG12G2905259 14.000% 29-May-2025
	21-Jun-23	22-Jun-23	x		
	28-Jun-23				

The indicated bonds are only indicative and may be changed to other suitable

CALENDAR FOR FY2022-23

T-BONDS

5YR	10YR	15YR	20YR
		UG12K1405378 16.000% 14-May-2037	
	UG12J2005328 15.000% 20-May-2032		
UG12J1301280 14.125% 13-JAN-2028			New 20-Year Bond
		UG12K1405378 16.000% 14-May-2037	
	UG12J2005328 15.000% 20-May-2032		
UG12J1301280 14.125% 13-JAN-2028			Re-open the New 20-Year Bond
		UG12K1405378 16.000% 14-May-2037	
	UG12J2005328 15.000% 20-May-2032		
UG12J1301280 14.125% 13-JAN-2028			Re-open the New 20-Year Bond
		UG12K1405378 16.000% 14-May-2037	
	UG12J2005328 15.000% 20-May-2032		
UG12J1301280 14.125% 13-JAN-2028			Re-open the New 20-Year Bond
		UG12K1405378 16.000% 14-May-2037	

bonds with similar maturities or new issues if market conditions warrant so

Uganda
Securities Exchange

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